THE LEGAL SERIES

# LAW CRUX



## LAW OF TORTS & CONSUMER PROTECTION LAWS


AUTHOR

**Ankur R. Upadhyay**



WEBSITE
makelaweasy.in

WHATSAPP
+91 70217 26891

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MOD-01 // FOUNDATIONS PART A · LAW OF TORTS 08 CASE LAWS · 07 PYQs

# Module 01 — Introduction — Definition, Nature & Scope of the Law of Torts

**Scope:** (a) Origin England · (b) Evolution India · (c) Meaning & Function · (d) Definition · (e) Constituents · (f) Tort vis-à-vis other wrongs · (g) Intention, Motive & Malice

## 01.01 Origin & Development of the Law of Torts in England

*Forms of action; specific remedies from case to case.*

### 1.1 The term "Tort"

The word **"tort"** is the French equivalent of the English word "wrong" and corresponds to the Roman law term *delict*. It was introduced into English law by the **Norman jurists after the Norman Conquest (1066)**. It derives from the Latin *tortum*, meaning **"to twist"** — i.e., conduct that is twisted, crooked or deviating from the straight path. The law of torts thus concerns **civil wrongs** (as distinct from criminal wrongs) — a wrong committed by one private person against another, which is enforced not by the police but by the injured citizen (the plaintiff) suing in a court.

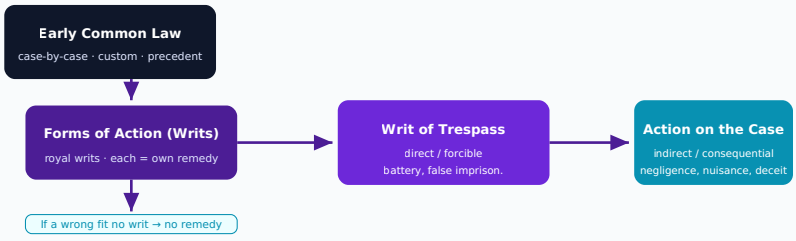
### 1.2 Case-by-case growth — the foundation of the Common Law

Before the development of a central legal system, disputes in England were settled **case-by-case according to local customs**. After the Norman Conquest, the King appointed itinerant judges who travelled around the realm on circuits, hearing cases and applying the best of local village customs. These judges, drawing on their own earlier rulings, began to refer to previous decisions — and when a ruling was relied upon often enough, it hardened into **precedent**. This is the origin of the **common law**: law made not by Parliament but by the decisions of courts, built incrementally from case to case. Tort law is therefore quintessentially a **judge-made** branch of law.

### 1.3 Forms of Action and Writs

The procedural engine of the early common law was the **writ** — a royal command issued by the King's Court (later the Court of Chancery) authorising a person to bring an action. Each writ was a distinct **"form of action"**, each with its own pleading, its own procedure, and its own remedy. The two most important for tort were:

| Form of action | Nature & use |
|---|---|
| **Writ of Trespass** | For direct, immediate and forcible interference — e.g., trespass to land, battery, false imprisonment. Lay at the root of assorted "trespass" torts. |
| **Action on the Case** (*trespass on the case*) | For harm arising **indirectly** or consequentially, and for wrongs not causing direct force. This was the great remedial device from which **negligence, nuisance, deceit and many other torts** grew. |




The writ/forms-of-action system: a plaintiff could sue only if his complaint fell within an existing form.

### 1.4 Specific remedies from case to case

Because each form of action prescribed a **specific remedy**, the scope of tortious liability was for centuries confined to recognised "nominate torts." If a harm could not be slotted into an existing writ, the plaintiff left court without a remedy. It is this historical fact that gave rise to the famous **pigeon-hole theory** of Sir John Salmond (see §5), and the opposing view that tort law is a single general principle of liability (Winfield). This "closed" character was progressively loosened by the great remedial writ of *action on the case*, which allowed the courts to create new causes of action to meet new wrongs.

### 1.5 Modern development

- **Abolition of forms of action:** The *Common Law Procedure Act, 1852* and the *Judicature Acts, 1873–75* abolished the forms of action as procedural formalities. Substance triumphed over form. Lord Atkin famously cautioned against the "ghosts of the past ... clanking their medieval chains" standing "in the path of justice."
- **New torts judicially created:** *negligence* as a distinct tort (19th c.), *strict liability* in *Rylands v. Fletcher* (1868), *deceit* (*Pasley v. Freeman*), *inducement of breach of contract* (*Lumley v. Gye*), *intimidation* (*Rookes v. Barnard*), and the *neighbour principle* in *Donoghue v. Stevenson* (1932).
- **Statutory reform:** *Law Reform (Contributory Negligence) Act, 1945*; *Defamation Act* etc.; *Unfair Contract Terms Act, 1977* (limits exclusion clauses).

**Exam point:** The historical link between "forms of action" and the modern debate is that **the writ system produced a set of distinct nominate torts** (*law of torts*), while the broadening of *action on the case* supports the *law of tort* theory. Lord Macmillan: *"The categories of negligence are never closed."*

## 01.02 Evolution of the Law of Torts in India

*Uncodified and judge-made; advantages and disadvantages.*

### 2.1 Reception of English common law

The law of torts in India is **practically English law**. It came with the establishment of British courts — beginning with the **Mayor's Courts** established under the Royal Charters. The Englishmen administering these courts drew upon the common law and statute law of England **"according to justice and right."** The law of torts is thus administered in India **as rules of justice, equity and good conscience** — that is, Indian courts adopt English common-law principles **only to the extent they are consistent with Indian conditions and suited to Indian society**.

The Supreme Court in *Rajkot Municipal Corporation v. Manjulben* (see Case No. 4) expressly recognised this: since there is **no statutory law in India regulating tortious damages**, the courts "selectively applied the common law principles evolved by the courts in England on grounds of justice, equity and good conscience."

**Not a blind import:** Indian courts first test whether a rule of English law suits Indian circumstances before applying it — e.g., the doctrine of **sovereign immunity** was rejected (*State of Rajasthan v. Vidhyawati*) and the **rule of strict liability** was broadened into **absolute liability** in *M.C. Mehta v. Union of India*.

### 2.2 Uncodified and judge-made

Unlike most branches of Indian law (contract, property, crime), the **law of torts is largely uncodified**. There is no single "Indian Torts Code" or "Indian Damages Act." It is a **judge-made law**, developed through precedents. Tortious liability is codified **only to a very limited, fragmentary extent**:

| Statutory area | Statute |
|---|---|
| Workmen's injury / employment | Employees' Compensation Act, 1923; Workmen's Compensation Act |
| Motor accidents | Motor Vehicles Act, 1988 (incl. no-fault & hit-and-run compensation) |
| Consumer protection | Consumer Protection Act, 2019 |
| Environment / hazardous activity | Environment (Protection) Act, 1986; Public Liability Insurance Act, 1991 |
| Defamation (criminal), Railways, etc. | Indian Penal Code; Railways Act; specific statutes |

The Law Commission of India has repeatedly **recommended codification** (e.g., its *First Report on the Liability of the State in Tort*, 1956), but no general codification has followed. The House of Lords' intended reform of damages law in *Lonrho*-type legislation has been described as a proposal that "died still-born," leaving India to rely on judge-made principles.

### 2.3 Advantages of an uncodified, judge-made law of torts

- **Flexibility & adaptability:** It can grow to meet new circumstances, technological change and industrial hazards without waiting for Parliament.
- **Capacity to create new torts:** The courts can recognise new wrongs as society evolves — e.g., **constitutional torts**, **absolute liability** in *M.C. Mehta*, compensation for violation of **Article 21** (*Rudul Sah v. State of Bihar*; *Bhim Singh v. State of J&K*).

- **Justice in individual cases:** A judge can do justice on the specific facts instead of being bound by rigid statutory categories.
- **Principles based on equity & good conscience:** The courts can mould rules to Indian conditions — e.g., rejecting feudal sovereign immunity while expanding State liability in a welfare State.
- **No piecemeal rigidity:** Old maxims like *ubi jus ibi remedium* keep the law responsive to violations of rights that attract no statutory remedy.

### 2.4 Disadvantages

- **Uncertainty & unpredictability:** Because there is no code, a litigant cannot be sure whether a particular harm is actionable until a court decides. This risk is high in a country with costly litigation.
- **Dependence on victims coming forward:** A judge-made law develops only if victims litigate; it is reactive, not forward-looking.
- **Cost & delay:** The poor and marginalised cannot easily access courts, so the law remains under-developed in areas that are not litigated.
- **Reliance on English law:** Indian courts borrow English principles, some of which may not fit Indian social/economic realities.
- **Slow, uneven growth:** Development is haphazard and incremental — the law that a court creates in one State or one case may not be adopted uniformly.
- **Judicial activism not always a substitute:** Courts can fill gaps, but detailed prospective rules (e.g., compensation schemes) require legislation.

## 01.03 Meaning & Function of the Law of Torts

*Prescribing standards of human conduct; redressal of wrongs by payment of compensation; injunction.*

The law of torts performs two broad tasks that together define its **nature and scope**:

### 3.1 Prescribing standards of human conduct

Tort law sets a **minimum standard of behaviour** that reasonable persons must observe towards others. It is not a code of morality — it prescribes a standard of **reasonable care** and instructs people not to invade the legal rights of others (e.g., not to trespass, not to defame, not to be negligent). When a person falls below this standard and thereby injures another, tort law steps in. In this sense tort law is **"the law of duties"** — duties fixed by law, not by the consent of parties.

### 3.2 Redressal of wrongs by payment of compensation

The primary function is **compensation** (restorative, not punitive): the wrongdoer (*tort-feasor*) is made to pay **damages** to the injured party. Damages in tort are **unliquidated** — fixed by the court, not pre-agreed. Tort compensation serves to place the victim, so far as money can, in the position he would have been in but for the wrong. However, tort law is not merely compensatory — in cases of malicious or outrageous conduct, **exemplary/ punitive damages** may also be awarded (e.g., *Ashby v. White*, *Bhim Singh v. State of J&K*).

### 3.3 Injunction

Where damages would be inadequate — e.g., a continuing or threatened wrong — the court may grant an **injunction**, an equitable remedy that **restrains** the defendant from doing, or requires him to undo (mandatory injunction), a particular act. In *Seetharamayya* the plaintiffs framed their whole relief around **mandatory and permanent injunctions**; in *Prof. Imtiaz Ahmad v. Durdana Zamir* and *Rustom K. Karanjia* injunctions were sought against further publication.

| Function | Mechanism | Illustration |
|---|---|---|
| Prevent/deter harm | Standard of care; injunction | Neighbour principle (Donoghue) |
| Compensate the victim | Unliquidated damages | Rajkot MC (fatal fall of tree) |
| Restrain continuing wrong | Prohibitory / mandatory injunction | Seetharamayya (bunds & trench) |
| Vindicate a violated right | Nominal / exemplary damages | Ashby v. White (right to vote) |

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## 01.04 Definition of Tort

### 4.1 Salmond's definition

> *"A civil wrong which is **not exclusively a breach of contract** or **breach of trust** or other merely equitable obligation."*

This is a **negative / residual** definition. It tells us what a tort is *not* — it is a civil wrong that is neither a breach of contract nor a breach of trust nor a merely equitable obligation. It does not affirmatively state the basis of tortious obligation. The remedy for a tort is a **common-law action for unliquidated damages**.

### 4.2 Winfield's definition

> *"Tortious liability arises from the **breach of a duty primarily fixed by law**; this duty is **towards persons generally**; and its breach is **redressible by an action for unliquidated damages**."*

Winfield's **positive/affirmative** definition isolates the three essential attributes of a tort:

1. **Breach of a duty primarily fixed by law** — the duty is imposed by law itself, independent of any contract, agreement or consent between the parties.
2. **The duty is towards persons generally** — it is owed to the **world at large**, a right ***in rem***, not merely to a particular individual (a *right in personam*).
3. **Breach is redressible by an action for unliquidated damages** — damages are not pre-determined but fixed by the court.

### 4.3 Fraser's definition

> *"A tort is an **infringement of a right in rem** of a private individual, giving a right of compensation at the suit of the injured party."*

### 4.4 Common elements distilled

Taken together, definitions converge on the following: a tort is a **civil wrong** consisting of a **wrongful act or omission** which is a **breach of a legal duty** (a duty fixed by law, owed to persons generally), which causes **legal damage**, and for which the remedy is **unliquidated damages** at the suit of the injured party.

**Why both definitions matter:** Salmond's definition (a civil wrong) is the one DU most often expects and is frequently tested in DU LL.B. examinations. Winfield's definition is preferred for examining the **nature** of tortious liability and for distinguishing tort from contract and crime.

## 01.05 "Is it the Law of Tort or the Law of Torts?"

*Foundation of tortious liability — Winfield & Salmond's competing theories.*

Professor Salmond posed the question: does the law of torts consist of a **fundamental general principle** that it is wrongful to harm others absent justification, or does it consist of a **number of specific rules** prohibiting certain named harmful activities, leaving all else outside liability?

**(A) Larger theory — the Law of Tort (Winfield and common law jurists)**

"All injuries done by one person to another are **torts**, unless there is some justification recognised by law."

- Every unjustifiable harm is tortious.
- Courts may **create new torts**; a plaintiff need not find a label.
- Supported by *negligence* as a new tort, *Rylands v Fletcher*, *Donoghue v Stevenson*, *Ashby v White* (ubi jus ibi remedium).
- Lord Macmillan: *"The categories of negligence are never closed."*
- Holt CJ in *Ashby*: *"If man will multiply injuries, actions must be multiplied too."*

**(B) Narrower theory — the Law of Torts (Salmond)**

There is no law of tort, only a **law of torts** — a set of **pigeon-holes**, each containing a labelled tort.

- Liability arises **only if** the wrong falls into one of the recognised ("nominate") torts.
- "Just as the criminal law consists of rules establishing specific offences, so the law of torts consists of rules establishing specific injuries."
- No general principle of liability; the plaintiff must prove the case falls within a specific rule.
- Based on the early **writ/forms of action practice** (no writ → no remedy).
- Dr Jenks supports Salmond but adds courts **can** create new torts (though substantially similar to existing ones).

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### Reconciliation

The correct approach is a **middle ground**. There *are* a number of nominate torts, but a person sustaining a loss does **not** have to find a label to obtain compensation — courts have granted relief for new claims (e.g., nervous shock). Winfield himself modified his position: *"From a narrow and practical point of view, Salmond's theory will suffice, but from a broader outlook, his theory is valid."*

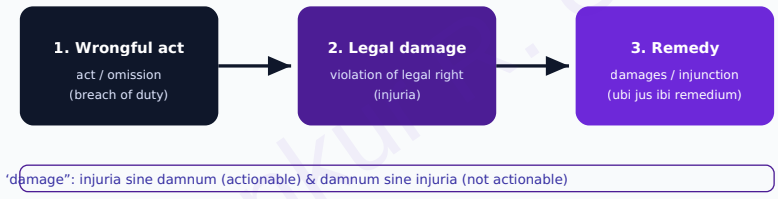
An Indian decision, *Lala Pannalal v. Kasturi Chand Ramaji* (AIR 1946 Mad 147), holds that there is no exhaustive classification of torts beyond which courts should not proceed; new invasions of rights devised by human ingenuity may give rise to new torts (e.g., malicious house-search). Indian judiciary has favoured Winfield's wider theory (see *M.C. Mehta* — "we have to evolve new principles ... which will adequately deal with new problems which arise in a highly industrialised economy").

## 01.06 Constituents of Tort

*Wrongful act, legal damage and remedy.*

For an action to lie in tort, three ingredients must co-exist:

1. **Wrongful act (or omission)** — The defendant must have committed a legal wrong — a positive act (*misfeasance*) or a failure to act where a legal duty to act exists (*non-feasance*). An act that is merely a moral or social wrong, or that causes harm without violating any legal right, is not tortious.
2. **Legal damage (violation of a legal right / *injuria*)** — There must be an infringement of a right recognised by law. Under the *ubi jus ibi remedium* principle, where there is a legal right there must be a remedy. The damage must be one the law will redress; mere loss or inconvenience the law does not regard is not *injuria*.
3. **Legal remedy / *damnum* (actual damage, or actionable per se)** — Either the plaintiff has suffered actual loss (*damnum*), **or** the act is actionable **per se** without proof of damage (in case of *injuria sine damnum*). The remedy is usually **unliquidated damages** or an **injunction**.




Three-step structure of tortious liability.

## 01.07 Injuria sine damnum & Damnum sine injuria

*the two crucial maxims about "damage."*

### 7.1 Injuria sine damnum (legal injury without damage)

*Injuria* = violation/infringement of a legal right; *sine* = without; *damnum* = actual loss or damage (money, comfort, health). Together: **infringement of a legal right without any actual loss or damage to the plaintiff.**

> *If a legal right is violated, the violation is **actionable even though the plaintiff has suffered no actual loss**. The plaintiff need only prove the infringement of the right — the action is **actionable per se**.*

- **Examples:** trespass to land (actionable even if no damage); wrongful deprivation of the right to vote (*Ashby v. White*; *Municipal Corpn. of Agra v. Asharfi Lal*); wrongful detention of an MLA violating Article 21 (*Bhim Singh*) — in the last case the Supreme Court awarded **exemplary damages of ₹50,000**.
- **Remedy: nominal damages** are awarded to vindicate the right; if the violation is malicious or wicked, **exemplary/ punitive damages** may be given.
- **Statutory recognition:** Under Section 42 (specific relief analogous) and the principle is also reflected in *ubi jus ibi remedium* .

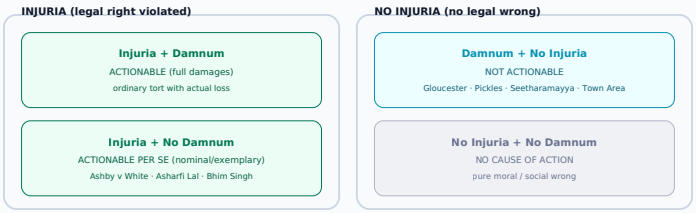
### 7.2 Damnum sine injuria (damage without injury)

**Actual and substantial loss suffered without any infringement of the plaintiff's legal right.** The harm may be real, even serious, but the law gives no remedy because **no legal injury** (*injuria*) has been done.

> *"Law does not take into account all harms suffered by a person which caused no legal injury. Damage so done is called damnum sine injuria." — Town Area Committee v. Prabhu Dayal*

- **Examples:** loss caused by lawful competition (*Gloucester Grammar School*); use of one's own property however motivated (*Mayor of Bradford v. Pickles*); protection of one's land against floodwater (*Seetharamayya*); demolition of an illegally-built structure (*Town Area Committee v. Prabhu Dayal*); trade combinations in furtherance of business (*Mogul Steamship Co. v. McGregor Gow & Co.*); interception of percolating underground water (*Acton v. Blundell*; *Chasemore v. Richards*); loss from a negligently-delivered telegram to a stranger (*Dickson v. Reuter's Telegraph Co.*); unlawful competition or hurt to one's property from exercise of another's lawful right.

The often-quoted test (from *Town Area Committee*): a **legal act**, though motivated by malice, does **not** make the actor liable; the plaintiff can get compensation **only if he proves he suffered injury due to an *illegal* act** of the defendant.




Four-fold matrix of the two maxims (the pattern used in the DU revision flowchart).

### 7.3 Table comparison — Injuria sine damnum vs Damnum sine injuria

| Basis | Injuria sine damnum | Damnum sine injuria |
|---|---|---|
| Meaning | Legal injury without actual damage | Actual damage without legal injury |
| Legal right | Violated (legal right infringed) | Not violated (no legal wrong) |
| Actual loss | Absent / nominal | Present (may be substantial) |
| Actionable? | **Yes** — actionable per se | **No** — not actionable |
| Nature | Legal wrong | Moral/social wrong or justifiable harm |
| Damages | Nominal; exemplary if malicious | No compensation |
| Examples | Ashby v. White; Asharfi Lal; Bhim Singh; trespass to land | Gloucester Grammar School; Mayor of Bradford v. Pickles; Seetharamayya; Town Area Committee; Mogul Steamship |

## 01.08 Ubi Jus Ibi Remedium

*"Where there is a right, there is a remedy."*

> *"If the plaintiff has a right, he must of necessity have a means to vindicate and maintain it, and a remedy if he is injured in the exercise or enjoyment of it; and indeed it is a vain thing to imagine a right without a remedy; for want of right and want of remedy are reciprocal." — **Lord Holt CJ**, Ashby v. White (1703)*

This maxim is the jurisprudential basis of **injuria sine damnum** and the whole remedial character of tort law. Every violation of a legal right must be redressed. The purpose of the law is served — and the violation of a legal right should **not remain without a remedy** — by awarding at least nominal damages.

**Its limits:** The maxim operates only where there is a **legal right**. It does **not** apply to mere damage without any violation of a legal right (*damnum sine injuria*) — e.g., loss from lawful competition in the *Gloucester Grammar School* case, or loss from a harm where the defendant exercised a legal right (*Pickles*).

## 01.09 Tort vis-à-vis other Wrongs

*Crime, breach of contract, breach of trust, quasi-contract.*

### 9.1 Tort vs Crime

Blackstone's classic division: **private wrongs** infringing private/civil rights (civil injuries = torts) vs **public wrongs** breaching public rights affecting the whole community (crimes).

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| Basis | Tort | Crime |
|---|---|---|
| Nature | Civil / private wrong | Public wrong (against the community / State) |
| Right violated | Right *in rem* (private right) | Public right/duty |
| Who sues/acts | Injured party (plaintiff) sues | State prosecutes (prosecutor/police) |
| Object / sanction | Compensatory / restorative (damages) | Punitive / disciplinary (imprisonment, fine) |
| Damages | Unliquidated; court-fixed | Fine is fixed & in addition to punishment |
| Compromise | Settlable with consent of injured party | Not generally compoundable (except a few) |
| Survival | May survive to successors (with exceptions — Rose v. Ford) | Dies with the person (actio personalis moritur cum persona) |
| Overlap | Assault, defamation, nuisance, conspiracy are **both** tort and crime; **remedies are concurrent**, not alternative | |

### 9.2 Tort vs Breach of Contract

| Basis | Tort | Breach of Contract |
|---|---|---|
| Source of duty | Duty fixed **by law** | Duty fixed **by the agreement** of the parties |
| Owed to | Persons generally (right *in rem*) | Specific contracting party only (privity — right *in personam*) |
| Consent | Without consent | Based on consent |
| Privity | Not required (*Donoghue*) | Required |
| Damages | Unliquidated | Liquidated (pre-determined) |
| Wrong | Violation of a duty in rem | Violation of a duty in personam |

**Important co-existence:** The **same facts** may give rise to liability in both tort and contract — e.g., a railway passenger injured by the company's negligence (sue for *breach of contract of safe carriage* OR *negligence in tort*); a dentist who negligently extracts a tooth (*Edwards v. Mallan*); a surgeon called by a father to operate on his daughter (contractual duty to the father, tort duty to the daughter — *Pippin v. Sheppard*). The plaintiff cannot claim twice; he may choose either. This is settled by ***White v. John Warrick*** (Case No. 1) — an exemption clause barring contract liability does **not** bar an action in tort for negligence.

### 9.3 Tort vs Breach of Trust & Quasi-contract

| Basis | Tort | Breach of Trust | Quasi-contract |
|---|---|---|---|
| Duty imposed by | Law | Obligation of the trustee (property law) | Law (unjust enrichment) |
| Owed to | Persons generally (*in rem*) | Beneficiary | A particular person |
| Remedy | Unliquidated damages | Liquidated (value of the property) | Liquidated (repayment of benefit) |
| Basis | Breach of duty | Misfeasance in respect of trust property | Unjust benefit received |

## 01.10 Relevance of Intention, Motive & Malice

### 10.1 Intention

**Intention** (the defendant's deliberate desire that the consequence follow) is relevant in torts that are **intentional** — e.g., *battery, assault, false imprisonment, trespass, deceit, malicious prosecution, conspiracy*. It distinguishes an intentional tort from negligence or an accident. Intention is also relevant to the **quantum of damages** — a deliberate wrong may attract **unliquidated and exemplary damages**. But intention is **not an essential element** of tortious liability generally; liability may arise without any wrongful intention (see strict & absolute liability below).

### 10.2 Motive

**Motive** (why the act was done) is, as a general rule, **irrelevant** in tort. The law asks what the defendant *did*, not why he did it. **A good motive does not justify an act otherwise illegal; a bad motive does not make wrongful an act otherwise legal.**

> *"No use of property which would be legal if due to a proper motive can become illegal because it is prompted by a motive which is improper or even malicious."* — ***Lord Watson***, *Mayor of Bradford v. Pickles*
>
> *"In such a case, motives are immaterial; it is the act, not the motive for the act, that must be regarded. If the act apart from the motive gives rise merely to damage without legal injury, the motive, however reprehensible, will not supply that element."* — ***Lord Macnaghten***, *same case.*

Similarly in *Allen v. Flood* (1896): an act lawful in itself is not converted into an unlawful act by a malicious motive. And in *Town Area Committee v. Prabhu Dayal*: "A legal act, though motivated by malice, will not make the actor liable … Mere malice cannot disentitle a person from taking recourse to law."

### 10.3 Malice — two senses

**Malice in law**

Means more than mere evil motive. It signifies either (a) the **intentional doing of a wrongful act without just cause or excuse**, or (b) an action determined by an improper motive. It is **presumed** from an unlawful act.

> *"Malice in common acceptation means ill-will against a person, but in its legal sense it means a wrongful act done intentionally without just cause or excuse."* — ***Bayley J***, *Bromage v. Prosser (1825)*

**Malice in fact (evil motive)**

Means an **evil motive** — a feeling of ill-will. When a wrongful act is done with ill-will, it is done "maliciously."

Relevant in torts where a good motive is the **justification** — e.g., **malicious prosecution**, and in **defamation** where malice in fact defeats **qualified privilege** (see *Rustom K. Karanjia* — malice found; and *Prof. Imtiaz Ahmad* — no cause of action). It may escalate damages (exemplary) where the wrong is malicious (*Ashby*, *Bhim Singh*).

### 10.4 When fault is relevant & when irrelevant

| Fault relevant | Fault irrelevant (liability without fault) |
|---|---|
| Intentional torts — assault, battery, false imprisonment, deceit, malicious prosecution, conspiracy, trespass | Tort of **conversion**; **defamation**; **vicarious liability**; **strict liability** (Rylands v. Fletcher); **absolute liability** (M.C. Mehta) |
| To distinguish intentional wrong from negligence/accident | In these, liability arises irrespective of the defendant's intention, motive or negligence |
| For quantum of damages (exemplary for wilful/malicious wrongs) | For liability as such — harm alone suffices |

**Salmond's fault theory vs modern law:** Salmond argued liability should rest on fault (intention or culpable negligence). Modern law has moved beyond this — strict & absolute liability and vicarious liability impose liability **without** fault. Hence intention/motive/malice are relevant *selectively*, not universally.

## JUDICIAL DOSSIERS // 08 CASES — Prescribed Landmark Case Laws — Detailed Analysis

### 1. White v. John Warrick & Co. Ltd.

(1953) 2 All ER 1021 (CA)

**FACTS** The plaintiff, a **newsagent and tobacconist** at Canonbury, entered into a written contract with the defendants (owners) that they would supply him a **tradesman's tricycle** (with a large carrier in front) for delivering newspapers. The contract was on the defendants' printed form. By cl. 1 the owners let the carrier cycle for three years at 5s per week; by cl. 2 the owners agreed to **maintain the machines** in working order and to supply spare carriers. The machine was in use for a considerable period. Towards the end of May 1950 it needed repair. On **Saturday, 3 June**, a representative of the owners went to the plaintiff's shop, took away the faulty machine and **left a spare tricycle** in its place (i.e., purporting to perform cl. 2). The plaintiff did **not examine** it; he mounted it immediately for work. After about a **quarter of a mile** the saddle went forward, he was thrown off and injured (an injury to his knee — **synovitis** — requiring hospital care). The evidence (incl. the plaintiff's employee Anthony) showed the saddle was loose and the **nuts under the seat were rusted and could not be moved**. Parker J. made a provisional assessment of **£505**.

**ISSUES** (1) Was the defendants' conduct **negligent** in supplying a defective tricycle? (2) Did the contract contain a breach of warranty? (3) Did the **exemption clause (cl. 11)** bar the plaintiff's claim?

**ARGUMENTS** **Plaintiff:** (i) The owners were in breach of **warranty/contract** — bound to supply a tricycle reasonably fit for its purpose; (ii) the owners owed a **duty of care** and were **negligent** — had they examined the tricycle they would have found the rusted nuts and loose saddle. Even if cl. 11 barred the contract claim, it did **not** bar an action for **negligence**.

**Defendant (owners):** They denied negligence, breach of duty and breach of contract. They pleaded cl. 11: *"Nothing in this agreement shall render the owners liable for any personal injuries to the riders of the machines hired nor for any third party claims nor loss of any goods, belonging to the hirer, in the machines."* Counsel conceded that cl. 11 barred the **contract** claim, but argued that the alleged negligence arose out of the **performance of the contract**, so the cause of action was founded on the agreement; since the same facts gave rise to both, the plaintiff should not recover merely by **framing his action in tort**.

DECISION **Court of Appeal (Singleton & Denning LJJ)** held that cl. 11 exempted the owners only from **strict (contractual) liability**, **not** from liability for **negligence**. The claim for negligence was founded on **tort, not contract**.

> *"... negligence apart from contract gives a right of action to the party injured by that negligence ... The fact that there is a contractual relationship between the parties ... does not exclude the co-existence of a right of action founded on negligence ... though arising out of the relationship."* — relying on ***Lord Macmillan*** *in Donoghue v. Stevenson*

> *"If a person desires to exempt himself from a liability which the common law imposes on him, he can only do so by a contract freely and deliberately entered into by the injured party in words that are clear beyond the possibility of misunderstanding ... if there are two possible heads of liability, one for negligence and the other a strict liability, an exemption clause will be construed, so far as possible, as exempting the defendant only from his strict liability and not from his liability for negligence."* — ***Denning LJ***

⚡ RATIO & PRINCIPLE EVOLVED: (i) **The same set of facts can give rise to both a breach of contract and a tort**; the plaintiff may choose to sue in tort. (ii) An **exemption clause is construed strictly** — it will **not be read as excluding liability for negligence unless the words are clear beyond misunderstanding**; where there are two heads of liability, it exempts only the **strict** (contractual) one, leaving the tortious (negligence) claim intact. (iii) A duty of care owed to a third party's servant shows a *fortiori* a like duty to the hirer himself.

## 2. Town Area Committee v. Prabhu Dayal

AIR 1975 All 132

FACTS The plaintiff had **constructed 16 shops** on the old foundations of a building called "Garhi." The defendant Town Area Committee (through its Chairman and Vice-Chairman, defendants 2 and 3) allegedly **demolished these constructions illegally**, causing a loss of **Rs. 1,000**. The plaintiff contended that the notice under **s. 186** of the U.P. Municipalities Act gave him only **two hours** to demolish, not the **reasonable time** contemplated by s. 302; that the notice was served when the plaintiff was **out of station**; and that the action was **mala fide**.

**Defendants' plea:** The constructions were made **without notice** under s. 178 and **without sanction** under s. 180 of the Act. The alleged mala fide was denied; notices had been given on 18 December, the District Magistrate directed action under s. 186, a second notice was given on 21 December, and only then was the building demolished in accordance with law.

ISSUES (1) Was the demolition unlawful? (2) Is **malice** relevant to liability? (3) Did the plaintiff suffer **injuria** (a legal wrong) entitling him to compensation? (4) Was the damage *damnum sine injuria*?

ARGUMENTS **Plaintiff:** The demolition was mala fide and illegal because the notice gave only two hours; he had a **fundamental right to hold and enjoy property** even if built without sanction, and since the officer acted maliciously, the action was bad.

**Defendants:** The building abutted a public street and was erected **without prior notice/sanction** — an offence under s. 185; the plaintiff therefore had **no right** to maintain it, and the demolition was lawful; hence no damages.

DECISION **Hari Swarup J** held that the plaintiff could get compensation **only if he proved injury from an illegal act** of the defendant. The lower appellate court had **misdirected itself** by concentrating on **malice** instead of the **legality** of the action.

> *"A legal act, though motivated by malice, will not make the actor liable to pay damages ... Merely because some officer has malice against a citizen who has committed a wrong will not render the action of the authority invalid if it is otherwise in accordance with law."*

> *"Law does not take into account all harms suffered by a person which caused no legal injury. Damage so done is called damnum sine injuria ... The term 'injuria' is to be understood in its original and proper sense of wrong."*

The plaintiff had himself committed the wrong — he built without notice (s. 178) and sanction (s. 180), an offence under s. 185, and s. 186 empowered the Board to demolish. The **demolition of an illegally constructed building does not amount to injuria to the owner.** "No person has the right to enjoy the fruits of an act which is an offence under law." **Appeal allowed**; the lower appellate court's decree was set aside and the trial court's restored.

> ⚡ RATIO & PRINCIPLE EVOLVED: **Damnum sine injuria** — damage without a legal wrong is **not actionable**. **Malice is irrelevant** where the act itself is legal — "a legal act, though motivated by malice, will not make the actor liable." Compensation requires proof of **injury caused by an *illegal* act**, not merely loss. This is also a **damnum sine injuria** illustration and a concrete application of *ubi jus ibi remedium*'s converse.

### 3. P. Seetharamayya v. G. Mahalakshmamma

AIR 1958 AP 103

FACTS The parties owned **adjacent lands**. The appellants owned S. Nos. 86 & 87/2 (shown in the plan as plots A and A-1); the respondents owned plots B and B-1, along the western boundary of which ran a *vagu* (a stream). The **fifth defendant** constructed a **bund** on her land to protect it from flood-water entering through a breach in the embankment of the vagu; **defendants 1–4** dug a **trench** and constructed another **bund** as additional safeguards. The effect was that the **rain/flood water flowed into the appellants' plot A**, washing away their *variga* and groundnut crops. The appellants twice built bunds (about 150 ft) but each was washed away. They sought a **mandatory injunction** to demolish the bunds and fill the trench, a **permanent injunction** against future bunds/trenches, and **Rs. 300 damages**.

ISSUES (1) Were the defendants entitled to erect bunds/trenches to protect their land from **flood-water**? (2) Did the damage arise from **normal rain-water** (which the lower owner may not obstruct) or from **flood-water** (a "common enemy" against which each may defend himself)? (3) Was this *damnum sine injuria*?

ARGUMENTS & AUTHORITIES **Appellants:** The bunds/trench on the defendants' lands diverted water into plot A causing crop loss; the defendants' acts were wrongful, so mandatory injunction and damages should be granted.

**Defendants:** They were protecting their lands against flood-water — an apprehended danger — which is a lawful exercise of the right to self-protection.

**Leading authority — *Nield v. N.W. Rly.* (1874):** "The flood is a **common enemy** against which every man has a right to defend himself … The law allows … a kind of **reasonable selfishness** … he who puts up a barricade against a flood is entitled to say to his neighbour who complains of it 'why did not you do the same.'" — **Lord Bramwell B**.

**Beven on Negligence:** The distinction is between water coming on land in the **normal way** (an incident of property from which a man may not relieve himself at his neighbour's expense) and water coming **abnormally** (a **common enemy**, against which each may take precautions without regarding his neighbour — though he may protect his land, he may **not**, once the evil has befallen him, **shift** it to his neighbour's land). Other authorities: *Gerrard v. Crowe* (PC — right to build fence against overflow), *Gopal Reddi v. Chenna Reddi* (no actionable wrong where no other practicable protection), *M.&S.M. Rly. v. Maharaja of Pithapuram* (a landholder must not, once flood-water is on his land, actively turn it onto a neighbour's land), *Sheik Hussain Sahib v. Subbayya* (a lower owner cannot obstruct the natural surface-flow from a higher land), *Kasia Pillai* (agriculturist's customary right to drain).

DECISION **Mohammed Ahmed Ansari J** held that the damage was caused by **flood-water** — the stream (vagu) being turbulent in flood season, the water entered through the breach, and the defendants were within their rights to protect their land. Once the right to protect against flood is ceded, the owner also enjoys the **power of reasonably choosing how** to protect his land. There was no evidence that the fifth defendant negligently chose the means or diverted accumulated water, nor that the vagu was obstructed.

> *"Therefore, this case is a clear one of **damnum sine injuria**, and the plaintiffs must adopt their own protective measures against the flood water."*

Both **appeals dismissed with costs**.

> ⚡ RATIO & PRINCIPLE EVOLVED: A landowner has a **right to protect his land against flood-water** (the **"common enemy"**) even though, in doing so, the water is diverted to and damages the neighbouring land — such damage is **damnum sine injuria** and not actionable. Key distinction: **flood-water (abnormal)** may be warded off; **normal surface drainage** may **not** be obstructed to the neighbour's prejudice; and water already on one's land may **not** be actively cast onto a neighbour's land.

### 4. Rajkot Municipal Corporation v. Manjulben Jayantilal Nakum & ors.

1997 (9) SCC 552

FACTS On **25 March 1975**, the deceased **Jayantilal**, a clerk in the office of the Director of Industries, Rajkot, was walking on a footpath in the Kothi compound of the Collectorate on his way to work when a **road-side tree suddenly fell on him**. He sustained injuries to his head and body and **died in hospital**. The respondents — his widow and children — sued the appellant Municipal Corporation for **Rs. 1 lakh**. The trial court decreed **Rs. 45,000**, holding that the Corporation had failed in its **statutory duty** to check the health of the trees and to protect the deceased. The Division Bench confirmed, holding there was a statutory duty to plant **and maintain** trees, that the tree fell due to

decay, that the Corporation failed to prove no negligence, and that it had not made periodical inspections. The Corporation appealed by special leave.

ISSUES (1) Did the Corporation owe a **duty of care** to the deceased (or the class of pedestrians) in respect of the road-side trees? (2) Was there a **breach** of that duty, and was the breach the **cause** of the death? (3) Was the damage **reasonably foreseeable** and the causation sufficiently **proximate**, or was it **too remote**? (4) Does breach of a **statutory duty** ipso facto create **tortious liability**? (5) Is the standard of care such that the Corporation must inspect every tree?

ARGUMENTS **Appellant (Corporation — Mr. T.U. Mehta):** There is no unqualified/absolute duty to maintain trees; the burden is on the respondents to prove breach of duty. It is difficult to inspect every tree; the standard of care is not as high as in breach of a statutory duty. The Corporation could not foresee that a tree would suddenly fall; there was no **proximity** or **foreseeability** as per the "neighbour" principle in *Donoghue*. Following *Murphy v. Brentwood D.C.* (overruling *Anns v. Merton*), a breach of statutory duty does **not** ipso facto entail liability; the duty must be owed to the plaintiff himself or a class, which was not pleaded/proved. Knowledge of likely harm is a pre-requisite. The duty to plant trees is owed to the **public at large**, not an individual; there is no sanction for omission; the legislature did not intend a private cause of action. The duty is **discretionary**.

**Respondents:** There is a statutory duty to plant and maintain trees; the tree fell due to **decay**, so the Corporation failed to prove the occurrence happened without its negligence; the statutory obligation being **absolute**, the respondents need not prove the exact negligence; the Corporation failed to make periodic inspections and seasonal treatment.

DECISION **K. Ramaswamy J** held that each case must be judged on its special circumstances — the existence of a duty of care, the class of persons owed, breach, and resultant damage. Public authorities discharge obligations to the public at large and owe a **common-law duty of care to avoid present or imminent danger**. However:

> *"But when the defendant was not in know of the discoverable defect or danger and it caused the damage by accident like sudden fall of the tree, it would be difficult to visualise that the defendant had knowledge of the danger and he omitted to perform the duty of care ... There would be no special relationship between the statutory authority and the plaintiff who is a remote user of the foot-path ... the defendant by his non-feasance is not responsible for the accident ... since admittedly there was no visible sign that the tree was affected by disease."*

> *"... the Corporation or the authority is not liable to be sued for tort of negligence since the causation is **too remote**. Novus actus inconveniences snaps the link ... It was difficult to foresee that a tree would fall on him."*

The tree fell **suddenly, in still weather**, with no visible sign of decay/disease; it was impossible to foresee; the conditions in India do not permit a Corporation to keep constant vigilance by testing every tree. Foreseeability alone does not create a duty; to impose an obligation of constant vigil would put an **intolerable burden** on the authority, detract from its normal duties, and cause a heavy financial burden. **Appeal allowed**; the trial court's decree, as affirmed by the High Court, was set aside.

**But see the court's contrasting illustrations** (where liability *would* attach): (i) a branch/tree **gradually** falling and the authority failing to act; (ii) a **boy climbing** a dangerously leaning tree and getting hurt — defect apparent, negligence obvious; (iii) a **road being repaired** with no warning/signal and a cyclist falling into the ditch at night. In all these the defect is **apparent** and the damage **foreseeable**, so the authority is liable.

> ⚡ RATIO & PRINCIPLE EVOLVED: For negligence the plaintiff must prove (i) a **duty of care** (fixed by the neighbour principle), (ii) **breach**, and (iii) **damage caused by** the breach. **Foreseeability and proximity are essential**; foreseeability alone is **not** sufficient, and **remote causation** — where the harm is not reasonably foreseeable to a reasonable prudent person — negates liability. A public authority is **not** liable for a sudden, unforeseen fall of a healthy-looking tree where no defect was discoverable; but it **is** liable when the danger is apparent (a tree visibly falling, a defective structure, an unmarked excavation). The case also clarifies that **breach of statutory duty does not automatically create tort liability** — a duty owed to the public at large does not necessarily create a private right of action.

### 5. Ashby v. White

(1703) 2 Lord Raym 938

FACTS The plaintiff was a **qualified voter** in a parliamentary election. The defendants, the **returning officers**, wrongfully **prevented him from exercising his right to vote**. The candidate for whom the plaintiff wanted to vote nevertheless **won the election**, so no particular "cause" was lost. The plaintiff nevertheless brought an action claiming damages for the **malicious** prevention of his statutory right to vote.

ISSUES Is the wrongful deprivation of a legal right to vote **actionable even where the plaintiff has suffered no actual loss or damage**? That is, does the action lie under *injuria sine damnum* / *ubi jus ibi remedium*?

ARGUMENTS **Defendants:** The plaintiff suffered no loss; the candidate he favoured won anyway, so there was no damage.

**Plaintiff:** There was an **infringement of a legal right** vested in him — the right to vote; that alone is actionable.

DECISION **Lord Holt CJ** allowed the plaintiff damages, holding that the **violation of a legal right is itself actionable**, irrespective of proof of actual loss. The action is **actionable per se**.

> *"If the plaintiff has a right, he must of necessity have a means to vindicate and maintain it, and a remedy if he is injured in the exercise or enjoyment of it; and indeed it is a vain thing to imagine a right without a remedy; for want of right and want of remedy are reciprocal."*

> *"If man will multiply injuries, actions must be multiplied too: for every man who is injured ought to have recompense."*

(The principle was echoed in an English municipal-election case in 1957, *Tozer v. Child*.)

⚡ RATIO & PRINCIPLE EVOLVED: **Injuria sine damnum** — the violation of a legal right is actionable even without actual damage; it is **actionable per se**, and the plaintiff is entitled at least to **nominal damages**, which may become **exemplary** if the conduct is malicious. It is the leading authority for **ubi jus ibi remedium** and for the Winfieldian "law of tort" theory.

**Indian parallel — *Bhim Singh v. State of J&K* (AIR 1986 SC):** An MLA was wrongfully detained while on his way to the assembly session, deprived of his constitutional right to attend, and Article 21 was violated. The Supreme Court held there was a violation of a legal right due to a mischievous and malicious act and awarded **exemplary damages of ₹50,000** — a modern Indian application of *injuria sine damnum*.

### 6. Municipal Corpn. of Agra v. Asharfi Lal

AIR 1921 All 202 · (1922) ILR 44 All 202 · F.A. 47 of 1921

FACTS The plaintiff, **Asharfi Lal**, a duly qualified person **entitled to be on the electoral roll / candidates' list** of the Agra Municipality, was **wrongfully omitted or misdescribed** on the candidates' list. As the result of acts done **officially in the course of business, or wrongly with intention in the course of business, or as a result of the revengeful and malicious interference** of some individual (a member or employee of the Board), the plaintiff's name on the list was so put and his description so fabricated as to represent him to be **somebody other than the person he was known to be**. Consequently, when he presented himself at nomination (between 31 January and 8 March), the **Nomination Officers had to reject his nomination**, because the person before them was not the son of the father recorded in the candidates' list. The plaintiff sued for **correction of the list** (specific relief) and **damages** for the wrong done, later adding a claim that, because of the tampering, the **whole constitution of the Board was invalid**.

ISSUES (1) Does the wrongful omission/misdescription of a duly qualified citizen on the electoral roll or candidates' list amount to a **legal wrong** (*injuria*) entitling him to damages, even without proof of loss? (2) Against whom are damages recoverable — the **Municipality as principal** or the **individual members**? (3) Is the **constitution of the Board invalid** because of one wrongful entry? (4) What is the scope of **discovery** against a public body?

ARGUMENTS **Defendants (Municipal Board & members):** The plaintiff abandoned the claim for wrongful omission; there were too many documents for discovery and some might be lost; individual members cannot be liable in their own pocket unless they took part in / authorised the wrongful act; liability, if any, depends on the principles of **principal and agent**.

**Plaintiff:** He did not know who was the author of his grievance, but it was impossible to resist the conclusion that his name was intentionally removed/replaced; he had the right to insist on production of the relevant documents by the public body.

DECISION **Walsh J** (Allahabad High Court) held that **the law in India on the question is the same as the law in England**. Under the common law, if a duly qualified citizen is wrongfully omitted from the electoral roll (depriving him of the right to vote) or misdescribed (so that his nomination is rejected), he **has suffered a legal wrong** — he has been **deprived of a right recognised by law** — and has a remedy, what has always been called **"an action on the case"**, for **nominal damages** for the right he has lost. The damages may be made **punitive or exemplary** if the conduct is the result of a **malicious and wicked intention**, and he also recovers any **pecuniary expenses** reasonably incurred.

> *"... he has suffered a **legal wrong**; he has been deprived of a right recognised by law and he has against the person so depriving him a remedy by what has always been called 'an action on the case' for **nominal damages** for the right that he has lost, which may at the discretion of the court be **punitive or exemplary** if the conduct is the result of some malicious and wicked intention ..."*

**On liability:** The liability must be decided according to the ordinary general principles of **principal and agent**. The Municipal Board, as principal, is liable for the acts of its servants/agents done in the course of their employment; an individual member is liable in his own pocket **only** if he expressly or indirectly encouraged, incited, directed, approved of, or **aided and abetted** the wrongful act. **On the invalid-constitution point:** "the ground on which the case was

remanded, namely ... whether the Board should be declared to be altogether invalid and improperly constituted because one of the names ... is wrongly entered, is one which no court ought to have entertained at all," and should be struck out.

⚡ RATIO & PRINCIPLE EVOLVED: **Injuria sine damnum** applied in India to the right to vote and to stand for election: **wrongful deprivation of an electoral right is a legal wrong actionable per se**, even without proof of pecuniary loss; damages are nominal, becoming **exemplary where the omission is malicious**. The liability of a public body and its members is fixed on **principal and agent** principles; a public body is liable for its servants' acts within the scope of employment, while individual members are liable only if they **aided and abetted** the wrong. Foreshadows modern **vicarious liability of public authorities** and the **right of discovery** as an aid to justice against public bodies.

**Important:** This is the Indian illustration of *injuria sine damnum* corresponding to *Ashby v. White* — and is distinguished from *damnum sine injuria* cases such as *Town Area Committee*, *Gloucester* and *Pickles*. The status of the right to vote/stand has since been reinforced by *Bhim Singh v. State of J&K*.

## 7. Mayor of Bradford Corporation v. Pickles

(1895) AC 587 (HL)

FACTS The Bradford Corporation derived its water supply partly from water springs and from water **percolating through the soil** in undefined channels under the land of **Pickles**. Pickles was annoyed at the Corporation's **refusal to purchase his land** at the price he demanded in connection with its scheme of water supply. Actuated by feelings of **revenge**, Pickles **sank a shaft on his own land** and abstracted the water which percolated through the soil of his land in unknown and undefined channels, thereby **diminishing and discolouring** the water flowing to the Corporation's land. The Corporation sued for an **injunction** to restrain Pickles from diminishing or polluting their water, contending that his conduct was **unlawful because it was dictated by an evil motive**.

ISSUES Is an act that is otherwise **lawful** — the exercise of a legal right over one's own land — made **actionable** merely because it was done with a **malicious/bad motive**? Does **malice** supply the element of **injuria** where there is none?

ARGUMENTS **Corporation (plaintiffs):** Pickles' conduct was unlawful because its sole purpose was to injure them, since they had not bought his land at an exorbitant price. They sought an injunction. It was already settled law that the **interception of underground (percolating) water is not an actionable wrong**, even if done intentionally (*Chasemore v. Richards*, 1859) — but the Corporation attempted to establish an **exception** where the motive was malicious.

**Pickles (defendant):** He was **acting within his legal rights** throughout — doing what he pleased with his own land; his motives were irrelevant.

DECISION **House of Lords** held that **no action lies**. An act lawful in itself is not converted into an unlawful act by a bad motive. Pickles was not liable.

> *"No use of property which would be legal if due to a proper motive can become illegal because it is prompted by a motive which is improper or even malicious."* — ***Lord Watson***

> *"In such a case, **motives are immaterial**; it is the act, not the motive for the act, that must be regarded. If the act apart from the motive gives rise merely to **damage without legal injury**, the motive, however reprehensible it may be, will not supply that element."* — ***Lord Macnaghten***

> *"Mr. Pickles has acted within his legal rights throughout; and is he to forfeit those rights and be punished for their legal exercise because certain motives are imputed to him? If his motives were the most generous and philanthropic in the world, they would not avail him when his actions were illegal. If his motives are selfish and mercenary, that is no reason why his rights should be confiscated when his actions are legal."* — ***Lord Ashbourne***

⚡ RATIO & PRINCIPLE EVOLVED: **Motive/malice is irrelevant in tort**. A **lawful act done with a malicious motive is not tortious**; where the act gives rise merely to **damage without any legal injury**, the motive however bad will not supply the missing *injuria* — this is a classic **damnum sine injuria** case and the leading authority on the **irrelevance of motive**. (Reinforced by *Allen v. Flood* (1896): an act lawful in itself is not made unlawful by a malicious motive.)

## 8. Gloucester Grammar School Case

(1410) Y.B. 11 Hen. IV 47

FACTS The plaintiff, a **school master**, kept a school. The defendant **set up a rival (new) school** in the same area, and as a result **drew away the plaintiff's pupils**, causing the plaintiff to **lose his fees/profit**. The plaintiff sued for the loss.

**ISSUES** Is the **loss of profit caused by lawful competition** (the exercise of one's own right to carry on business) **actionable**, where no legal right of the plaintiff has been violated?

**ARGUMENTS & THE ANALOGY** The harm (loss of pupils and fees) is real, but it is the **ordinary consequence of fair competition**, not of any wrongful act. The rule was stated (in the analogous terms used by **Hankford J**) that if a man has a **mill** and his neighbour builds **another mill**, the diminishing of the first man's profit is **not actionable** unless some wrong such as a **nuisance** is caused. Mere diminution of gain/profit by lawful means is *damnum absque injuria*.

**DECISION** **No action lay.** The damage suffered was mere *damnum absque injuria* (damage without legal injury). The defendant had merely exercised his own lawful right to set up a business, and the resulting loss to the plaintiff was not actionable.

> ⚡ **RATIO & PRINCIPLE EVOLVED:** Loss caused by **lawful competition or the lawful exercise of one's own rights**, without violation of the plaintiff's legal rights, is **damnum sine injuria** and is **not actionable**. This case is the foundation of the rule that **trade competition, however damaging, is not a tort** absent unlawful means — subsequently applied in *Mogul Steamship Co. v. McGregor Gow & Co.* (1892), where a combination to monopolise the China tea trade by reducing freights was held no cause of action as it involved no unlawful means, being "a justifiable measure of self-protection."

## PYQ BANK // MODULE 01 Previous Year Examination Questions

**Q.01** [DU · DECEMBER 2024 · Q1 · 20 MARKS] ABC Textiles purchases a machine from TexaMach Ltd. A defect in the machine, caused by faulty assembly at TexaMach Ltd.'s factory, leads to an accident in which a worker loses a finger. ABC Textiles claims compensation from TexaMach Ltd. for the injury caused by their negligence. However, TexaMach Ltd. invokes the exclusion clause in the contract to deny liability. The clause reads: *"The supplier shall not be held liable for any personal loss, damage, or injury arising from the use of the machinery supplied, regardless of fault."* Does the exclusion clause in the contract restrict/exclude the liability of TexaMach Ltd. in torts for their negligence? Discuss with the help of decided cases.

◈ Refer website for detailed notes — makelaweasy.in

**Q.02** [CLASSIC DU TOPIC-1 LONG QUESTION · 20 MARKS] "Is the law of tort a law of tort or a law of torts?" Discuss the rival theories of Winfield and Salmond, and state which theory prevails in India.

**Q.03** [CLASSIC DU TOPIC-1 LONG QUESTION · 20 MARKS] Define a tort. Explain the constituents of a tort, and distinguish between *injuria sine damnum* and *damnum sine injuria* with the help of case laws.

**Q.04** [CLASSIC DU TOPIC-1 LONG QUESTION · 20 MARKS] The law of torts in India is uncodified and judge-made. Discuss its advantages and disadvantages.

**Q.05** [CLASSIC DU SHORT/LONG QUESTION · 20 MARKS] Distinguish between tort and crime, and between tort and breach of contract. Can the same act give rise to liability in tort as well as in contract and crime?

**Q.06** [CLASSIC DU SHORT QUESTION (10 MARKS) · 10–20 MARKS] Discuss the relevance of intention, motive and malice in the law of torts.

**Q.07** [CLASSIC DU SHORT QUESTION · 10 MARKS] Write a short note on *ubi jus ibi remedium* and its application.

by Ankur R. Upadhyay

MOD-02 // IMMUNITIES & DEFENCES PART A · LAW OF TORTS 07 CASE LAWS · 07 PYQs

# Module 02 — General Defences against Tortious Liability

**Scope:** (a) Consent as defence — volenti non fit injuria — Essentials; Exceptions — Rescue cases & Unfair Contract Terms Act, 1977 (UK) · (b) Statutory authority · (c) Act of God / vis major

## 02.01 General Defences — The Big Picture

*What a defence is, and how it differs from a specific defence.*

Although particular torts have their own **special defences** (e.g., *truth, fair comment and privilege* for defamation; *statutory authority* in nuisance; *justification* in malicious prosecution), there are certain **general defences** which are applicable to **all torts**. A person sued in tort can plead these to escape liability entirely (complete defence) or to reduce it.

### The classic list of general defences

1. **Volenti non fit injuria** — harm suffered with the plaintiff's own consent (assumption of risk).
2. **Plaintiff the wrongdoer** — *ex turpi causa non oritur actio*.
3. **Inevitable accident**.
4. **Act of God / vis major**.
5. **Private defence** (self-help / self-protection).
6. **Mistake**.
7. **Necessity**.
8. **Statutory authority**.




Defences (those marked ★ are covered by Topic 2 in the DU syllabus).

**Burden of proof:** The burden of proving a **general defence** lies on the **defendant**. Until the plaintiff shows a prima facie tort, the defendant need not plead a defence; once a prima facie case is shown, the defendant must prove the defence on a balance of probabilities.

## 02.02 Consent as a Defence — Volenti non fit injuria

*"to one who is willing, no injury is done."*

The maxim *volenti non fit injuria* literally means **"that to which a man consents cannot be complained of as an injury."** No act is actionable as a tort at the suit of any person who has **expressly or impliedly assented** to it. A person who agrees with another, expressly or by implication, to run the risk of injury caused by that other, will not be permitted to complain or to claim damages for the risks he undertook.

### 1.1 The two-fold application

1. **Consent to intentional acts** (which would otherwise be tortious): consent to an entry on land or goods (would be *trespass*); consent to physical harm (would be *assault/battery*) — a boxing match or a surgical operation [*R. v. Donovan*]; consent to the publication of something defamatory [*Chapman v. Lord Ellesmere*].
2. **Consent to run the risks of accidental harm** (which would otherwise be actionable): a spectator at a sports meeting takes upon himself the risk of the perils thereat, whether reasonably to be expected or improbable [*Hall v. Brooklands Auto Racing Club*].

### 1.2 Consent may be express or implied

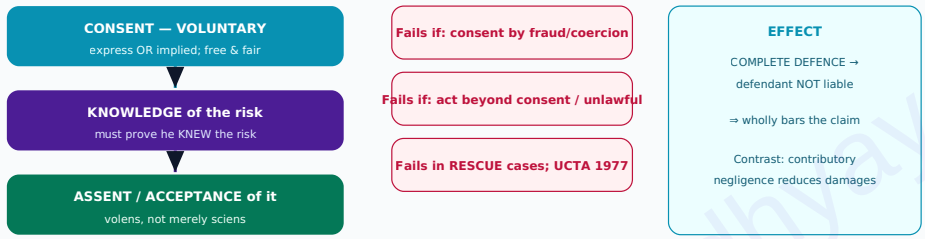
Consent may be **express** (words) or **implied** (inferred from conduct). A person who willingly takes a lift in a stranger's car, or who buys a ticket for a motor race and stands near the track, thereby impliedly accepts the ordinary risks. Consent may also be given on behalf of a person incapable of consenting (minor, insane) by a parent or guardian.

### 1.3 The act must not go beyond the consent

For the defence to apply, the act causing the harm must **not have gone beyond the limit of what was consented to**:

- A hockey player cannot claim for being hit in the **normal course** of the game; but if he is hit **intentionally**, the defence fails.
- If a surgeon is **negligent** in performing an operation, he cannot plead *volenti* — the patient consented only to the risks inherent in the operation, **not** to the doctor's negligence.

**Important:** The act to which assent is given must **not be unlawful in itself**. No man can lawfully consent to his own death; nor can the maxim apply where the act is **contrary to public policy**.




The two essentials (knowledge + assent) and the situations where the defence fails.

## 02.03 Essentials for the Application of the Defence

*the conditions that must be satisfied before volenti can be pleaded.*

Before *volenti non fit injuria* can be upheld, the defendant (on whom the burden lies) must prove all of the following:

1. **Knowledge of the risk.** The plaintiff must have known of the existence and nature of the risk. One cannot consent to a risk of which one is unaware. The plaintiff must have **appreciated** its extent, not merely known of it vaguely.
2. **Consent must be free & voluntary (volens).** The plaintiff must have **freely** and **deliberately** agreed to accept the risk. Consent obtained by **fraud** or **coercion/compulsion** is no consent.
3. **Mere knowledge is not enough (scienti ≠ volenti).** The maxim is *volenti*, not *scienti* — knowledge of the danger is **not** the same as consent to it.
4. **The act must not go beyond the consent.** Consent to one act does not authorise a different or excessive act.
5. **Consent must not be to an unlawful act** or to one contrary to public policy.
6. **Capacity to consent.** The plaintiff must be legally capable of giving consent; for minors/insane persons a parent or guardian may consent (subject to limits).

**Memory aid — "KAFUC":** **K**nowledge, **A**ssent/acceptance (free & voluntary), act within the **F**our corners of consent, act **U**nlawful-not-consented, **C**apacity to consent.

## 02.04 Knowledge is not Consent — volenti, not scienti

*The single most-examined point of the whole defence.*

The maxim is volenti non fit injuria, and **not** scienti non fit injuria. **Mere knowledge** of the impending wrongful act or of a wrongfully caused danger does **not**, by itself, amount to consent — even where the plaintiff makes no attempt to avoid it. The test is not whether the plaintiff *knew* of the danger, but whether in fact he **agreed to run the risk**, i.e., whether he exempted the defendant from the duty not to create the danger and took the chance of an accident.

> *"It has been taken for granted that mere knowledge of the risk does not necessarily involve consent to the risk. … the maxim is not scienti non fit injuria, but volenti non fit injuria."* — ***Bowen LJ***, *in Thomas v. Quartermaine, approved in Smith v. Charles Baker & Sons*

> *"The question in each case must be, not simply whether the plaintiff knew of the risk, but whether circumstances are such as necessarily to lead to the conclusion that the whole risk was voluntarily incurred by the plaintiff."* — ***Lindley LJ***, *in Yarmouth v. France, quoted in Smith v. Charles Baker*

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> *"If nothing more is proved than that the workman saw danger, reported it, but on being told to go on went on as before in order to avoid dismissal, a jury may properly find that he had not agreed to take the risk and not acted voluntarily." — **Lindley LJ**, Yarmouth v. France*

**Consequence:** A man is **not bound at his peril** to fly from a risk which it is another's duty to protect him from, merely because the risk is known. In *Dann v. Hamilton* (1939), the passenger in a negligently-driven car was **sciens** (knew the risk) but could not be said to be **volens**; in *Bowater v. Rowley* (1944), a carter who protested and was ordered to drive a horse known to have run away was **not** volens — the corporation was liable.

## 02.05 Exceptions & Limitations to the Defence

*where the maxim cannot be invoked.*

1. **Rescue cases.** The defence fails where the plaintiff is injured while rescuing a person from a danger created by the defendant's wrong (see §5).
2. **Unfair Contract Terms Act, 1977 (UK).** A person cannot by contract exclude liability for death or personal injury caused by negligence; and cannot exclude liability for other negligence unless reasonable (see §6).
3. **Consent obtained by fraud or coercion.** Such consent is no consent.
4. **Where the act is unlawful or contrary to public policy.** No one can consent to his own death, or to an act prohibited by law.
5. **Where the defendant has been negligent in a way not consented to.** Consent to a surgical operation does not cover the doctor's negligence.
6. **Breach of a statutory duty** imposed for the protection of a class to which the claimant belongs cannot be negatived by consent, unless the statute allows it.
7. **Where the plaintiff's conduct was not truly voluntary** — e.g., where he is under a legal or moral duty, or acts on the spur of the moment rather than on a free choice.

## 02.06 The Rescue-Case Exception

*the most important limitation.*

Rescue cases are those where the plaintiff **voluntarily undertakes a risk in the process of rescuing someone from an imminent danger created by the defendant's wrongful act**. In such cases the defence of *volenti non fit injuria* is **inapplicable**, because a man cannot be deemed to have given real consent if he acts under the compulsion of a **legal or even a moral duty**.

> *"The doctrine of the assumption of risk does not apply where the plaintiff has, under an exigency caused by the defendant's wrongful misconduct, consciously and deliberately faced a risk, even of death, to rescue another from imminent danger of personal injury or death; whether the person endangered is one to whom he owes a duty of protection, as a member of his family, or is a mere stranger to whom he owes no such special duty." — **Greer LJ**, Haynes v. Harwood (adopting the American rule from Eckert v. Long Island R.R.)*

> *"It would be absurd to say that if a man deliberately incurs a risk he is entitled to less protection than if he acts on sudden impulse without thinking whether he should do so or not." — **Greer LJ**, Haynes v. Harwood*

### Leading rescue authorities

| Case | Rule |
|---|---|
| **Haynes v. Harwood** (1935) | Police constable injured stopping runaway horses to save a woman & children — held entitled; volenti rejected. |
| **Wagner v. International Rly.** | "Danger invites rescue. The wrong that imperils life is a wrong to the imperilled victim; it is a wrong also to the rescuer." |
| **Baker v. T.E. Hopkins & Co.** (1959) | A doctor who died rescuing men overcome by gas in a well — company liable; if a man by carelessness puts himself in peril that invites rescue, he is liable for injury to a foreseeable rescuer. |
| **Brugh v. Bigelow** (US) | Extends the rule where the rescued party is the **defendant himself**. |
| **Hyett v. GWR** | The rescue principle extends to rescue of **property**, if the conduct is reasonable. |
| **Chadwick v. British Railways Board** (1967) | Rescuer who suffered nervous shock from the rescue recovered. |
| **Brandon v. Osborne Garrett** (1924) | A wife injured protecting her husband — recoverable. |

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**Note on *Cutler v. United Dairies* (1933):** Greer LJ distinguished this case — there the plaintiff was merely helping the defendant's servant in pacifying a horse in a field, **not** rescuing anyone; the defendant was not liable. This shows rescue must be for the purpose of **saving a person or property from a danger created by the defendant**, not mere meddling.

## 02.07 Unfair Contract Terms Act, 1977 (UK) & Indian Position

The **Unfair Contract Terms Act, 1977 (UK)** statutorily restricts exclusion of negligence liability by contract or notice: under **s. 2(1)**, liability for **death or personal injury** resulting from negligence cannot be excluded at all; under **s. 2(2)**, liability for **other loss or damage** can be excluded only if the term satisfies the test of **reasonableness**. Thus, a notice that "spectators enter at their own risk" cannot bar negligently caused personal injury.

**Indian position:** India has no standalone equivalent to UCTA 1977, though unfair/one-sided clauses are policed through strict construction ( *contra proferentem* in *White v. John Warrick*), **s. 23 of the Indian Contract Act, 1872** (public policy), and **"unfair contract"** remedies under the **Consumer Protection Act, 2019**.

## 02.08 Volenti non fit injuria vs Contributory Negligence

*A frequently-asked comparison.*

| Basis | Volenti non fit injuria | Contributory Negligence |
|---|---|---|
| Nature | Complete defence — **wholly bars** the claim | Partial defence — **reduces damages** to the extent of the plaintiff's fault |
| Principle | Consent / assumption of risk; defendant's liability is negatived because the plaintiff *volens* accepted the risk | Plaintiff's own negligence contributed; liability is apportioned on the basis of the defendant's fault |
| State of mind | Plaintiff **knew** the risk and **freely accepted** it (sciens **and** volens) | Plaintiff **ought to have known** the risk; he did **not** knowingly accept it — a failure to take due care for his own safety |
| Who is negligent | Only the defendant is negligent; the plaintiff consents | **Both** plaintiff and defendant are negligent |
| Result | No damages | Damages reduced proportionally |
| Presumption | Consent must be **positively** shown | Fault inferred from conduct; the plaintiff's carelessness is the test |

## 02.09 Statutory Authority

*an act authorised by law is not actionable.*

When a statute **specially authorises** a certain act to be done by a certain person which would otherwise be unlawful and actionable, **no action will lie** at the suit of any person for the doing of that act. With the statutory authority comes a **statutory indemnity** taking away the legal remedies that the law of torts would otherwise provide to persons injuriously affected. The damage resulting from an act which the legislature authorises or directs is **not actionable**, even though it would otherwise be a tort.

**Scope:** The authority and indemnity extend not merely to the act itself but to **all its necessary consequences**. Thus if a bridge is built under statutory authority, and a person is denied his right of way for a period, no suit can be brought against the builders.

### 8.1 Absolute vs Conditional authority

| Type | Effect | Illustration |
|---|---|---|
| **Absolute authority** | No liability for the act, **even if** it causes some nuisance or slight harm — the legislature has authorised it unconditionally. | Running a railway under statutory powers — the smoke/vibration/noise necessarily incidental is not actionable (*Hammersmith Rail v. Brand*). |
| **Conditional authority** | The act may be done **only if** it does not cause nuisance or harm to others (the condition may be express or implied). | *Metropolitan Asylum District v. Hill* (1881): authority to erect a smallpox hospital was construed as **conditional** — the authority was restrained from erecting one where it would be a danger to neighbours. |

by Ankur R. Upadhyay

### 8.2 The act must be done with proper care

Statutory authority is **no defence to negligence**. The act authorised by the legislature must be done with **proper care**; if it is done **negligently**, an action will lie. The principle (from *Geddis v. Bann Reservoir* via **Lord Blackburn** — quoted in *Ramchandraram*):

> *"It is now thoroughly well established that no action will lie for doing that which the Legislature has authorised **if it be done without negligence**, although it does occasion damage to any one; but an action **does** lie for doing that which the Legislature has authorised, **if it be done negligently**." — **Lord Blackburn**, Geddis v. Proprietors of the Bann Reservoir*

> *"Even in cases in which the nuisance complained of is prima facie authorised by statute, the party causing it will be liable if he does not take reasonable precautions to prevent damage resulting therefrom. Though exempt from the absolute liability which would attach to a person not acting under statutory powers, he is still liable if he exercises his powers negligently or unreasonably." — **Clerk & Lindsell on Torts***

Also, public authorities exercising statutory powers must act **bona fide** and **with judgment and discretion**; they must not act "capriciously, wantonly or oppressively" even within the limits of their authority (*Nagar Valab Narsi v. Municipality of Dhandhuka*; *Rup Lal Singh v. Secretary of State*: "when a statute confers a power it implies that the donee shall be competent to do all that is needful for its exercise, subject to the limitation that he cannot go beyond what is reasonable").

> **Summary rule (as stated in *Ramchandraram*):** "If a person is exercising his rights under a statute he is **not liable** unless it is proved that he acted **unreasonably or negligently**." This is the final proposition the DU material distils from *Geddis*, *East Fremantle v. Annois* and the Indian decisions.




Statutory authority: absolute shield against liability for the authorised act, but no shield against negligence.

## 02.10 Act of God / Vis major

Act of God (the equivalent of the Scottish *damnum fatale*, also called *vis major*) may be defined as **an operation of natural forces so unexpected that no human foresight or skill could reasonably be expected to anticipate it**.

> *"Act of God in its legal sense may be defined as an accident due to natural causes directly and exclusively without human intervention, and which could not have been avoided by any amount of foresight and pains and care reasonably to be expected of the person sought to be made liable for it."*

It is a valid defence **even in cases of strict liability** (the rule in *Rylands v. Fletcher*) and to a charge of negligence.

### 9.1 The two essentials

1. **Working of natural forces.** The cause must be an act of nature — not human agency. If human intervention is involved, it is not an act of God. In *Ramlinga Nadar v. Narayana Reddiar*, an unruly mob robbing goods being transported was held **not** an act of God, because it was human intervention. "Accidents may happen by reason of the play of natural forces or by the intervention of human agency or by both; but it is only those acts which can be traced to natural forces and which do not have any intervention of human agencies that could be said to be acts of God."
2. **Occurrence must be extraordinary.** The event must be extraordinary and **not** one that could be reasonably anticipated and then guarded against. It need not be **unique** or happen for the first time — it is enough that it is extraordinary and such as could not reasonably be anticipated (*Nichols v. Marsland* as explained by Fry J).

### 9.2 Illustrative cases

| Case | Holding |
|---|---|
| **Nichols v. Marsland** (1876) | Extraordinary rainfall — the heaviest in human memory — bursting artificial lakes and washing away four bridges: **act of God**; defendant not liable. |

| Case | Holding |
|---|---|
| **Greenock Corp. v. Caledonian Rly.** (1917) | Rainfall of extraordinary violence, but such floods "must be anticipated as likely to take place from time to time" — **not** act of God (Lord Finlay); the question cannot be confined to the locality (Lord Dunedin). |
| **City of Montreal v. Watt & Scott** (1922) | A municipality must build sewers capable of coping with the water that may be expected from time to time over the years — **not** excused by ordinary heavy rainfall. |
| **General Traders v. Pierce Leslie** (AIR 1987 Cal) | A storm at sea was merely an "irregularity of the sea," not extraordinary — **not** act of God. |
| **Kallulal v. Hemchand** | Wall collapsed on a day of 2.66 inches of rainfall — such rainfall was ordinary in the rainy season; the defendant ought to have anticipated and guarded against it — **not** act of God. |
| **Manindra Nath Mukherjee** (AIR 1946 Cal) | A banner fell in a gust of ~27 mph during the monsoon. Since wind of that velocity is **not uncommon in the monsoon**, it was foreseeable — **not** act of God; the defendant was liable. |

**Test:** For the defence to succeed, the natural event must be **extraordinary**, in the sense that it is so unexpected that no reasonable human foresight or skill could be expected to anticipate it. An event that is merely unusual in degree, or that could reasonably have been guarded against (like ordinary monsoon winds, moderate storms, or normal heavy rain), will **not** qualify.

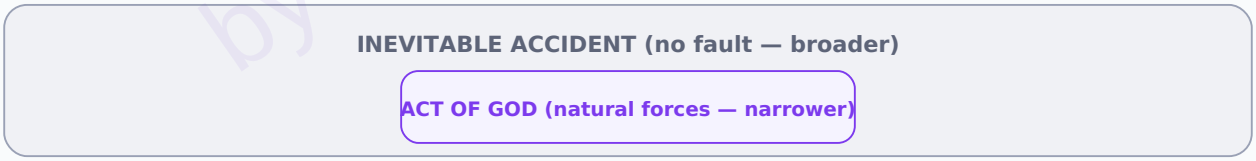
## 02.11 Inevitable Accident

*A related, broader defence (often examined alongside act of God).*

Damage is said to be caused by **inevitable accident** when it is **not caused intentionally** and **could not possibly have been avoided by the exercise of ordinary care and caution** on the part of the person who caused it. It need not have been **inevitable** in the stricter sense of being incapable of being prevented at all — for example, if a man drives a horse and, despite exercising all reasonable care, an accident happens, he may plead inevitable accident; it is no answer to say that the accident would not have happened had he not taken the horse out of the stable.

**Shaw CJ** defined it as **"an accident such as the defendant could not have avoided by the use of the kind and degree of care necessary to the exigency and in the circumstances in which he was placed."**

Illustrations: in the **Nitroglycerine Case** (1872), a sudden unexpected explosion from a case of nitroglycerine (the inflammatory nature of which was not then well known) was an **inevitable accident**, and the carrier was held not liable. A sudden seizure of a driver is an inevitable accident; a lightning strike destroying property is an act of God — **act of God is the narrower category**, being a sub-species of inevitable accident.




Act of God is a sub-category of inevitable accident — the difference is the cause (natural forces).

## JUDICIAL DOSSIERS // 07 CASES Prescribed Landmark Case Laws — Detailed Analysis

### 9. Smith v. Charles Baker and Sons

(1891) AC 325 (HL)

FACTS The plaintiff was a workman employed **for two months** by the defendant railway contractors, working a drill for rock-cutting. While so employed, stones were being lifted from the cutting by a **crane**, and were sometimes passed **over the place where the plaintiff was working**. No warning was given that the stone would be jibbed in that direction. The plaintiff said in evidence that he got out of the way whenever he saw the men jibbing over his head, but at the time of the accident he was working the drill and **did not see the stone above**. A fellow workman had, in the plaintiff's hearing, complained to the manager of the danger of slinging stones over their heads, and the plaintiff himself had told the crane driver that it was not safe. The plaintiff was a **navvy**, accustomed to such work for six or seven years, and **knew the work was dangerous**. A stone fell on him and caused serious injury. The county-court judge refused to nonsuit. The jury found (1) the machinery was not reasonably fit; (2) the omission to supply means of warning was a

defect in the ways, works, machinery and plant; (3) the employers were negligent in not remedying the defect; and (4) **the plaintiff was not guilty of contributory negligence and did not voluntarily undertake a risky employment with knowledge of its risks**. They awarded £100. The Divisional Court dismissed the defendant's appeal, but the Court of Appeal allowed it on the ground of no evidence of negligence. The plaintiff appealed to the **House of Lords**.

ISSUES (1) Does **mere knowledge of the risk** (and continuance in the employment) bar the workman's claim? (2) What must be proved to invoke *volenti non fit injuria*?

ARGUMENTS **Defendants:** The plaintiff knew the work was dangerous and continued in the employment with that knowledge, so he voluntarily assumed the risk — *volenti non fit injuria*; also, there was no evidence of negligence.

**Plaintiff:** Knowledge of a risk is not the same as consent to it. He did **not** consent to the particular negligent act (slinging a stone over his head without warning). The employer's duty to take reasonable care was not excluded merely because he continued to work; he could not look out for himself while attending the drill.

DECISION **House of Lords** (Lord Halsbury LC & Lord Herschell) reversed the Court of Appeal and **restored judgment for the plaintiff**. The maxim had no application.

> *"I do not think the plaintiff did consent at all. His attention was fixed upon a drill, and while, therefore, he was unable to take precautions himself, a stone was negligently slung over his head without due precaution ... a person who relies on the maxim must show a **consent to the particular thing done**." — Lord Halsbury LC*

> *"It is, of course, impossible to maintain a proposition so wide as ... that wherever a person knows there is a risk of injury to himself, he debars himself from any right of complaint if an injury should happen to him ... it has been taken for granted that **mere knowledge of the risk does not necessarily involve consent to the risk**; and the maxim is not scienti non fit injuria, but volenti non fit injuria."*

> *"Where a risk to the employed, which may or may not result in injury, has been created or enhanced by the negligence of the employer, does the mere continuance in service, with knowledge of the risks, preclude the employed, if he suffers from such negligence, from recovering? **I cannot assent to the proposition that the maxim applies to such a case.** ... Whatever the dangers of the employment which the employed undertakes, amongst them is certainly not to be numbered the risk of the employer's negligence." — Lord Herschell*

> *"In any case in which it was alleged that such a special contract had been entered into, I should require it to be clearly shown that the employed had brought home to his mind the nature of the risk he was undertaking, and that the accident to him arose from a danger **both foreseen and appreciated**." — Lord Herschell*

⚡ RATIO & PRINCIPLE EVOLVED: **Knowledge of a risk is not, by itself, consent to it.** To invoke *volenti*, the defendant must show the plaintiff (a) **full knowledge and appreciation** of the particular risk, and (b) **free and voluntary acceptance** of it — consent to the **particular thing done**. Mere continuance in employment with knowledge of risks, especially where the risk arises from the **employer's breach of duty** (which is not one of the risks the workman undertakes), does **not** bar recovery. The maxim is *volenti*, not *scienti*.

### 10. South Indian Industrial Ltd., Madras v. Alamelu Ammal — AIR 1923 Mad 565

FACTS The defendants, for their own business, broke up cast iron by **dropping a heavy weight from a height of 35 feet** on pieces of iron resting on a bed of iron, intending to break them into smaller pieces. The inevitable result was that **pieces of iron flew about**, habitually to distances of four or five yards from the pit, and sometimes further. They put up a screen which was **obviously inadequate**, and issued warnings only to persons **nearby**, allowing their workmen at a distance to keep working at the risk of being hit. A piece of iron flew to a distance of some 70–90 feet and killed a workman (the deceased), the husband of the plaintiff. The defence argued that even human foresight and skill could not have discovered that pieces would fly so far.

ISSUES (1) Were the defendants **negligent** in carrying on dangerous operations without adequate precautions? (2) Did the defence of *volenti non fit injuria* apply, i.e., did the deceased voluntarily undertake the risk with full knowledge and appreciation of it?

ARGUMENTS **Plaintiff:** The defendants were negligent — the screen was inadequate, and they failed to warn workmen at a distance. The mere happening of the accident is strong evidence of negligence; and the occurrence of such a dangerous practice shows want of ordinary care, caution and skill.

**Defendants:** They exercised ordinary care — the pieces habitually flew 4–5 yards and could not be expected to go 70–90 feet; and the deceased, knowing the work was dangerous, voluntarily undertook the risk (*volenti*).

DECISION **Schwabe CJ** held the defendants liable; the appeal by the defendants was dismissed (with the quantum adjusted to Rs. 500).

> *"If a person chooses to carry on dangerous operations of that kind, it is their duty **not only to the public but to their servants** to take adequate precautions that those pieces shall not cause injury. ... The **mere fact that an accident has happened is strong evidence** in a case of that kind that they had not taken the ordinary care, caution, and skill required for preventing the happening of the event ... the failure to take further precautions since the accident is, to my mind, negligence of the grossest kind."*

> *"The defence ... volenti non fit injuria; but for this to succeed it is necessary for the other party to prove that the person injured **knew of the danger, appreciated it, and voluntarily took the risk.** There is no evidence of any of these three things ... Of course a man cannot voluntarily undertake a risk **the extent of which he does not appreciate.**"*

⚡ RATIO & PRINCIPLE EVOLVED: **Volenti requires all three: knowledge, appreciation and voluntary acceptance** of the particular risk. A man cannot voluntarily undertake a risk whose **extent he does not appreciate**. Where even a skilled European manager did not appreciate the risk, the deceased workman certainly could not. Also, a person who carries on **dangerous operations owes a duty to take adequate precautions, not only to the public but to his servants**; the fact that an accident has happened is itself **prima facie evidence of negligence**.

### 11. Haynes v. Harwood

(1935) 1 KB 146 (CA)

FACTS The defendants were owners of a **two-horse van** driven by their servant, Bird. On 24 August 1932, Bird took his van into Quiney's Yard and Wharf on the left-hand side of Paradise Street, Rotherhithe, a **crowded street with several schools, a church and working-class dwellings**, to unload goods. After unloading, he needed a receipt; instead of leaving the horses in the yard, he drove them out into the street and **left them unattended** on the left-hand side facing the police station while he went for the receipt. Two boys came along and one, "with a mischievous propensity," **threw a stone at the horses**, which bolted. They ran a considerable distance until opposite the police station, where the **plaintiff, a police constable in the charge room**, saw what was happening. He saw a woman and a number of **children in grave danger**. At great risk to life and limb he seized the off-side horse and tried to stop them both; after about fifteen yards he succeeded, but one of the horses fell on him and he suffered **serious personal injuries**. Finlay J awarded him £350. The defendants appealed.

ISSUES (1) Was the driver **negligent** in leaving the horses unattended in a crowded street? (2) Was there a **novus actus interveniens** (the boy's act / the horses' running away) breaking the chain of causation? (3) Did the plaintiff, a rescuer, **assume the risk** (*volenti non fit injuria*) so as to bar his claim?

ARGUMENTS **Defendants:** (i) No evidence of negligence — it is not always negligent to leave horses unattended; (ii) the accident was caused by the **intervention of consciously-acting persons** between the wrongful act and the accident (novus actus interveniens), breaking the chain; (iii) the plaintiff **assumed the risk** he ran, so he cannot recover (*volenti*).

**Plaintiff:** The driver owed a duty to all lawfully using the highway (including a policeman stopping a runaway horse); the harm was the **natural and probable consequence** of the wrongful act; and a rescuer who acts under an exigency created by the defendant's wrong is **not** volens.

DECISION **Greer LJ** (Court of Appeal) dismissed the appeal. **Appeal dismissed.**

> *"To leave horses unattended, even for such a short time as three minutes, in a place where mischievous children may be about, where something may be done which may result in the horses running away, seems to me to be **negligent** — having regard to the proved circumstances."*

> *"It is not true to say that where a plaintiff has suffered damage occasioned by a combination of the wrongful act of the defendant and some further conscious act by an intervening person, that of itself prevents the Court coming to a conclusion in the plaintiff's favour **if the accident was the natural and probable consequence of the wrongful act.**"*

> *"If what is relied upon as novus actus interveniens is the very kind of thing which is likely to happen if the want of care which is alleged takes place, the principle embodied in the maxim is no defence."*

> *"The doctrine of the assumption of risk does not apply where the plaintiff has, under an exigency caused by the defendant's wrongful misconduct, consciously and deliberately faced a risk, even of death, to rescue another from imminent danger ... It is, of course, all the more applicable here because the man injured was a policeman who might readily be anticipated to do the very thing which he did."*

> *"I think it would be absurd to say that if a man deliberately incurs a risk he is entitled to less protection than if he acts on sudden impulse without thinking whether he should do so or not."*

The court distinguished *Cutler v. United Dairies* (where the plaintiff was merely helping in pacifying a horse, not rescuing).

⚡ RATIO & PRINCIPLE EVOLVED: (i) **Rescue cases**: a person who, in an exigency caused by the defendant's wrong, deliberately and consciously faces a risk to **rescue another from imminent danger** (whether a relation or a stranger) is **not** barred by *volenti non fit injuria*. It is immaterial whether he acts on impulse or from a sense of duty. (ii) **Novus actus interveniens**: an intervening human act does **not** break the chain of causation if it is the **very kind of thing likely to happen** as a result of the defendant's want of care — the test is whether the accident was the **natural and probable consequence** of the breach of duty. (iii) A policeman (or anyone lawfully using the highway) is within the class to whom the driver owed a duty of care.

### 12. Ramchandraram Nagaram Rice & Oil Mills Ltd., Gaya v. Municipal Commissioners of Purulia Municipality

AIR 1943 Pat 408

FACTS The plaintiff company manufactured oil and rice for 14 years and sold mustard oil in canisters bearing the registered mark **"R.N. Bishnucharan."** On 29 April 1938 it despatched a railway van marked **"Mustard Oil Tank"** carrying pure mustard oil to Purulia. About **1,000 canisters** were filled and metalled. On 4 May 1938, after about 400 tins had been delivered, the defendants applied under **S. 287, Municipal Act**, for a search warrant, alleging the oil had been brought in a crude-oil/kerosene tank and was contaminated. That afternoon the Sanitary Inspector with defendants 2–4 went to the station yard and **detained the oil**. The next day defendants ordered 613 tins to be carried in the **municipal motor-truck used for carrying rubbish and road-sweepings**, and the tins were **loaded by mehtars (sweepers)**. Samples were sent to the Government analyst at Patna, who **found the oil genuine**. In the interim the customers refused to buy the oil (because it had been seized and carried in the scavengers' truck), and the plaintiff had to reduce the price by four annas per maund. The plaintiff claimed Rs. 3,984-8-0 for the oil, Rs. 82-8-0 interest, and Rs. 5,928 for loss of business and damage to reputation — total Rs. 9,995. The trial court dismissed the suit; the plaintiff appealed.

ISSUES (1) Were the defendants protected because they were **acting under statutory authority** (S. 287)? (2) Was their action **unreasonable or negligent**, making them liable despite being within the statute?

ARGUMENTS **Defendants:** They were acting within the purview of the statute (S. 287), and were therefore protected from liability. They denied any malice or conspiracy.

**Plaintiff:** The seizure and the removal of edible oil in the **scavengers' truck** by **sweepers** was unreasonably and negligently done, causing loss and damage to reputation. Even a statutory authority must be exercised with **reasonable care**; the municipality is liable for the negligent acts of its agents.

**Authorities relied on:** *Geddis v. Bann Reservoir* (Lord Blackburn: no liability if the authorised act is done **without negligence**, but an action lies **if it is done negligently**); *Mayor of East Fremantle v. Annois* (to be exercised **bona fide and with judgment and discretion**; arbitrary, careless or oppressive exercise gives a remedy); *Nagar Valab Narsi v. Municipality of Dhandhuka* (public authorities must not act capriciously, wantonly or tyrannically even within the limits of their powers); *Rup Lal Singh v. Secretary of State* (the donee of a statutory power cannot go beyond what is reasonable).

DECISION **Varma J** allowed the appeal. The plaintiff company was entitled to the difference between the actual price and the price realised at the auction sale (the appeal was allowed on the principle of unreasonableness/negligence; the court also noted the principle of *Painter v. Liverpool Oil Gas* — a litigant executing invalid legal process is liable notwithstanding honest mistake, and Salmond's note that irregularity deprives the officer of all justification).

> *"The principle of law deducible from these decisions can be shortly stated as follows:* ***If a person is exercising his rights under a statute he is not liable unless it is proved that he acted unreasonably or negligently.****"*

> *"The action of the municipality, if not actuated by malice or as a result of a conspiracy, was certainly* ***very unreasonable and negligent.*** *There were other methods available by which the same object could have been attained. But the one which the municipality adopted does make them liable for the loss which the plaintiff suffered.* ***The municipality is liable for the negligent acts of its agents.*** *Appeal allowed."*

⚡ RATIO & PRINCIPLE EVOLVED: **Statutory authority is a good defence only if the authorised act is done without negligence.** The defence does **not** extend to the unreasonable or negligent exercise of statutory powers. Where a public authority seizes goods and then handles them negligently (e.g., carrying edible oil in a scavengers' truck), it is liable for the loss, and **a municipality is vicariously liable for the negligent acts of its agents**. The burden is on the authority to show the act was done reasonably.

### 13. Manindra Nath Mukherjee v. Mathuradas Chatturbhuj

AIR 1946 Cal 175

FACTS The defendant was the proprietor of the **Rupali Cinema**, a one-storeyed building abutting a street. On its roof stood a **sky-sign** (a permanent steel frame 12 ft high × 25 ft wide, covered with galvanised iron sheeting on which

advertising designs were displayed) licensed under the Calcutta Municipal Act. Advertising **banners** (cloth within a wooden frame) were displayed from the sky-sign **without any contrivance to hold them securely** — no slots, bolts, grooves, flanges or screws. They were held by **coir ropes** tied to the four corners of the wooden frame and knotted around the metal frame and iron rods behind. On **5 July 1943**, at about 7.15 p.m., a banner 12 ft × 3½ ft within a wooden frame **fell onto the plaintiff**, who was passing along the pavement (only 4 ft intervened between the sky-sign and the edge of the roof). The wooden frame struck him on the head, causing a severe cut which bled profusely. The defendant contended there was a storm of **unusual severity** (act of God) and that all reasonable care had been taken.

ISSUES (1) Did the defendant, as an occupier adjoining a public thoroughfare, owe a **duty of care** to the plaintiff, a passer-by? (2) Did **res ipsa loquitur** apply, shifting the burden of proving due care onto the defendant? (3) Was the fall caused by an **act of God** (a storm of unusual severity)? (4) Was the defendant liable under the rule in *Rylands v. Fletcher*?

ARGUMENTS **Defendant:** The plaintiff was struck not by the banner but by other material; and in any event, every reasonable care was taken — the banner was tied with 3 strands of new rope at each corner, the manager supervised the tying on 12 June and examined it on 5 July; the fall was caused by a **storm of unusual severity** (act of God).

**Plaintiff:** The banner would not have fallen but for the defendant's negligence in not securing it properly; he relied on **res ipsa loquitur** to shift the burden of proof onto the defendant, and on the principle in *Rylands v. Fletcher*.

DECISION **Khundkar J** held the defendant liable. The defence of act of God (unusual storm) failed, and the defendant was liable both under *Rylands v. Fletcher* and for negligence.

> *"I hold that the defendant is liable upon the principle in Rylands v. Fletcher, and I further find that there was negligence on the part of his servants for which he is responsible in law, inasmuch as **proper care was not taken to secure the banner** in such a way as to prevent it from being blown into the street during monsoon weather."*

> *"The evidence ... puts an end to the plea of **act of God**; for if it is accepted, as I think it must be, then it is idle to say that the force of the wind was so unexpected that no foresight could reasonably be expected to anticipate it." (Wind at the time was only ~27 mph — gusts of 28–33 mph are not uncommon in the monsoon; 31–48 mph occur in nor'wester squalls.)*

> *"On the 5th July the weather was **not uncommonly windy for the monsoon**; and in not taking precautions against winds which are not unusual during the monsoon months, the defendants were prima facie negligent; and the fact that the banner fell in a wind which was not above 27 miles per hour in velocity goes a long way to discredit all the elaborate evidence ... regarding the tying of the banner."*

The court also considered the definition of act of God — *"an operation of natural forces so unexpected that no human foresight or skill could reasonably be expected to anticipate it"* (Winfield, following Pollock) — and the authorities (*Nichols v. Marsland*, *Greenock Corp.*, *City of Montreal v. Watt & Scott*, *GWR of Canada v. Braid/Fawcett*).

⚡ RATIO & PRINCIPLE EVOLVED: **Act of God / vis major** is an operation of natural forces so **unexpected that no human foresight or skill could reasonably be expected to anticipate it**. It is **not** enough that the event is unusual in degree; if it is of a kind **reasonably to be anticipated** in the circumstances (e.g., moderate monsoon winds), the defence fails. The defendant is liable under *Rylands v. Fletcher* (escape of a dangerous thing) and for **negligence** where **res ipsa loquitur** applies and is not rebutted — and the burden of proving due care (or an act of God) lies on the defendant once the thing itself speaks.

### 14. Hall v. Brooklands Auto Racing Club

(1932/1933) 1 KB 205 (CA)

FACTS The defendants owned the **Brooklands** motor-racing track, an oval about two miles round, with a long finishing straight over a hundred feet wide. Named stands were provided for spectators who paid for admission, but **many preferred to stand outside the railing**. During a race, two cars were going along the finishing straight at about **a hundred miles an hour**; as they approached a sharp bend to the left, the leading car turned and the other did the same — the cars touched, one was shot into the air, went over the railing and fell among the spectators, **killing two and injuring others**, including the plaintiff, Mr. Hall, who had bought a ticket. It was the **first such accident in the over-20-year history** of the track.

ISSUES (1) Did the defendants owe a **duty of care** to safeguard spectators against **reasonably foreseeable** risks? (2) Did they breach it? (3) Did the spectators, by attending, **impliedly accept the risk** inherent in motor racing (*volenti non fit injuria*)?

ARGUMENTS **Plaintiff:** The club failed to take adequate safety measures and gave no warning of the dangers; the barrier was too low and weak; experts said such accidents could happen again, so the risk was foreseeable and ought to have been guarded against.

**Defendants:** The accident was an **extraordinary, unprecedented event** (23 years of racing without it); reasonable precautions (stands, railing) had been taken and worked; motor racing is inherently dangerous; and the plaintiff, by buying a ticket, **voluntarily assumed the risk** (*volenti*).

DECISION The **Court of Appeal** (Scrutton, Greer & Slesser LJJ) allowed the appeal of the club and **held the defendants not liable**.

> *The defendants are under a duty of care to protect spectators against **reasonably foreseeable** risks, but are **not** under a duty to guard against the risk that was **not reasonably foreseeable**, or against the danger **inherent in the sport**. The accident was the first of its kind in the track's long history, so it could not reasonably have been foreseen — the defendants could not be expected to guard against it, and no amount of due diligence would have revealed it.*

> *"When the spectators purchased tickets for witnessing the race, they had given **implied consent**. The doctrine of volenti non fit injuria was applicable since the victims had prior knowledge of the probable risks and had consented for the same."*

⚡ RATIO & PRINCIPLE EVOLVED: A spectator at a sports event **voluntarily assumes the risks inherent in the sport**, whether reasonably to be expected or improbable. The promoter's duty is to take reasonable care against **reasonably foreseeable** dangers (the standard is **due care, not absolute safety**); he is **not** liable for an **extraordinary, unprecedented and unforeseeable** accident, nor for the **inherent dangers** of the activity. Where the harm is inherent and the event unforeseeable, the spectator's presence amounts to **implied consent** and *volenti* defeats the claim. (In *Wooldridge v. Sumner*, the principle was refined: a participant's duty is to take due care and *not to act with reckless disregard* for the spectator's safety; a mere error of judgment or lapse of skill is not negligence.)

## 15. T.C. Balakrishnan v. T.R. Subramanian

AIR 1968 Ker 151

FACTS During the **Trichur Pooram** festival (a public festive procession), fireworks were displayed. A **minnal gundu** is an explosive made from a coconut shell filled with an explosive substance, placed in a bamboo tube with gunpowder beneath; the tube is kept upright, tied to an iron peg, and when ignited the shell is ejected vertically into the sky where it explodes. Two processions — of the **Paramekkavu** and **Thiruvambadi Devaswoms** — met at the southern gopuram of the Vadakkunnatha Temple in the evening, and a few hundred **olappadakams** (fireworks) interspersed with about 20–25 minnal gundus were fired. On this occasion a minnal gundu **did not rise into the sky and explode**; instead it **ran at a tangent, fell amidst the crowd and exploded**, causing serious injuries to the **first respondent, a minor** (represented by his father). Both lower courts decreed the suit. The trial court held the **Celebration Committee** responsible (and the appellants, its members, liable); the District Judge confined liability to the appellants, the members of the **Pooram Celebration Committee**, who had **engaged the 20th defendant, an independent contractor**, to exhibit the fireworks.

ISSUES (1) Was the 20th defendant (independent contractor) **negligent** — or does *res ipsa loquitur* apply? (2) Are the **appellants**, who engaged the independent contractor, **vicariously liable** for the negligence of the contractor in respect of a **hazardous/extra-hazardous** object? (3) Do the defences of **volenti non fit injuria** and **natural user** (excluding *Rylands* liability) and the **public benefit** argument apply?

ARGUMENTS **Appellants:** (i) Collecting and exploding minnal gundus on the Maidan on a festival day was a **natural use** of the land, so the *Rylands* rule (which requires a non-natural user) did not apply; (ii) the first respondent **voluntarily came to witness** the Pooram and the fireworks, so he was a **volunteer** and *volenti* applied; (iii) the event was for the **public benefit**, so no individual could claim; (iv) since the Devaswom Committee and the Devaswom were exonerated, they should be too.

**Respondent:** The 20th defendant was negligent — he failed to secure the tube and used weak tubes; even if negligence is not directly proved, *res ipsa loquitur* applies because minnal gundus normally fly vertically and explode in the air, and this one falling in the crowd and bursting speaks of negligence. The minnal gundu is an **extra-hazardous** explosive, and persons using it have a **non-delegable duty**; they cannot escape liability by engaging an independent contractor, and are liable under *Rylands v. Fletcher*. A person in a crowd of lakhs is not a **volenti**.

DECISION **T.C. Raghavan J** (Kerala High Court) held the appellants liable; the suit was decreed with costs. The Lower Courts' finding of negligence against the 20th defendant stood, and the appellants, who engaged him, were jointly and severally liable as **joint tort-feasors**.

> *"Since the gundu in question fell in the midst of the crowd and burst, there must have been negligence on the part of the 20th defendant ... The minnal gundu is an explosive, and is therefore an **'extra-hazardous' object**; and persons who use such an object, which, in its very nature, involves special danger to others, must be liable for the negligence of their independent contractor. The duty to keep such a substance without causing injury to others is a **'non-delegable' duty**: the appellants could not have escaped liability for the breach of such a duty by engaging an independent contractor."*

> *"To collect minnal gundus and explode them on a Maidan on a festival day is **not a natural user** of the Maidan; because under the Indian Explosives Act, for making and storing explosive substances even on a Maidan on a festival day licences have to be taken from the prescribed authorities." (No licence was taken for the day-time display.)*

> *"**Volenti non fit injuria** cannot apply — everyone in the big crowd of a few lakhs witnessing the fireworks anywhere in the Maidan could not be considered a volunteer; the explosion that injured the respondent **fell outside the cordoned area** where the fireworks were safely ignited, and the injury was not within the risk he consented to."*

> *"The defendants ... were all **joint tort-feasors** and each of them was jointly and severally liable in damages; the omission to grant a decree against some of the joint tort-feasors is no reason for exonerating the others."*

⚡ RATIO & PRINCIPLE EVOLVED: (i) **Res ipsa loquitur** applies — where a minnal gundu (which should fly vertically and explode in the air) falls among the crowd and bursts, negligence is presumed (rebuttable, but not rebutted). (ii) **Liability for an independent contractor:** persons who use an **extra-hazardous** object in the very nature of which special danger to others is inherent, must be liable for the negligence of the independent contractor they engage — the duty is **non-delegable**; liability also rests on *Rylands v. Fletcher* (non-natural user, because statutory licences are required). (iii) **Volenti fails**: a member of a large crowd is not a volunteer; and a person injured by an explosion that **escapes the cordoned, consented-to area** has not consented to that risk. (iv) **Joint tort-feasors** are jointly and severally liable, and the omission to sue one does not exonerate the others.

## PYQ BANK // MODULE 02 Previous Year Examination Questions

**Q.01** [DU · DECEMBER 2024 · Q2 · 20 MARKS] Amada, a three-year-old child attending play school under the management of KB School was temporarily left unattended by the class teacher, Mr. White. He strayed from the premises to the public highway. A lorry driver saw the child running in the middle of the road. Mr. White suddenly swerved the lorry to save the child and in doing so he sustained multiple injuries. Mr. White sues KB for negligence. It was pleaded in defence that though KB might have owed a duty of care to the child, he owed no such duty to Mr. White and therefore the maxim *volenti non fit injuria* applies in this case. Decide.

◈ Refer website for detailed notes — makelaweasy.in

**Q.02** [CLASSIC DU LONG QUESTION · 20 MARKS] Explain the maxim *volenti non fit injuria*. What are the essentials for its application? Point out the exceptions to it, and how it differs from contributory negligence.

**Q.03** [CLASSIC DU LONG QUESTION · 20 MARKS] "The maxim *volenti non fit injuria* is not *scienti non fit injuria*." Explain with reference to the case law.

**Q.04** [CLASSIC DU LONG QUESTION · 20 MARKS] What is the defence of *statutory authority*? Can an act authorised by a statute be actionable? Discuss with the help of cases.

**Q.05** [CLASSIC DU LONG QUESTION · 20 MARKS] What is the defence of *act of God*? What are its essentials? Explain with reference to decided cases.

**Q.06** [CLASSIC DU SHORT/LONG QUESTION · 10 MARKS] Write a short note on the defence of *inevitable accident*, and distinguish it from *act of God*.

**Q.07** [CLASSIC DU SHORT QUESTION · 10 MARKS] What are the essentials of the defence of *volenti non fit injuria*? Can a person be said to have consented merely because he **knew** of the risk?

by Ankur R. Upadhyay

MOD-03 // DUTY · BREACH · CARE PART A · LAW OF TORTS 06 CASE LAWS · 07 PYQs

# Module 03 — Negligence — Liability at Common Law & Statutory Law

**Scope:** (a) Theories of Negligence · (b) Meaning & Definition · (c) Essential Ingredients — duty to take care, breach of duty, consequent damage · (d) Proof of Negligence — res ipsa loquitur · (e) Manufacturer's Negligence · (f) Medical Negligence

## 03.01 Theories of Negligence

*how negligence is conceptualised.*

"Negligence" is used in two senses in the law of torts:

1. **Negligence as the mode of committing certain torts** — it denotes a **mental element**, e.g., negligently or carelessly committing trespass (a state of mind).
2. **Negligence as a separate, independent tort** — it means a **conduct** which creates a risk of causing damage, rather than a state of mind. This is the modern, dominant meaning.

### 1.1 The two competing theories

**(A) Subjective theory**

Negligence is purely a **state of mind** — a blameworthy mental condition. Liability is based on the defendant's **actual foresight or intention**.

- Supported by the view that negligence is the breach of a duty to take care adverted to in the defendant's mind.
- Looks at what the defendant **actually knew or foresaw**.

> *Criticism: It would exempt the careless but well-meaning, and make proof of negligence very hard (one cannot easily prove what was in the defendant's mind).*

**(B) Objective theory — the modern rule**

Negligence is **not a state of mind** but a **conduct** falling below a standard — the failure to take the care that a **reasonable man** would take.

- The test is the **objective** standard of the "reasonable man" (the man on the Clapham omnibus).
- Liability does not depend on the defendant's subjective foresight but on what a reasonable person **ought** to have foreseen.
- This is the approach adopted by Settled Legal Authorities, Winfield & the leading cases.

> *"Negligence is the breach of a duty caused by the omission to do something which a reasonable man, guided by those considerations which ordinarily regulate the conduct of human affairs would do, or doing something which a prudent and reasonable man would not do." — Settled Legal Authorities, Law of Torts (adopted in Jacob Mathew)*

**Exam point:** The **objective** standard is the accepted one. Lord Macmillan in *Donoghue*: "The law takes no cognizance of carelessness in the abstract. It concerns itself with carelessness only where there is a duty to take care and where failure in that duty has caused damage."

## 03.02 Meaning & Definition of Negligence

According to **Charlesworth & Percy**, in current forensic speech negligence has **three meanings**: (i) a state of mind, as opposed to intention; (ii) careless conduct; and (iii) the breach of a duty to take care imposed by common or statute law. All three apply in different circumstances, and any one does not necessarily exclude the others.

### 2.1 Definitions

| Authority | Definition |
|---|---|
| **Settled Legal Authorities** (as adopted in *Jacob Mathew*) | Negligence is the breach of a duty caused by **omitting to do something which a reasonable man would do**, or doing something which a prudent and reasonable man would not do. **Actionable negligence** = neglect of the use of ordinary care or skill towards a person to whom the duty of observing ordinary care and skill is owed, by which neglect the plaintiff has suffered injury. |
| **Winfield** | Negligence as a tort is "the **breach of a legal duty to take care** which results in damage, undesired by the defendant, to the plaintiff." |
| **Lord Macmillan** (*Donoghue*) | The law takes no cognizance of carelessness in the abstract; carelessness becomes **negligence** only where there is a duty to take care and failure in that duty has caused damage. |
| **Sir Frederick Pollock** | Negligence is a **specific tort** — the failure to take reasonable care to avoid injuring another, where a duty of care exists. |

by Ankur R. Upadhyay

**Essential legal nature:** Negligence is **not** mere carelessness or inadvertence in the moral sense. It is **conduct** — an act or omission — that breaches a **legal duty of care** owed to another, and that breach causes **legal damage**. There is no liability for carelessness in the air (Greer LJ, *Haynes v. Harwood*: "Negligence in the air will not do").

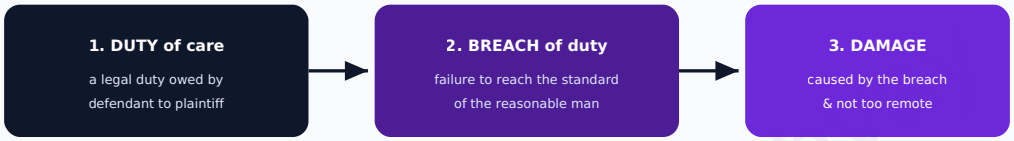
## 03.03 Essential Ingredients of Negligence

*duty to take care, breach of duty, consequent damage.*

In an action for negligence the plaintiff must prove the following **three essentials**:

1. **Existence of a legal duty to take care**, owed by the defendant to the plaintiff.
2. **Breach of that duty** — failure to attain the standard of care prescribed by law.
3. **Damage**, both causally connected with the breach and recognised by law, suffered by the plaintiff.

> *"The essential components of negligence are three: 'duty', 'breach' and 'resulting damage' ... (1) the existence of a duty to take care, which is owed by the defendant to the complainant; (2) the failure to attain that standard of care, prescribed by the law, thereby committing a breach of such duty; and (3) damage, which is both causally connected with such breach and recognised by the law, has been suffered by the complainant." — Jacob Mathew, adopting Charlesworth & Percy*




The classic three-step chain of negligence liability.

## 03.04 The Duty of Care — the Neighbour Principle

*the first and most crucial ingredient.*

A duty of care means a **legal duty** (not a mere moral, religious or social duty) to take care. The plaintiff must establish that the defendant owed him a specific legal duty of care, of which he made a breach. The modern foundation of this duty is the **neighbour principle** laid down by **Lord Atkin** in *Donoghue v. Stevenson*:

> *"You must take reasonable care to avoid acts or omissions which you can reasonably foresee would be likely to injure your neighbour. Who, then, in law is my neighbour? The answer seems to be — **persons who are so closely and directly affected by my act that I ought reasonably to have them in contemplation as being so affected** when I am directing my mind to the acts or omissions which are called in question." — **Lord Atkin***

Key features of the duty of care:

- It is a duty to **avoid foreseeable harm** to a person in a relationship of **proximity** ("nearness"), which is not confined to physical proximity but extends to such close and direct relations that the defendant would know his careless act directly affects the other.
- For a duty to arise, the harm must be **reasonably foreseeable** — the defendant need only take precautions against what a reasonable person could foresee.
- It is **not enough** that the defendant owed a duty of care generally; the duty must be **owed to the plaintiff himself**, or to a class of which the plaintiff is a member (Greer LJ in *Haynes*: negligence must be the neglect of some duty owed to the person who claims).




Lord Atkin's neighbour principle.

by Ankur R. Upadhyay

## 03.05 Breach of Duty & the Standard of Care

*the second ingredient.*

**Breach** is the failure to reach the standard of care prescribed by law. Negligence is not mere inadvertence; it is conduct falling short of the standard of the **reasonable man** (an ordinary, prudent person). If the defendant acted like a reasonably prudent man, there is no negligence.

To determine the standard of care required, the law takes two factors into account:

1. **The importance of the object to be attained.** The law does not require the greatest possible care, but the care of a reasonable man in the circumstances. It permits the taking of some risks so that socially useful activities may proceed. A certain speed may not be negligent for a fire-brigade vehicle, though the same speed would be negligent for an ordinary car.
2. **The magnitude of the risk.** The degree of care varies directly with the risk involved. A driver must take greater care when it is drizzling; a person carrying a loaded gun is expected to take greater precautions than one carrying a stick.

**Reasonable foreseeability:** The defendant is not required to guard against a risk that is **so remote** that a reasonable man would ignore it. In *Bolton v. Stone*, the likelihood of injury was so slight that the cricket club was held not negligent.

| Factor | Principle | Illustration |
|---|---|---|
| Object to be attained | Care required is that of a reasonable man; some risk taken in public interest | Fire brigade vs ordinary car (speed); *Latimer v. AEC* (not liable for an unpreventable & unforeseeable danger) |
| Magnitude of risk | Degree of care varies directly with the risk | Drizzling: greater care; loaded gun vs stick |
| Foreseeability | No duty against a risk too remote to anticipate | *Bolton v. Stone* (cricket ball); *Rajkot MC v. Manjulben* (sudden fall of tree) |
| Special skill | Higher standard where the defendant professes special skill | Medical/surgical negligence — see §6, *Bolam* |

## 03.06 Consequent Damage — the Third Ingredient

The defendant's breach of duty must **cause damage** to the plaintiff. Negligence is **not actionable per se** (unlike trespass) — **damage is a necessary ingredient** of this tort. The plaintiff must show:

- The damage was **caused by** the breach (causation — the "but for" test);
- It is **not too remote** a consequence (i.e., it is of a kind that was reasonably foreseeable).

The damage may be to the plaintiff's **person or property**; in the case of negligence, purely economic loss is generally not recoverable unless it flows from physical damage or is otherwise recognised by law. Damage must be actually suffered — no damage, no cause of action.

> **Contrast:** Some torts (trespass, defamation, wrongs actionable *per se*) do not require proof of damage. Negligence is **not** such a tort — it always requires consequent damage.

## 03.07 Proof of Negligence — Res ipsa loquitur

*"the thing speaks for itself."*

As a general rule it is for the plaintiff to prove that the defendant was negligent; the initial burden of making out a **prima facie case** of negligence lies heavily on the plaintiff. But there are cases where the plaintiff need not prove negligence — the **inference of negligence is drawn from the facts** themselves.

> *"An exception to the general rule that the burden of proof of the alleged negligence is in the first instance on the plaintiff occurs wherever the facts already established are such that the proper and natural inference immediately arising from them is that the injury complained of was caused by the defendant's negligence, or where the event charged as negligence 'tells its own story' ... To these cases the maxim res ipsa loquitur applies. Where the doctrine applies, a presumption of fault is raised against the defendant, which, if he is to succeed in his defence, must be overcome by contrary evidence; the burden on the defendant being to show how the act complained of could reasonably happen without negligence on his part."*
> *— Halsbury's Laws of England (quoted in MCD v. Subhagwanti)*

by Ankur R. Upadhyay

### 7.1 When the maxim applies

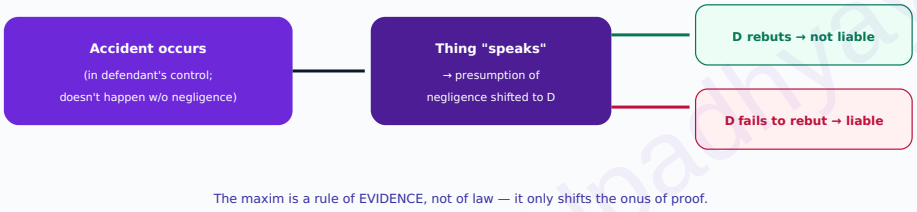
For *res ipsa loquitur* to apply, **two conditions** must be present:

1. The thing causing the damage was at the material time **exclusively under the control/management of the defendant or his servants**; and
2. The happening is such as **does not occur in the ordinary course of things without negligence** on the defendant's part.

It is then sufficient for the plaintiff to prove **the accident and nothing more**; the burden of proof shifts to the defendant to disprove negligence.

### 7.2 Nature & effect of the maxim

- It is **not a rule of law** — it is a **rule of evidence** benefiting the plaintiff by not requiring him to prove negligence.
- It **only shifts the burden of proof**; instead of the plaintiff proving negligence, the defendant must disprove it.
- The presumption is **rebuttable**. To rebut it the defendant must prove that the apparent negligence was due to factors **beyond his control** — merely showing some event (heavy rain, flood) occurred is **not enough**; he must also show necessary preventive measures were taken.
- The maxim does **not apply** when **different inferences** are possible — it applies only when the **only** inference from the facts is that the accident could not have happened but for the defendant's negligence.




The operation of res ipsa loquitur.

### 7.3 Illustrative cases where the maxim was applied

| Case | Application |
|---|---|
| **MCD v. Subhagwanti** (1966) | Fall of an 80-year-old Clock Tower — tells its own story; burden shifted to MCD. |
| **Byrne v. Boadle** (1863) | A barrel fell from a warehouse window onto a passer-by — prima facie negligence. |
| **Gangaram v. Kamla Bai** | Burst of an old, unroadworthy tyre at high speed — res ipsa applied. |
| **Bihar SRTC v. Smt. Manju Bhushan** | Bus dashing into a cycle-rickshaw, throwing the deceased 10 ft — rash & negligent driving. |
| **MPSRTC v. Sudhakar** | Bus going off a clean, visible road and hitting trees — res ipsa applied. |
| **Manindra Nath Mukherjee** | Banner fell from cinema sky-sign — res ipsa raised presumption of negligence, not rebutted. |

## 03.08 Manufacturer's Negligence

*the duty of a manufacturer to the ultimate consumer.*

This is the subject-matter of *Donoghue v. Stevenson* (Case 16). A **manufacturer** who puts up an article of food or drink in a form intended to reach the consumer in the condition in which it left him, with **no reasonable possibility of intermediate examination**, owes a duty to the ultimate consumer to take reasonable care that the article is free from defect likely to cause injury to health.

> *"A manufacturer of products, which he sells in such a form as to show that he intends them to reach the ultimate consumer in the form in which they left him, with no reasonable possibility of intermediate examination, and with the knowledge that the absence of reasonable care in the preparation or putting up of the products will result in an injury to the consumer's life or property, owes a duty to the consumer to take that reasonable care."* — ***Lord Atkin***, *Donoghue v. Stevenson*

- The duty arises **even though there is no contract / privity** between the manufacturer and the ultimate consumer — for an action in tort, a contractual relationship is not required.

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- The duty extends not only to the immediate purchaser but to **all persons whom the manufacturer intends or contemplates will consume the product** (and, in cases of articles of common household use, to members of the family, servants and guests).
- **Quality of the product:** In *Grant v. Australian Knitting Mills*, the same principle was applied to goods (woollen underwear) which reached the consumer in the same state — a latent defect made the manufacturer liable.
- **Exception:** Responsibility **ceases when control ceases** — where an intermediate person has the means and opportunity of examining the product before re-issuing it, or where the product is exposed to vicissitudes after leaving the manufacturer's hands, the manufacturer may not be liable.

> **Manufacturer's duty is not absolute — it is a duty of reasonable care.** The manufacturer is not an insurer of the product; he is liable only where there was **negligence** in manufacture, and the defect was present when the article left his hands.

## 03.09 Medical Negligence

*professional negligence.*

Medical (or **professional**) negligence arises where a doctor or other medical professional fails to exercise the standard of care expected of a reasonably competent professional in that branch. A professional is held to the standard of the ordinary skilled man exercising and professing to have that special skill; it is **not** the standard of the most highly skilled professional.

> *"A professional may be held liable for negligence on one of the two findings: either he was **not possessed of the requisite skill which he professed to have possessed**, or, he did **not exercise, with reasonable competence in the given case, the skill which he did possess**. The standard ... would be that of an **ordinary competent person exercising ordinary skill** in that profession." — Jacob Mathew*

### 9.1 The Bolam test

> *"He is not guilty of negligence if he has acted in accordance with a practice accepted as proper by a responsible body of medical men skilled in that particular art ... There may be more than one accepted practice; conformity with any of which would absolve a doctor from a charge of negligence." — **McNair J**, Bolam v. Friern Hospital Management Committee (1957)*

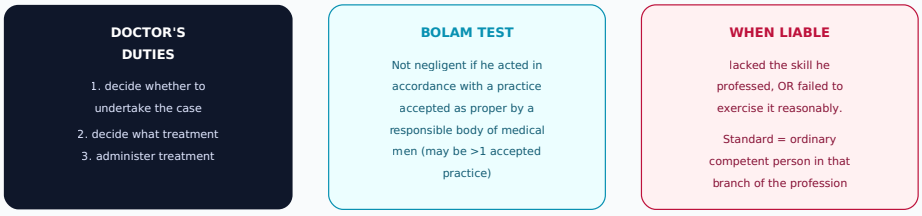
**Three main duties of a doctor** (derived from the case law): a duty of care in (i) deciding whether to undertake the case; (ii) deciding what treatment to give; and (iii) administering the treatment.

### 9.2 What is NOT negligence

- A **simple lack of care, an error of judgment, or an accident** is not proof of negligence.
- So long as a doctor follows a practice **acceptable to the medical profession of that day**, he cannot be held negligent merely because a **better alternative** was available, or because a more skilled doctor would not have chosen that procedure.
- The standard of care is judged by the **knowledge available at the time of the incident**, not at the date of trial. If the equipment was **not generally available** at that time, the charge of negligence will fail.
- A failure to take **special or extraordinary** precautions cannot be the standard; the test is whether **ordinary precautions**, which common experience has found sufficient, were taken.

### 9.3 Negligence vs error of judgment

The law carefully distinguishes a mere **error of judgment** (not negligent) from **professional negligence** (actionable). *R. v. Bateman* and later authorities draw the line at whether the professional acted with the care of a reasonably competent member of the profession. A doctor is not liable merely because his diagnosis or choice of treatment was wrong, if that choice was one a competent body of professional opinion would have accepted.




Medical negligence: the doctor's duties, the Bolam test, and the standard for liability.

by Ankur R. Upadhyay

## 03.10 The Bolam Test & its Indian Reception

*the governing test for professional/medical negligence.*

The **Bolam test** (from *Bolam v. Friern Hospital Management Committee*, 1957) is the classical statement of the standard of care owed by a medical professional. In *Jacob Mathew v. State of Punjab*, the Supreme Court of India **expressly held that the Bolam test holds good in its applicability in India**.

### How the Bolam test is applied

1. Identify the **practice** followed by the doctor.
2. Ask whether that practice is **accepted as proper** by a **responsible body of medical men** skilled in that particular art.
3. If yes, the doctor is **not negligent** — even if there is a different (perhaps better) body of medical opinion.

The test is **objective**, judged by the standards of the profession at the time of the incident, and it protects the doctor from liability for choosing between alternative accepted courses of treatment. It is designed to prevent the court from substituting its own (lay) view of what medical practice should be for the view of responsible medical opinion.

**Criticism & narrowing:** The Bolam test has been criticised as giving too much deference to the medical profession and as protecting negligent practices. Later English decisions (e.g., *Bolitho v. City & Hackney HA*) require that the professional opinion relied on be **logical / reasonable**, and in India the **Bolam test**, while adopted, is read with the requirement that the doctor's conduct must be such that **no medical professional of ordinary prudence** would have acted that way before liability attaches.

## 03.11 Civil Negligence vs Criminal Negligence

*A key distinction (central to Jacob Mathew ).*

Negligence is used both to fasten **civil** liability (damages) and, at times, **criminal** liability (e.g., under s. 304-A IPC for causing death by a rash or negligent act). The two are **not the same**.

| Basis | Civil negligence (tort) | Criminal negligence |
|---|---|---|
| Determinative factor | The **amount of damages** incurred determines the extent of liability | The **amount & degree of negligence** determines liability |
| Degree of negligence | Simple lack of care (a failure to take due care) suffices | Negligence must be **gross** — of a very high degree; mens rea must be shown |
| Mens rea | Not required | The element of **mens rea** cannot be excluded |
| Standard for a doctor | Ordinary competence (Bolam) | The accused must have done/failed to do something **no medical professional of ordinary prudence would have**; the hazard taken must be such that injury was **most likely imminent** |
| Effect of *res ipsa* | Operates as a rule of evidence (shifts onus) | Has, at best, limited application; cannot per se fix criminal liability |
| Quotes | "Simple lack of care such as will constitute civil liability is not enough." — Lord Atkin, *Andrews v. DPP* | |

**On s. 304-A IPC:** The word "gross" is not used in the section, but in *Jacob Mathew* the Court held that "rash or negligent act" must be read as **qualified by the word "grossly."** For a doctor to be prosecuted, it must be shown he did something **no prudent medical professional would have done**, and that the hazard was of a kind such that injury was most likely imminent. **Res ipsa loquitur** has a limited application in criminal trials.

## JUDICIAL DOSSIERS // 06 CASES Prescribed Landmark Case Laws — Detailed Analysis

### 16. Donoghue (or M'Alister) v. Stevenson

[1932] AC 562 (HL) · (1932) All ER Rep 1

FACTS Mrs. **Donoghue** averred that a **friend purchased a bottle of ginger-beer** for her in Minchella's café in Paisley. The friend took the metal cap off the bottle (which was made of **dark opaque glass**) and poured some contents into a tumbler. Having no reason to suspect it was anything other than pure ginger-beer, she drank some. When her friend refilled her glass, **there floated out the decomposed remains of a snail**. She suffered **shock and severe gastro-enteritis** from the nauseating sight and from the impurities already consumed. The ginger-beer was manufactured by

the **defender** (Stevenson) to be sold to the public, was bottled and labelled with his name, and sealed with a metal cap. She claimed it was the defender's duty to provide a system preventing snails entering his bottles and an efficient system of inspecting the bottles, and that his failure in both caused the accident. There was **no privity of contract** between her and the manufacturer (her friend, not she, had bought the bottle).

ISSUE Do the averments, if true, disclose a **cause of action**? Specifically — does the manufacturer of an article of drink sold to a distributor in circumstances which prevent the ultimate purchaser/consumer from discovering any defect **by inspection**, owe a **legal duty** to the ultimate consumer to take reasonable care that the article is free from defect likely to cause injury to health?

ARGUMENTS **Defender (manufacturer):** No duty was owed to the pursuer because (i) there was **no contract** between them (privity of contract); and (ii) the manufacturer owed a duty only to his **immediate buyer**, not to a remote consumer.

**Pursuer (consumer):** The manufacturer intended the ginger-beer to reach the ultimate consumer in the form in which it left him; there was **no reasonable possibility of intermediate inspection** (the bottle was dark and sealed). Therefore the manufacturer owed a duty of care to the consumer, and his negligence (allowing a snail/poison into the bottle) caused her injury.

DECISION **House of Lords** (by a bare majority, Lord Atkin and Lord Macmillan among the majority) **allowed the appeal** and held that the averments disclosed a cause of action.

> *"The rule that you are to love your neighbour becomes in law **you must not injure your neighbour**; and the lawyer's question, 'Who is my neighbour?' receives a restricted reply. You must take reasonable care to avoid acts or omissions which you can reasonably foresee would be likely to injure your neighbour. Who, then, in law is my neighbour? The answer seems to be — **persons who are so closely and directly affected by my act that I ought reasonably to have them in contemplation as being so affected** when I am directing my mind to the acts or omissions which are called in question." — Lord Atkin*

> *"A manufacturer of products, which he sells in such a form as to show that he intends them to reach the ultimate consumer in the form in which they left him with **no reasonable possibility of intermediate examination**, and with the knowledge that the absence of reasonable care in the preparation or putting up of the products will result in an injury to the consumer's life or property, owes a duty to the consumer to take that reasonable care." — Lord Atkin*

> *"The law takes no cognizance of carelessness in the abstract. It concerns itself with carelessness only where there is a **duty to take care** and where failure in that duty has caused damage. ... The categories of negligence are **never closed**." — Lord Macmillan*

Lord Macmillan also noted that **res ipsa loquitur** had no application here — negligence, in this case, must be both averred and proved; and that responsibility **ceases when control ceases**, but here the manufacturer's control remained effective until the sealed container was opened by the consumer.

⚡ RATIO & PRINCIPLE EVOLVED: The **neighbour principle** — a person owes a duty of care to those so closely and directly affected by his act that he ought reasonably to have them in contemplation. This duty exists **independently of contract** (no privity required). Manufacturer's negligence: a manufacturer of an article of food/drink, intending it to reach the ultimate consumer in the same form **with no reasonable possibility of intermediate examination**, owes a duty to take reasonable care that it is free from hidden defects; breach of that duty makes him liable to the consumer. The case is the foundation of the modern tort of **negligence** and of the **duty of care** ingredient.

### 17. Municipal Corporation of Delhi v. Subhagwanti — AIR 1966 SC 1750

FACTS Three persons died when the **Clock Tower**, situated opposite the Town Hall in the main Bazar of **Chandni Chowk, Delhi**, collapsed. The Clock Tower belonged to the appellant, formerly the **Municipal Committee of Delhi** (now MCD). The trial court held it was the duty of the Committee to take proper care of the buildings so that they should not be a source of danger to persons using the highway as of right; the Committee was liable in negligence if it did not take proper care to maintain the buildings in a safe condition, whether the defect was **patent or latent**. The trial court also rejected the plea that for latent defects it could not be held liable. The High Court held that **res ipsa loquitur** applied, and relied on the evidence of the retired Chief Engineer (Shri B.S. Puri) that the building was **80 years old**, the safe life of the top storey (given the mortar used) was only **40–45 years**, the middle storey could be saved for another 10 years, and the collapse was due to the **thrust of the arches on the top portion**; the mortar had deteriorated to powder with no cementing properties. If an expert had examined the building he might have found it likely to fall.

ISSUES (1) Did **res ipsa loquitur** apply, so as to raise a presumption of negligence against the MCD and shift the burden of proof onto it? (2) Was the MCD, as owner of a building abutting the highway, bound to maintain it in a proper state of repair, and liable **whether the defect was patent or latent**?

ARGUMENTS **Appellant (MCD):** The High Court was wrong to apply *res ipsa loquitur*; the fall was due to an **inevitable accident** which could not have been prevented by reasonable care; and there was nothing in the appearance of the Clock Tower which should have put it on notice of the probability of danger (i.e., the defect was **latent**).

**Respondents (heirs):** The Clock Tower was exclusively under the control of the Committee; it was 80 years old and had long passed its safe life; no proper periodical inspection was carried out (only casual, perfunctory ones); the Committee therefore failed in its duty and is liable, irrespective of whether the defect was patent or latent.

DECISION **Ramaswami J** (Supreme Court) **dismissed** the appeals, holding the MCD liable.

> *"The normal rule is that it is for the plaintiff to prove negligence and not for the defendant to disprove it. But there is an exception ... where the circumstances surrounding the thing which causes the damage are at the material time **exclusively under the control or management of the defendant or his servant** and the happening is such as **does not occur in the ordinary course of things without negligence** on the defendant's part."*

> *"The mere fact that there was fall of the Clock Tower **tells its own story** in raising an inference of negligence so as to establish a prima facie case against the appellant."*

> *"In view of the fact that the building had passed its normal age at which the mortar could be expected to deteriorate, it was the duty of the appellant to carry out **careful and periodical inspection** for the purpose of determining whether, in fact, deterioration had taken place and whether any precautions were necessary to strengthen the building."*

> *"The legal position is that there is a **special obligation on the owner of adjoining premises for the safety of the structures which he keeps besides the highway**. If these structures fall into disrepair so as to be of potential danger to the passer-by or to be a nuisance, the owner is liable to anyone using the highway who is injured by reason of the disrepair. In such a case it is **no defence for the owner to prove that he neither knew nor ought to have known of the danger**. In other words, the owner is legally responsible **irrespective of whether the damage is caused by a patent or a latent defect**." (citing Wringe v. Cohen (1940); Reg v. Bradford Navigation Co.; Lindley LJ in Rapier v. London Tramways.)*

⚡ RATIO & PRINCIPLE EVOLVED: **Res ipsa loquitur** applies where the thing causing the damage was **exclusively under the defendant's control** and the happening is such as **does not occur without negligence** — a presumption of fault arises and the burden shifts to the defendant to disprove negligence. **Owner's liability for structures adjoining a highway:** an owner is under a **special obligation** to keep such structures safe for persons lawfully using the highway, and is liable whether the defect is **patent or latent**; it is **no defence** that he did not know (and could not have known) of the danger. The failure to carry out **careful & periodical inspection** of an old building is itself negligence.

## 18. P. Narasimha Rao v. Gundavarapu Jayaprakasu — AIR 1990 AP 207

FACTS The plaintiff, a **brilliant 17-year-old student** who had secured **100% in Mathematics and 93.5% in Physical Sciences** in the P.U.C. examination, was a Government merit scholar and had been offered a seat in B.E. in four engineering colleges. He had a minor ailment — **chronic nasal discharge** — for which his mother took him to the second defendant, Dr. P. Narasimha Rao, an E.N.T. surgeon. Dr. Narasimha Rao diagnosed **nasal allergy** and suggested a **tonsillectomy**. The plaintiff was admitted on 6-7-66 to the Government General Hospital, Guntur, and operated upon the next morning. No relation was allowed inside the operation theatre, so what happened was **within the exclusive knowledge of the defendants 2 and 3**. The third defendant, Dr. S. Shankar Rao, was the Chief Anaesthetist.

About an hour and a half after the plaintiff was taken in, he was brought out **unconscious**. He did not regain consciousness for three days and could not speak coherently for another fifteen days. He was eventually discharged on 28-8-66, able only to recognise people and utter a few words — **he had lost all his knowledge and learning**. On examination at Vellore (Dr. Mathai, neurosurgeon) and Bangalore (Dr. Ansari), he was found to have **cerebral damage / organic brain damage due to cerebral anoxia** — his I.Q. was only 60 (against a normal 100) and the damage was **total and irreversible**, caused by anoxia during the operation. The plaintiff's father noticed that at one point the patient had suffered **respiratory and cardiac arrest for about 3–4 minutes** during general anaesthesia, leading to irreversible brain damage. The plaintiff claimed Rs. 50,000 in damages. The trial judge awarded **Rs. 22,000** (Rs. 20,000 general + Rs. 2,000 special). The surgeon and State appealed; the plaintiff cross-objected for higher damages.

ISSUES (1) Was the brain damage (cerebral anoxia) caused by the **negligence of defendants 2 and 3** (the surgeon and the anaesthetist)? (2) If so, were the damages awarded insufficient? (3) Was the **State (defendant 1)** vicariously liable as the employer/owner of the hospital?

ARGUMENTS **Plaintiff:** The defendants were reckless and negligent — the respiratory and cardiac arrest during anaesthesia led to cerebral anoxia causing irreversible brain damage. The anaesthetist removed the tube without giving fresh oxygen, delayed re-intubation, failed to record the pre-anaesthetic assessment, and failed to record blood

pressure after resuscitation. The surgeon, knowing of the arrest and that the patient had almost reached the point of death, nevertheless **continued the operation** merely because the anaesthetist said the patient was fit — no prudent surgeon would have done so; the operation aggravated the damage. Tonsillectomy is a **minor, elective operation** involving no risk; the damage speaks for itself (*res ipsa loquitur*). The State is vicariously liable as owner of the hospital.

**Defendants:** The mental depression and brain damage were **functional psychosis**, not caused by negligence; the pulse returned to normalcy after resuscitation, so it was proper to proceed. They denied any want of care.

DECISION **M.N. Rao J** (Andhra Pradesh High Court) accepted the finding that the plaintiff suffered **irreversible cerebral anoxia** caused by the improper induction of anaesthetics and the failure to take immediate steps to reduce anaesthesia and anoxia. Both the anaesthetist and the surgeon were guilty of **actionable negligence**:

> *"The anaesthetist ... was clearly negligent in discharging his duties towards the patient ... The third defendant ... failed to maintain any record of either the condition of the patient or the level of anaesthesia and what anaesthetics were administered. ... A duty was cast on the anaesthetist ... while resuscitating the patient ..."*

> *"The second defendant ... failed in his duty to conform to the standard of conduct expected of an ordinary surgeon although he is an experienced specialist. Without bothering to verify the state of the plaintiff he started and completed the operation despite the fact that tonsillectomy was an **elective operation**. Had he not proceeded with the operation there was every possibility of the plaintiff being saved."*

> *"The Government being the owner of the Hospital cannot escape their **vicarious liability**." (citing Gold v. Essex County Council and **Denning LJ** in Cassidy v. Ministry of Health: "authorities who run a hospital ... are in law under the self-same duty as the humblest doctor; whenever they accept a patient for treatment, they must use reasonable care and skill to cure him of his ailment.")*

On damages, the court held the trial judge was wrong to limit compensation. The plaintiff was entitled to **Rs. 2 lakhs** under **future pecuniary loss** (he would have had a brilliant engineering career) and **Rs. 2 lakhs** for **loss of amenities**; but since he had claimed only Rs. 50,000, the **cross-objection was allowed and a decree for Rs. 50,000 with 12% interest** was granted.

⚡ RATIO & PRINCIPLE EVOLVED: **Medical negligence** — a surgeon and anaesthetist are liable for actionable negligence where they fail to exercise the care of an ordinary competent practitioner. **Res ipsa loquitur** applies where the operation theatre and the treatment are within the **exclusive knowledge/control** of the doctors, and a minor operation leaving a patient with irreversible brain damage "speaks for itself." The standard of care for a specialist is that of an **ordinary practitioner of that standard**; a surgeon who continues an **elective** operation despite the patient having suffered cardiac/respiratory arrest is negligent. **Vicarious liability of the State/hospital** for the negligence of its doctors is established (*Gold*, *Cassidy*). Damages cover **pecuniary** (past & future loss) and **non-pecuniary** loss (pain & suffering, loss of amenities).

### 19. Jacob Mathew v. State of Punjab

(2005) 6 SCC 1

FACTS On 15-2-1995, **Jiwan Lal Sharma** was admitted as a patient in a private ward of CMC Hospital, Ludhiana. On 22-2-1995 at about 11 p.m., he felt difficulty in breathing. His son Vijay Sharma contacted the duty nurse, who called a doctor, but **no doctor turned up for 20–25 minutes**. Then **Dr. Jacob Mathew** (the appellant) and Dr. Allen Joseph came to the room. An **oxygen cylinder** was brought and connected to the patient's mouth, but the breathing problem increased. The patient tried to get up but the staff told him to stay in bed. The oxygen cylinder was found to be **empty**; no other cylinder was available in the room. Vijay went to an adjoining room and brought another cylinder, but there was **no arrangement to make it functional**, and 5–7 minutes were wasted. By then another doctor arrived and **declared the patient dead**.

An FIR was registered under **s. 304-A read with s. 34 IPC** against the two doctors. The Magistrate framed charges; the Sessions Judge dismissed the doctors' revision; the High Court dismissed the petition under s. 482 CrPC to quash the proceedings. Two issues arose: (i) is there a difference between civil and criminal negligence? (ii) is a different standard applicable to find a professional (doctor) guilty of negligence? The Bench referred the matter to a larger Bench, doubting *Dr. Suresh Gupta*, which had held that the doctor's act could be described only as "lack of due care and precaution" and, while he may be liable in tort, it could not be described as "so reckless or grossly negligent as to make him criminally liable."

ISSUES (1) Is there a **difference in civil and criminal law** on the concept of negligence? (2) Is a **different standard** applicable for recording a finding of negligence when a **professional, particularly a doctor**, is to be held guilty of negligence? (3) Did the facts disclose **criminal negligence** against the appellant?

ARGUMENTS **Appellant (Dr. Mathew):** There was no specific allegation of any act of omission/commission against the accused; the deceased was suffering from terminal cancer and was admitted only on the persistent request of influential relatives; every conceivable effort was made; the complaint was wholly unwarranted. Also, following *Suresh*

*Gupta*, a doctor may be liable in **tort** but not criminally for mere carelessness; and **gross** negligence is required for s. 304-A.

**Respondents (State & complainant):** There is no jurisprudential distinction between civil and criminal negligence; the word "gross" is not in s. 304-A and should not be read in; and a doctor should not be placed on a different pedestal in the matter of finding rashness or negligence.

DECISION **R.C. Lahoti CJ** (Three-Judge Bench, Supreme Court) spelt out the law on the concept of negligence. The Court **reaffirmed the principles in *Suresh Gupta*** (the legal principles, though not finally deciding the facts) and laid down the governing propositions:

> *"(1) Negligence is the breach of a duty caused by the omission to do something which a reasonable man, guided by those considerations which ordinarily regulate the conduct of human affairs would do, or doing something which a prudent and reasonable man would not do. ... The essential components of negligence are three: 'duty', 'breach' and 'resulting damage'."*

> *"(2) Negligence in the context of the medical profession necessarily calls for a treatment with a difference. ... A simple lack of care, an error of judgment or an accident, is **not proof of negligence** on the part of a medical professional. So long as a doctor follows a practice acceptable to the medical profession of that day, he cannot be held liable merely because a better alternative ... was also available, or simply because a more skilled doctor would not have chosen to follow that practice."*

> *"(3) A professional may be held liable on one of two findings: either he was **not possessed of the requisite skill** which he professed, or, he did **not exercise with reasonable competence** the skill which he did possess. The standard is that of an **ordinary competent person exercising ordinary skill** in that profession."*

> *"(5) The jurisprudential concept of negligence differs in **civil and criminal law**. What may be negligence in civil law may not necessarily be negligence in criminal law. ... For an act to amount to criminal negligence, the degree of negligence should be **much higher, i.e., gross or of a very high degree**. Negligence which is neither gross nor of a higher degree may provide a ground for action in civil law but cannot form the basis for prosecution."*

> *"(6) The word 'gross' has not been used in s. 304-A IPC, yet it is settled that negligence must be of such a high degree as to be 'gross'. The expression 'rash or negligent act' as occurring in s. 304-A IPC **has to be read as qualified by the word 'grossly'**."*

> *"(7) To prosecute a medical professional for negligence under criminal law it must be shown that the accused did something or failed to do something which **in the given facts and circumstances no medical professional in his ordinary senses and prudence would have done or failed to do**. The hazard taken should be of such a nature that the injury which resulted was **most likely imminent**."*

> *"(8) **Res ipsa loquitur** is only a rule of evidence and operates in the domain of civil law ... It cannot be pressed in service for determining per se the liability for negligence within the domain of criminal law."*

The Court also laid down **guidelines**: a private complaint against a doctor should not be entertained unless the complainant produces **prima facie evidence** in the form of a **credible opinion of another competent doctor**; the investigating officer should obtain an **independent and competent medical opinion** (preferably from a government doctor) applying the **Bolam test**; and a doctor should **not ordinarily be arrested in a routine manner**.

> *(Case at hand) "We are satisfied that all the averments ... do not make out a case of criminal rashness or negligence on the part of the accused-appellant. ... It is a case of **non-availability of the oxygen cylinder**, either because of the hospital having failed to keep one available or because the cylinder was found empty. ... The accused-appellant cannot be proceeded against under s. 304-A IPC on the parameters of the Bolam test."*

⚡ RATIO & PRINCIPLE EVOLVED: This is the **authoritative Indian statement on professional/medical negligence**. (i) The **Bolam test** holds good in India. (ii) Negligence must be proved by the **three ingredients** (duty, breach, damage). (iii) A doctor is **not liable** for a simple error of judgment, accident, or for following a practice accepted by a responsible body of medical opinion. (iv) The standard of care is that of an **ordinary competent professional**, not the most skilled. (v) **Civil and criminal negligence differ** — criminal negligence requires **gross** negligence (read into s. 304-A); a mere civil wrong does not found a prosecution. (vi) **Res ipsa loquitur** is a rule of evidence for civil law and has limited application in a criminal charge. (vii) There must be **prima facie credible medical opinion** before prosecuting a doctor, and doctors should not be routinely arrested — protecting them from frivolous and malicious prosecutions.

### 20. Malay Kumar Ganguly v. Sukumar Mukherjee AIR 2010 SC 1162

FACTS **Anuradha**, a child psychologist and graduate of Columbia University, and her husband **Dr. Kunal Saha** (a researcher on HIV/AIDS) were settled in the USA. They came to Calcutta on 1-4-1998. Anuradha developed **fever and skin rash** on 25-4-1998. On 26-4-1998, **Dr. Sukumar Mukherjee** (respondent 1) examined her and, assuring quick

recovery, advised rest but prescribed no specific medicine. Two weeks later (7-5-1998) the **rash reappeared more aggressively**. Dr. Mukherjee prescribed **Depomedrol injection 80 mg twice daily for the next three days**. Despite this, her condition deteriorated rapidly. She was admitted to **AMRI hospital** on 11-5-1998 under Dr. Mukherjee, and was also seen by Dr. Baidyanath Halder (respondent 2) and Dr. Abani Roy Chowdhury (respondent 3). Her condition deteriorated further. On **17-5-1998** she was shifted to **Breach Candy Hospital, Mumbai**, where she **died on 28-5-1998**.

Dr. Kunal Saha sent a lawyer's notice to 26 persons; a relative, **Malay Kumar Ganguly**, filed a criminal complaint under **s. 304-A IPC** against Dr. Mukherjee, Dr. Halder and Dr. Abani Roy Chowdhury before the CJM. Kunal also filed a consumer complaint (OP No. 240/1999) before the **National Commission** claiming **Rs. 77,76,73,500** for deficiency in service. He also complained to the West Bengal Medical Council. The CJM found Dr. Mukherjee and Dr. Halder **guilty under s. 304-A IPC** (3 months' SI + Rs. 3,000 fine) and acquitted Dr. Abani Roy Chowdhury. On appeal, the **Calcutta High Court allowed the appeals** of the doctors and dismissed the complainant's revisions. The matter came to the Supreme Court.

**ISSUES** (1) Was there **medical negligence** on the part of the doctors in diagnosing/ treating Anuradha, rendering them criminally liable under s. 304-A IPC? (2) Was there a **deficiency in service** under the Consumer Protection Act, and was the hospital (AMRI)/doctors liable in compensation? (3) Whether the evidence (opinion of experts, treatment records, deviation from the treatment protocol) established negligence.

**ARGUMENTS & EVIDENCE BEFORE THE COURT** **Complainant/respondent (Dr. Kunal Saha):** The doctors failed to follow the accepted **treatment protocol for TEN (toxic epidermal necrolysis)** and administered **steroids** (Depomedrol 80 mg twice daily), against the accepted medical view that steroids are detrimental to TEN patients; no **IV fluid replacement** (mandatory in the first 48 hours of treating TEN), no supportive/symptomatic therapy, no **monitoring of vital signs** (temperature, pulse, BP, intake–output), **no records** properly maintained, no regular skin-wound swabs/blood tests, and occlusive dressings that aggravated infection — this was gross negligence leading to her death.

**Doctors/hospital:** There is a **cleavage of opinion** in the medical profession between the pro-steroid and anti-steroid groups, so no negligence can be attributed; the National Commission had held there was no negligence (a dermatologist had prescribed the same treatment; TEN is extremely rare — 1 case in 1.3 million per year — so an error of judgment in diagnosis is not negligence). The Calcutta High Court had allowed the doctors' appeals. Dr. Kaushik Nandy (the plastic surgeon) relied on the treatment protocol of the globally accepted expert Prof. Jean Claude Roujeau.

Dr. Kunal Saha examined several experts (Drs. Anil Shinde, Udwadia, Salil Kumar Bhattacharyya), while the respondents examined none — the **onus of proof** therefore shifted to the respondents (Nizam Institute of Medical Sciences).

**DECISION** **S.B. Sinha J** (Supreme Court) — the Court made a **critical distinction between civil/consumer liability and criminal negligence**.

> *"In view of our discussions made hereinbefore, we are of the opinion that for the death of Anuradha although Dr. Mukherjee, Dr. Halder, Dr. Abani Roy Chowdhury, AMRI, Dr. B. Prasad **were negligent**, the extent thereof ... it cannot be said that they should be held guilty for commission of an offence under **Section 304-A** of the Indian Penal Code."*

> *"The jurisprudential concept of negligence differs in civil and criminal law. What may be negligence in civil law may not necessarily be negligence in criminal law. For negligence to amount to an offence the element of **mens rea** must be shown to exist. ... the degree of negligence should be much high degree ... To prosecute a medical professional ... it must be shown that the accused did something or failed to do something which ... **no medical professional in his ordinary senses and prudence** would have done or failed to do."*

On the facts the Court found **deficiencies**: vital parameters of Anuradha were not examined between 11-5-1998 and 16-5-1998; **IV fluid was not administered** (absolutely necessary in the first 48 hours of treating TEN); Dr. Halder failed to provide supportive therapy and to monitor the patient; the occlusive dressing increased infection; Dr. B. Prasad added more steroids (fast-acting Prednisolone) **beyond the maximum recommended dose**, stood "second fiddle" to the treatment and failed to apply his own mind. However, **Dr. Kaushik Nandy** was held **not** negligent — his course met the treatment protocol of Prof. Jean Claude Roujeau.

> *"In a case of this nature, the court must deal with the consequences the patient faced keeping in view the **cumulative effect**."*

> *"It is to be noted that the doctrine of **cumulative effect is not available in criminal law**. The complexities ... as also the differing nature of negligence exercised by various actors, make it very difficult to distil individual extent of negligence with respect to each of the respondents. In such a scenario, finding of medical negligence under section 304-A cannot be objectively determined."*

**Final order:** The **criminal appeals were dismissed** (the doctors were **not** criminally liable under s. 304-A), but the **civil/consumer appeal was allowed** to the extent that the matter was **remitted to the National Commission** (NCDRC) only for determining the **quantum of compensation**. The Court directed **costs of Rs. 5,00,000 and Rs. 1,00,000**

payable by **AMRI and Dr. Mukherjee** respectively, and that any examination of foreign experts be done **only through video-conferencing** at the cost of the respondents.

> ⚡ RATIO & PRINCIPLE EVOLVED: **The distinction between civil and criminal negligence is decisive.** The same medical conduct may establish **negligence in civil/consumer law** (deficiency in service — entitling compensation) and yet **not amount to gross negligence** under s. 304-A IPC. Criminal liability requires proof of a **very high degree** of negligence and an element of **mens rea**, and cannot be grounded on the **doctrine of cumulative effect** (which applies in civil/consumer cases but not in criminal law). **Treatment protocol must be followed:** a doctor/ hospital is negligent where they depart from the accepted treatment protocol (e.g., failing to administer mandatory IV fluids and supportive therapy in TEN; administering a drug beyond the maximum recommended dose; failing to monitor vital signs or maintain records). **Expert evidence must be adduced** — the onus of proof may shift to the respondent hospital/doctors; and a specialist who acts in accordance with the judgment and protocol of a responsible body of experts (as Dr. Nandy did) is **not** negligent. This case also establishes that courts may award costs against a negligent hospital/doctor even while refusing criminal conviction.

### 21. Khenyei v. New India Assurance Co. Ltd. (2015) 9 SCC 273

**FACTS** The claimants were injured when a **bus and a trailer-truck collided** — an accident caused by **composite negligence** of the two drivers, found to be **2/3rd and 1/3rd** respectively. The **New India Assurance Co. Ltd.** was the insurer of the **bus**. On the basis of additional evidence, the High Court concluded that the insurance company was **not the insurer of the trailer-truck**, and therefore was not liable to satisfy the 2/3rd of the award. The question before the Supreme Court was whether it is open to a claimant to **recover the entire compensation from one of the joint tort-feasors**, particularly where the composite negligence of the two drivers had been found to be 2/3rd and 1/3rd.

**ISSUES** (1) In **composite negligence** (per two or more wrongdoers causing a single, indivisible injury), can the claimant recover the **entire compensation from any one** of the joint tort-feasors? (2) What is the difference between **composite negligence** and **contributory negligence**? (3) What is the remedy of a joint tort-feasor who has paid the whole amount — can he recover **contribution** from the other?

**ARGUMENTS** **Insurer of the bus:** It was not the insurer of the trailer-truck; its liability was confined to its own insured's share (1/3rd); it should not have to satisfy the 2/3rd attributable to the owner/insurer of the trailer-truck.

**Claimant:** The two drivers were **joint tort-feasors**; their liability was **joint and several**, so the claimant was entitled to recover the whole compensation from any one of them (the "easiest target"), leaving it to that tort-feasor to claim contribution.

**Authorities relied on:** *Performance Cars v. Abraham*, *Baker v. Willoughby*): where two or more breaches of duty cause a **single, indivisible injury**, the claimant is entitled to sue **all or any of them for the full amount**, and each is jointly and severally liable; the impleaded defendant may seek **contribution** from the others, but that is a matter among the defendants and does not affect the claimant. Also *T.O. Anthony v. Karvarnan* (2008) and *Pawan Kumar v. Harkishan Dass* (2014) distinguishing composite from contributory negligence; and Charlesworth & Percy on joint tort-feasors.

**DECISION** **Arun Mishra J** (Supreme Court) **allowed the appeals** and set aside the High Court's judgment, holding that the claimant was entitled to recover the entire compensation from the insurer of the bus, and the insurer could recover the 2/3rd from the owner of the trailer-truck. The Court summarised the law as follows:

> *"22.1 In the case of **composite negligence**, plaintiff/claimant is entitled to sue both or any one of the joint tort-feasors and to recover the entire compensation as liability of joint tort-feasors is **joint and several**."*

> *"22.2 In the case of composite negligence, **apportionment of compensation between two tort-feasors vis-à-vis the plaintiff/claimant is not permissible**. He can recover at his option whole damages from any of them."*

> *"22.3 In case all the joint tort-feasors have been impleaded and evidence is sufficient, it is open to the court/tribunal to determine **inter se** extent of composite negligence of the drivers. However, determination of the extent of negligence between the joint tort-feasors is only for the purpose of their **inter se liability** so that one may recover the sum from the other after making whole of the payment to the plaintiff/claimant ... one joint tort-feasor can recover the amount from the other in the **execution proceedings**."*

> *"22.4 It would **not** be appropriate for the court/tribunal to determine the extent of composite negligence of the drivers of two vehicles **in the absence of impleadment of the other joint tort-feasor**. In such a case, the impleaded joint tort-feasor should be left, in case he so desires, to sue the other joint tort-feasor in independent proceedings after passing of the decree or award."*

> *"There is a difference between **contributory and composite negligence**. In the case of contributory negligence, a person who has himself contributed to the extent cannot claim compensation ... to the extent of his own negligence; whereas in the case of composite negligence, a person who has suffered has **not contributed to the accident** but the outcome is the combination of negligence of two or more other persons."*

⚡ RATIO & PRINCIPLE EVOLVED: **Composite negligence vs contributory negligence**: in composite negligence the injured person has **not** contributed to the accident — it is the combination of negligence of two or more wrongdoers causing a **single, indivisible injury**; in contributory negligence the injured person has himself partly contributed, and his damages are **reduced** proportionally. **Joint tort-feasors**: their liability is **joint and several**, so the claimant may recover the **whole** amount from any one of them; **apportionment is not permissible vis-à-vis the claimant**. The determination of the shares between the joint tort-feasors is only for **inter se** contribution — one tort-feasor who has paid the whole may recover the excess from the other (in execution proceedings if both were impleaded and shares determined, otherwise by a separate suit).

## PYQ BANK // MODULE 03 Previous Year Examination Questions

**Q.01** [CLASSIC DU LONG QUESTION · 20 MARKS] Define negligence. What are the essential ingredients of the tort of negligence? Explain with reference to case law (duty to take care, breach of duty, consequent damage).

◈ Refer website for detailed notes — makelaweasy.in

**Q.02** [CLASSIC DU LONG QUESTION · 20 MARKS] Explain the maxim *res ipsa loquitur*. When does it apply? What is its effect, and how may it be rebutted? Refer to *MCD v. Subhagwanti* and other cases.

**Q.03** [DU 2024-STYLE · 20 MARKS] Discuss the law relating to medical negligence. To what extent is a doctor liable for negligence? What is the difference between a mere error of judgment and negligence? (Refer to the Bolam test, *Jacob Mathew*, *P. Narasimha Rao*, *Malay Kumar Ganguly*.)

**Q.04** [CLASSIC DU LONG QUESTION · 20 MARKS] Discuss the liability of a manufacturer for negligence. Can a person who is a stranger to the contract sue the manufacturer? Explain with reference to *Donoghue v. Stevenson* and *Grant v. Australian Knitting Mills*.

**Q.05** [CLASSIC DU SHORT QUESTION · 10-20 MARKS] Distinguish between "contributory negligence" and "composite negligence," and state the liability of joint tort-feasors. Refer to *Khenyei v. New India Assurance Co. Ltd.*

**Q.06** [CLASSIC DU QUESTION · 20 MARKS] What is the standard of care expected of a professional (a doctor)? Is an error of judgment negligence? Explain the "Bolam" test and the difference between civil and criminal negligence.

**Q.07** [CLASSIC DU QUESTION · 20 MARKS] Explain the theories of negligence. Is negligence a state of mind or a conduct? Discuss.

MOD-04 // PSYCHIATRIC PROXIMITY · PART A · LAW OF TORTS · 07 CASE LAWS · 06 PYQs

# Module 04 — Nervous Shock & Psychiatric Illness Liability

**Scope:** (a) Meaning · (b) Impact theory — from personal injury, from property damage · (c) Foreseeability of psychiatric illness · (d) Immediate aftermath test · (e) Primary victims, secondary victims

## 04.01 Meaning of Nervous Shock

**Nervous shock** (also called **psychiatric illness**, **nervous shock**, or **psychiatric injury / mental shock**) is a tort of recent origin. It provides relief where a person suffers **physical injury not by impact** (e.g., by a stick, bullet or sword) **but merely by a nervous shock** through what has been seen or heard. In other words, it is injury **sustained through the medium of the eye or the ear, without direct contact**.

> *"The crude view that the law should take cognizance only of physical injury resulting from actual impact has been discarded, and it is now well recognised that an action will lie for injury by shock sustained through the medium of the eye or the ear without direct contact." — **Lord Macmillan**, Bourhill v. Young (quoting the older case law)*

**Essential points to note:**

- **Shock is a separate kind of damage**, not merely a variant of physical injury. As stated in *Alcock*, "shock is no longer a variant of physical injury but a separate kind of damage." It requires the **sudden appreciation by sight or sound of a horrifying event**, which violently agitates the mind.
- **It must be a genuine psychiatric illness**, not mere grief, sorrow, anxiety or distress. The law gives no damages "for grief and sorrow." The first hurdle for a plaintiff is to show he suffers a **positive psychiatric illness** (an anxiety neurosis or reactive depression may qualify), not merely a normal emotional reaction.
- **Shock must be sudden.** It has yet to include psychiatric illness caused by the **accumulation over a period of time** of more gradual assaults on the nervous system (e.g., the stress and strain of caring for an injured relative over a long period does not found a claim).
- **It is a tort dependent on duty of care.** The defendant is liable only where he owed the plaintiff a duty to avoid inflicting psychiatric injury, which in turn depends on **reasonable foreseeability** and a relationship of **proximity** (see §§4–6).

**No recovery for mere grief:** Damages are not awarded at common law for grief and sorrow. A plaintiff seeking damages must establish a recognisable psychiatric illness caused by shock, and must surmount the hurdles of causation and proximity — not merely show that he was upset, anxious or bereaved.

## 04.02 Historical Development of the Tort

*The line of authority from 1861 to the modern law.*

| Stage / Case | Position |
|---|---|
| **Lynch v. Knight** (1861) | Lord Wensleydale: mental pain and anxiety are things "which the law cannot value and does not pretend to redress." |
| **Victorian Railway Comrs. v. Coultas** (1888, PC) | No recovery for nervous shock caused by fright of an impending collision — such damages were held **too remote**. |
| **Wilkinson v. Downton** (1897) | Defendant liable where the plaintiff suffered shock on being **falsely told** (by way of a practical joke) that her husband had broken both legs. |
| **Dulieu v. White & Sons** (1901) | Action for nervous shock resulting in physical injuries **recognised**; but Kennedy J. limited it to shock "arising from reasonable fear of **immediate personal injury to oneself**." |
| **Hambrook v. Stokes Bros** (1925, CA) | The limitation in *Dulieu* was **disapproved**; recovery allowed for fear of injury to one's **children**, not merely to oneself. |
| **(Hay or) Bourhill v. Young** (1943, HL) | The action lying for shock "through the medium of the eye or the ear without direct contact" **confirmed**; but on facts the pursuer was outside the area of reasonable foresight and failed. |
| **McLoughlin v. O'Brian** (1983, HL) | The **immediate aftermath** doctrine recognised; a mother who came upon the aftermath in hospital recovered. |
| **Alcock v. Chief Constable** (1991, HL) | The **three-element proximity test** (class of persons, proximity in time & space, means of shock) and the distinction between **primary and secondary victims** crystallised; television broadcast and delayed identification held insufficient. |
| **Page v. Smith** (1995, HL) | The distinction between physical and psychiatric injury **abolished** for primary victims (those within the area of physical risk); such a person may recover for psychiatric illness even though no physical injury is sustained. |

by Ankur R. Upadhyay




From outright rejection (1888) to the modern three-element proximity test (1991).

## 04.03 The Impact Theory

*"From personal injury, from property damage."*

The **impact theory** (also called the **"impact rule"** or the **"direct contact"** requirement) was the original, restrictive approach. Under it, damages for **nervous shock** could be recovered only if the plaintiff had himself suffered some **physical impact / physical injury** or was actually and physically endangered. The shock itself had to be the consequence of an impact on the plaintiff's person, or a reasonable fear of immediate physical injury to himself.

This is precisely the limitation imposed by **Kennedy J.** in *Dulieu v. White* (1901):

> *"The shock, where it operates through the mind, must be shock which arises from a **reasonable fear of immediate injury to oneself**. A has, I conceive, no legal duty not to shock B's nerves by the exhibition of negligence towards C, or towards the property of B or C."* — ***Kennedy J.** in Dulieu v. White & Sons*

The impact theory has been eroded and ultimately abandoned, but it is useful to break it down as the syllabus suggests:

### 3(a) Impact theory — from personal injury

Originally, the plaintiff could recover for nervous shock only where the shock resulted from **actual or apprehended physical injury to himself**. If the plaintiff was himself struck, or was in the area of physical danger and feared immediate bodily harm, the shock was compensable. This was the position in *Dulieu*, and it was reflected in the notion of the **"area of risk"** (the area of possible physical impact).

In *King v. Phillips* (1953), this approach was still applied: a mother who heard her son scream and saw his tricycle under a taxi, but who was **70–80 yards away inside an upper room**, was held **wholly outside the area of reasonable apprehension** — the defendants were not liable. The shock occurred out of the "area of physical risk," and she could not recover.

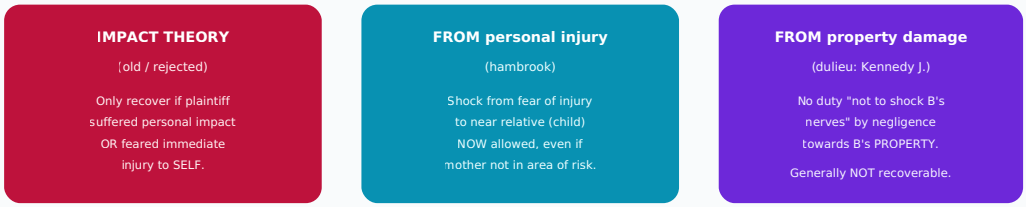
However, *Hambrook* showed the limits of this doctrine: recovery was allowed where the shock arose from **fear for one's children**, even though the mother was not herself in the area of physical injury.

### 3(b) Impact theory — from property damage

Historically the law was even less willing to allow an action where the shock resulted from damage to **property** (rather than to the person). Under the impact theory, a person who suffered nervous shock on seeing his property (e.g., his house or goods) being damaged or destroyed by the defendant's negligence had, generally, **no cause of action**. Kennedy J. in *Dulieu* expressly said a person has "no legal duty not to shock B's nerves by the exhibition of negligence towards … **the property of B or C**."

Even in modern law, recovery for psychiatric illness induced by fear for, or damage to, **property** is not generally recognised. The law is reluctant to compensate a plaintiff whose shock arises from a fear for his **chattels or land** rather than for a person. The shock must ordinarily arise from a risk of **personal** injury (to the plaintiff or a closely connected person), not from damage to property. (Compare the "property damage" bar under the impact theory — this is why a mere bystander whose goods are damaged cannot claim for shock.)

by Ankur R. Upadhyay




Impact theory: rejection for self-injury; relaxation for injury to near relatives; continued refusal for shock from property damage.

**Exam point:** The impact theory has been **rejected** as the governing test. Per Lord Macmillan in *Bourhill*, it is "no longer necessary to consider whether the infliction of what is called mental shock may constitute an actionable wrong. The crude view that the law should take cognizance only of physical injury resulting from actual impact has been discarded." The modern test is **reasonable foreseeability of psychiatric illness** (subject to **proximity**), not the presence of physical impact. But shock from **property damage** remains excluded.

## 04.04 Foreseeability of Psychiatric Illness

Once the impact theory was discarded, the governing test of liability for nervous shock became **reasonable foreseeability** — whether injury by shock to the plaintiff was a reasonably foreseeable consequence of the defendant's negligence. As Lord Denning said: "there can be no doubt since *Bourhill v. Young* that the test of liability is **foreseeability of injury by shock**."

**Bourhill v. Young** is the foundation. Lord Macmillan held the deceased motor-cyclist owed **no duty** to Mrs. Bourhill, because she was **not so placed** that there was any reasonable likelihood of her being affected by his careless driving; "such a result could not reasonably and probably be anticipated." The defendant cannot be made liable to a plaintiff who was, to his reasonable contemplation, **outside the area of risk**.

But **foreseeability is necessary, not sufficient**. In *McLoughlin* Lord Wilberforce stressed that foreseeability "does not of itself, and automatically, lead to a duty of care." The foreseeability must be **accompanied and limited by the law's judgment** as to persons who ought, according to its standards of value and justice, to have been in contemplation. This is where the requirement of **proximity** enters (see §6).

**The decisive shift (McLoughlin, per Lord Wilberforce):** "To say that a person is owed a duty of care merely because injury is foreseeable, without more, is to ignore the limitation that only those who the law regards as 'neighbours' — those closely and directly affected — can claim. Foreseeability tells us something; **proximity**, and considerations of policy, define the class of persons to whom the duty is actually owed."

## 04.05 The Immediate Aftermath Test

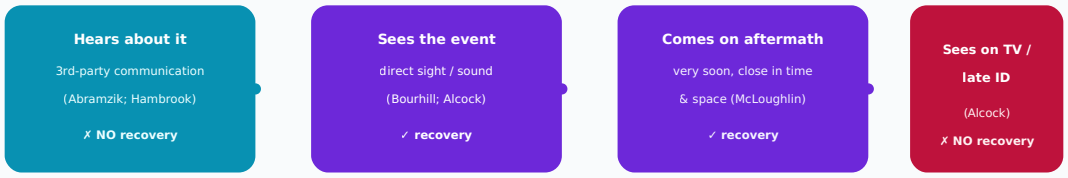
Although the plaintiff need not have **seen or heard** the accident, the shock must be brought about by **direct perception** of the event or of its **immediate aftermath**. The **aftermath doctrine** lets a person who, **from close proximity**, **comes very soon upon** the scene of an accident recover for nervous shock.

> *"Experience has shown that to insist on direct and immediate sight or hearing would be impractical and unjust and that under what may be called the 'aftermath' doctrine one who, from close proximity, comes very soon upon the scene should not be excluded."* — ***Lord Wilberforce,*** *McLoughlin*

**Key elements of the aftermath test:**

- **Proximity in time and space must be close.** The plaintiff must come upon the aftermath **very soon** after the accident.
- The aftermath extends to the scene **and to the hospital** where the victim is taken, and persists **so long as the victim remains in the state produced by the accident** — up to and including immediate post-accident treatment. (Deane J. in *Jaensch v. Coffey* (Australia): "the aftermath of the accident extended to the hospital to which the injured person was taken and persisted for so long as he remained in the state produced by the accident up to and including immediate post-accident treatment.")
- In *McLoughlin*, the mother came to the hospital **about two hours** after the accident and saw her injured children and husband in the "same condition" — this was held to be within the immediate aftermath, and she recovered.

- **Where the line is drawn:** In *Alcock*, identification of a body in a mortuary **about 8 hours** after the disaster was held **not** to be part of the "immediate aftermath." Identification is only part of the immediate aftermath if made very soon after the accident (as in *McLoughlin*, where the plaintiff arrived within an hour or so).
- **Communication by a third party does not suffice.** Shock brought about by being **informed** of the accident (rather than perceiving it or its aftermath) is not compensated (following *Hambrook*; *Abramzik v. Brenner*). The shock "must come through sight or hearing of the event or its immediate aftermath."




The aftermath test: the shock must come from direct perception (sight/hearing) of the event or its immediate aftermath, not from being told about it.

## 04.06 Primary Victims v Secondary Victims

*the modern organising distinction.*

The modern law divides claimants for nervous shock into **two categories**:

**(A) PRIMARY VICTIM**

A person **within the area of physical danger / who was himself exposed to the risk of physical injury** (or who believes he is in danger) through the defendant's negligence, and who suffers psychiatric illness as a result.

- He is involved in the accident as a **participant** (e.g., the driver or a passenger, or a rescuer in physical danger).
- He need only show that **physical injury was reasonably foreseeable**; he need not show that **psychiatric injury** was foreseeable.
- He may recover even though he **sustained no physical injury** (the distinction between physical and psychiatric injury has been abolished for him).

> *Authority: Page v. Smith; Alcock.*

**(B) SECONDARY VICTIM**

A person **not himself within the area of physical danger**, who suffers psychiatric illness from **what he saw or heard** — e.g., a mother who sees her child run over, or a spouse who comes upon the aftermath.

- He is a **mere witness / spectator**, not a participant.
- He must satisfy ALL the requirements (the **3-element proximity test**): (1) a close relationship of love and affection; (2) proximity in time and space; and (3) the shock must come through **sight or hearing** of the event or its immediate aftermath.
- He must further show that **psychiatric injury to a person of ordinary fortitude** in his position was reasonably foreseeable.

> *Authority: Alcock; McLoughlin; Bourhill.*

### 6.1 The differences at a glance

| Basis | Primary victim | Secondary victim |
|---|---|---|
| Position | In the area of physical danger (involved/participant) | Outside the area of danger (witness/spectator) |
| Must plead foreseeability of psychiatric injury | **No** — only foreseeability of physical injury is needed | **Yes** — psychiatric illness must be reasonably foreseeable |
| Must show a close relationship | Not necessary (he is the victim) | **Yes** — close tie of love & affection (presumed for spouse/parent/child) |
| Must show proximity in time & space | Not necessary | **Yes** |
| Must show shock by sight/hearing | Not in the same way | **Yes** — the event or its immediate aftermath |
| Can recover without physical injury | **Yes** (*Page v. Smith*) | Yes, but subject to the 3 conditions |
| Authority | *Page v. Smith*; *Alcock* | *Alcock*; *McLoughlin* |

by Ankur R. Upadhyay

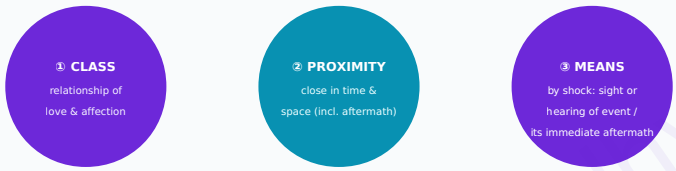
**Why the distinction matters — Alcock:** All the *Alcock* plaintiffs were **secondary victims** (none was in the pens; four were elsewhere in the ground; the rest were at home). Because none of them satisfied the class/proximity/means requirements, they failed — even though the risk of psychiatric illness was plainly foreseeable. Lord Keith: "injury by psychiatric illness is more subtle … it is a secondary sort of injury brought about by the infliction of physical injury, or the risk of physical injury, upon another person," so "in addition to reasonable foreseeability, liability … must depend upon a requisite relationship of proximity."

## 04.07 The 3-Element Proximity Test (for secondary victims)

*From McLoughlin , crystallised in Alcock .*

Because "shock" in its nature can affect so wide a range of people, Lord Wilberforce in *McLoughlin* held there is a real need for the law to limit admissible claims by reference to **three elements** inherent in any claim:

1. **The class of persons whose claims should be recognised** — the closeness of the relationship (love and affection).
2. **The proximity of such persons to the accident** — close in **both time and space**, including the immediate aftermath.
3. **The means by which the shock is caused** — through **sight or hearing** of the event or its immediate aftermath.




The three-element proximity test.

### 7.1 Applying each element

- **(1) Class of persons.** Close ties of love and affection are **presumed** for the closest relationships (spouses, parents and their children) — but the presumption is **rebuttable**. For **other** relatives (brothers, in-laws, grandchildren, fiancés) and friends, the closeness must be **proved**. In *Alcock*, the claims of those who lost **brothers, a brother-in-law or a grandson** failed for want of evidence of close ties; the claims of the **Copocs** (parents who lost a son) and **Alexandra Penk** (who lost her fiancé) were placed in the category where ties may be presumed. The **ordinary bystander** is generally denied recovery — though (per Lord Ackner) a bystander might recover if a catastrophically horrific scene would shock a person of reasonable fortitude.
- **(2) Proximity in time and space.** Must be close. Direct and immediate sight/hearing is not required, but it must be the **immediate aftermath**. In *McLoughlin*, two hours and the hospital sufficed; in *Alcock*, identification at the mortuary **some 8 hours** later did not.
- **(3) Means of shock.** Must come through **sight or hearing** of the event or its immediate aftermath. Communication by a third party is not enough. **Simultaneous television broadcast** is generally NOT the equivalent of sight or hearing of the event (per *Alcock*) — although a simultaneous broadcast of a disaster cannot be ruled out entirely in all circumstances (Nolan L.J.).

## 04.08 Settled Propositions of Nervous Shock Liability

- **Recognisable psychiatric illness required:** Mere grief, sorrow, distress or fright is not compensable at common law; a medically recognised psychiatric illness must be proved.
- **Impact limitation abandoned:** Recovery does not depend on physical impact or fear for one's own safety (*Dulieu* limitation rejected in *Hambrook* and *McLoughlin*).
- **Primary vs Secondary victims:** Primary victims within the zone of physical danger recover if physical injury was foreseeable (*Page v. Smith*); secondary victims must satisfy foreseeability in a person of ordinary fortitude (*Bourhill*) plus the three-fold *Alcock* control mechanisms (close tie of love and affection, proximity in time/space or immediate aftermath, and direct unaided perception).
- **Rescuers & property damage:** Bona fide rescuers exposed to horrific scenes may recover (*Chadwick v. British Railways Board*); shock from property damage normally requires egregious vulnerability (*Attia v. British Gas*).

by Ankur R. Upadhyay

JUDICIAL DOSSIERS // 07 CASES **Prescribed Landmark Case Laws — Detailed Analysis**

### 22. Hambrook v. Stokes Bros.

[1925] 1 KB 141 · (1924) All ER Rep 110 (CA)

**FACTS** The defendants owned a motor lorry which their servant left **unattended and with the engine running** in a narrow street in Folkestone (in places only about 6 ft wide). It ran away and shot down the street. There was an admission that the servant was negligent. On the morning of 1 May 1923, Mrs. Hambrook had escorted her children — two boys and a girl, Mabel, aged 10 — to the pavement in Dover Street, where they joined other schoolchildren; they turned a corner a few yards away and passed out of her sight. The derelict lorry came down the street, ricocheting from side to side, and **dashed into the children, seriously injuring Mabel**. The progress of the lorry would be heard by Mrs. Hambrook. After injuring the child it shot round the corner and stopped within 15–20 feet of her. She at once showed signs of great mental disturbance, caused (the jury found) by **apprehension, not of injury to herself, but of injury to her child**. She was pregnant; she had a severe haemorrhage, became worse, and died after complications. Her husband (the plaintiff) claimed damages under the **Fatal Accidents Act** for the loss of his wife, alleging that her death resulted from nervous shock caused by the defendants' negligence. The trial judge directed the jury that unless her death was the result of shock produced by **fear of harm to herself** (as opposed to fear of harm to her child), the plaintiff could not recover. The jury found for the defendants; the plaintiff appealed, contending this was a misdirection.

**ISSUE** Where a defendant negligently threatens or injures A, can B — who suffers nervous shock not from fear for her own safety but from **fear of injury to her child** — recover? In particular, is the limitation in *Dulieu v. White* (that the shock must arise from fear of **immediate personal injury to oneself**) good law?

**ARGUMENTS** **Plaintiff (husband):** His wife's shock was due either to reasonable fear of immediate personal injury to herself or, alternatively, to fear of injury to her **children** — in either case her death resulted from the shock, and the defendants are liable. The judge wrongly told the jury that fear for the child would not do.

**Defendants:** The shock was due to fear of injury to her children, which does not give rise to a cause of action (under *Dulieu*); and, further, the wife's death was due to quite independent causes.

**Bankes LJ** (in the third-party communication context) confined his decision to shock resulting from what the plaintiff's wife **saw or realised by her own unaided senses**, and not from something someone told her; and held it enough that the shock was due to a reasonable fear of immediate personal injury **either to herself or to her children**.

**DECISION** The **Court of Appeal** (Bankes, Atkin and Sargant LJJ) ordered a **new trial**, holding that the judge's direction was a **misdirection**. The *Dulieu* limitation — that the shock must arise from fear of immediate personal injury to oneself — was **disapproved**.

> *Bankes LJ: "Can any real distinction be drawn from the point of view of what the defendant ought to have anticipated, and what, therefore, his duty was, between that case [fear for oneself] and the case of a woman whose fear is for her child, and not for herself? ... Will the law recognise a cause of action in the case of the less deserving mother, and none in the case of the more deserving one? ... I think not."*

> *Atkin LJ: "Personally I see no reason for excluding the bystander in the highway who receives injury in the same way from **apprehension of, or the actual sight of, injury to a third party**. There may well be cases where the sight of suffering will directly and immediately physically shock the most indurate heart; and, if the suffering of another be the result of an act wrongful to the spectator, I do not see why the wrongdoer should escape."*

> *Atkin LJ: "At one time the theory was held that damage at law could not be proved in respect of personal injuries unless there was some injury which was variously called 'bodily' or 'physical' but which necessarily excluded an injury which was only 'mental.' There can be no doubt at the present day that this theory is wrong."*

Atkin LJ also held that the driver's duty was a duty to use **reasonable care to avoid injuring all wayfarers**, and that the breach could be complete **before** the actual impact (when the lorry was left unattended at the top of the hill). He also stressed that the *Dulieu* restriction was a self-imposed one and there was no principle to support it.

⚡ RATIO & PRINCIPLE EVOLVED: The ***Dulieu* limitation is rejected**: a plaintiff may recover for nervous shock from **fear of injury to a near relative** (here a child), not merely from fear of harm to herself — provided the shock came through what she **saw or heard with her own senses**, not from being told by a bystander. The defendant must anticipate injury by shock not only to those actually in the area of physical danger but also to those threatened through the danger to a loved one. The "impact"/"area of risk" theory was thus eroded. (Note: this is a forerunner of the modern **secondary victim** rules; and the case is authority that **shock communicated by a third party** is not compensable.)

### 23. (Hay or) Bourhill v. Young

[1943] AC 92 · (1942) 2 All ER 396 (HL)

**FACTS** The defender was the executor of **John Young**, who rode a motor-cycle too fast along an Edinburgh road, overtook a stationary tram-car on the inside, and collided with an oncoming motor-car turning right across his path just in front of the tram-car. At the time, **Mrs. Euphemia Bourhill**, a **fish-wife eight months pregnant**, was standing at the offside of the tram-car; she could not see the crash (the tram-car was in the way), but she **heard it** and later said: "I just got a pack of nerves, and I did not know whether I was going to get it or not." She subsequently **saw the blood left on the road** after Young's corpse had been removed. She wrenched and injured her back, was thrown into a state of terror, and sustained a severe shock to her nervous system. Her terror did **not** involve any element of reasonable fear of immediate bodily injury to herself. She was about eight months pregnant and gave birth to a **still-born child** owing to the injuries she sustained.

**ISSUE** Did John Young owe a **duty of care** to Mrs. Bourhill such that his representatives could be liable for the shock she suffered? In particular, was injury by shock to her **reasonably foreseeable** by a motor-cyclist in his position?

**ARGUMENTS** **Pursuer (Mrs. Bourhill):** She suffered serious shock, injury and the loss of her child as an immediate result of the violent collision which occurred in her vicinity. Therefore Young, whose negligent driving caused it, must be accountable.

**Defender (Young's executor):** He was guilty of negligence only in relation to those to whom injury could reasonably be anticipated — i.e., the occupants of the motor-car he struck, or persons in the path of his cycle. Mrs. Bourhill was on the **other side of the tram-car**, could not see the accident, and expressly admitted her terror did not involve any fear of injury to herself. She was not within the area of potential danger he should reasonably have had in view.

**DECISION** The **House of Lords** (Lord Macmillan, Lord Thankerton, Lord Wright, Lord Porter; Lord Russell dissented) **rejected** the pursuer's claim. John Young owed her **no duty of care** because injury to her by shock was **not reasonably foreseeable**; she was outside the area of risk.

> *"She can recover damages only if she can show that in relation to her the late John Young acted negligently. To establish this she must show that he owed her a duty of care which he failed to observe, and that, as a result of this failure in duty on his part, she suffered as she did." — Lord Macmillan*

> *"The duty to take care is the duty to avoid doing or omitting to do anything the doing or omitting to do which may have as its reasonable and probable consequence injury to others, and the duty is owed to those to whom injury may reasonably and probably be anticipated if the duty is not observed." — Lord Macmillan*

> *"The appellant was not within his line of vision, for she was on the other side of a tram-car ... The appellant did not see the accident and she expressly admits that her 'terror did not involve any element of reasonable fear of immediate bodily injury to herself.' She was not so placed that there was any reasonable likelihood of her being affected by the cyclist's careless driving. In these circumstances ... the late John Young was under no duty to the appellant ... for such a result could not reasonably and probably be anticipated. He was, therefore, not guilty of negligence in a question with the appellant." — Lord Macmillan*

Lord Macmillan also affirmed the modern principle that the "crude view that the law should take cognizance only of physical injury resulting from actual impact has been discarded," and that an action will lie for injury by shock sustained through the medium of the eye or the ear **without direct contact**. But foreseeability is essential. **Lord Porter** added the "fortitude" point: a driver is entitled to assume that the ordinary frequenter of the streets has sufficient fortitude to endure the noise of a collision and the sight of injury to others, and is not negligent towards one who does not possess the **customary phlegm**.

> ⚡ **RATIO & PRINCIPLE EVOLVED:** For liability in nervous shock, the plaintiff must show that **injury by shock to him was reasonably foreseeable** and that the defendant **owed him a duty of care**. The defendant is not liable to a person wholly outside the **area of reasonable anticipation** of his negligence. This is the first case on nervous shock to reach the House of Lords and establishes **reasonable foreseeability** as the test of duty; but it also confirms the doctrine that a person **of ordinary fortitude** is presumed — the defendant is not liable to one of abnormal susceptibility or to a mere bystander who is unaffected in mind by the event. It also confirms that shock through **sight or hearing without direct contact** is actionable in principle.

### 24. McLoughlin v. O'Brian

(1983) 1 AC 410 (HL)

**FACTS** On 19 October 1973, near Withersfield, Suffolk, the appellant's husband (Thomas McLoughlin) and three of her children (George, 17; Kathleen, 7; Gillian, nearly 3) were in a Ford car driven by George; it collided with a lorry, and that lorry had earlier been in collision with another — the accident being admittedly caused by the respondents' negligence. The husband suffered bruising and shock; George suffered severe head and facial injuries, concussion and fractures; Kathleen suffered concussion and fractures; **Gillian was so seriously injured that she died almost**

**immediately**. The appellant was at her home **about two miles away**. About an hour afterwards the accident was reported to her by Mr. Pilgrim, who took her to **Addenbrooke's Hospital, Cambridge**. There she saw her son Michael (who was not in the accident), who told her Gillian was dead. She saw Kathleen through a window, crying, face cut and begrimed with dirt and oil; she heard George shouting and screaming; she was taken to her husband, sitting with his head in his hands, his shirt hanging off, covered in mud and oil, and he sobbed on seeing her; she was taken to see George, whose left face and side were covered, and who lapsed into unconsciousness; finally she saw Kathleen, who had been cleaned up and was too upset to speak. The trial judge assumed she suffered **severe shock, organic depression and a change of personality** caused or contributed to by shock (as distinct from grief or sorrow), and that she was a person of **reasonable fortitude**. Boreham J. gave judgment for the respondents, holding the possibility of injury to her by nervous shock was not reasonably foreseeable. The Court of Appeal upheld the result (Stephenson LJ on policy; Griffiths LJ holding no duty; Cumming-Bruce LJ agreeing).

**ISSUE** Can a person **not present at the scene** of an accident to her family, but who **comes upon the immediate aftermath** (at a hospital, about an hour or two later) and suffers nervous shock, recover damages against the tortfeasor?

**ARGUMENTS** **Appellant (mother):** Injury by nervous shock to her was reasonably foreseeable; she came upon the **immediate aftermath** of the accident, which the law treats as equivalent to witnessing it; denial would draw an arbitrary line that offends justice.

**Respondents:** She was not present at the scene; the shock resulted from what she was **told** and from seeing the victims later, not from witnessing the accident itself. The duty of a driver is limited to persons in close proximity; to extend liability would open the floodgates, impose disproportionate burdens on defendants/insurers, increase evidentiary difficulty, and is a matter for the legislature.

**DECISION** The **House of Lords** (Lord Wilberforce, Lord Edmund-Davies, Lord Russell, Lord Bridge; Lord Scarman agreeing with Lord Bridge) **reversed** the Court of Appeal and **allowed** the mother's appeal. She was entitled to recover.

> *"I find ... that there is a real need for the law to place some limitation upon the extent of admissible claims. It is necessary to consider three elements inherent in any claim: **the class of persons whose claims should be recognised; the proximity of such persons to the accident; and the means by which the shock is caused.**" — Lord Wilberforce*

> *"Experience has shown that to insist on direct and immediate sight or hearing would be impractical and unjust and that under what may be called the 'aftermath' doctrine one who, from close proximity, comes very soon upon the scene should not be excluded." — Lord Wilberforce*

> *"She was not present at the accident, but she came very soon after upon its aftermath ... if, from a distance of some 100 yards (cf. Benson v. Lee) she had found her family by the roadside, she would have come within principle [of the aftermath]. Can it make any difference that she comes upon them in an ambulance or, as here, in a nearby hospital, when ... they were in the same condition, covered with oil and mud, and distraught with pain?" — Lord Wilberforce*

On the policy arguments, Lord Wilberforce held that while fears of fraudulent claims, disproportionate burdens, evidentiary difficulty and the need for legislation all had some force, "proof of the floodgates" was exaggerated and "the scarcity of cases which have occurred in the past, and the modest sums recovered, give some indication that fears of a flood of litigation may be exaggerated." He nevertheless accepted that **limitation is needed**, through the three elements. **Lord Bridge** rested liability squarely on **reasonable foreseeability** of psychiatric illness; **Lord Edmund-Davies** agreed with the result, though he expressed concern that policy might warrant limiting liability to parents and children, and noted the whole area "stands in urgent need of review." It was also held that the shock must come through **sight or hearing** of the event or its immediate aftermath, and that **communication by a third party** is not compensated.

⚡ **RATIO & PRINCIPLE EVOLVED:** The **immediate aftermath doctrine** was recognised: a plaintiff who (from close proximity, and very soon after) comes upon the scene of an accident — including the **hospital** to which the victims were taken (and, per *Jaensch v. Coffey*, so long as they remain in the state produced by the accident) — may recover for nervous shock. The **three elements** (class of persons, proximity in time and space, means of shock) were identified as the control upon foreseeability. Foreseeability alone does not automatically create a duty of care — **policy and proximity** limit it. The distinction between **grief and sorrow** (not compensable) and a **recognised psychiatric illness** (compensable) was affirmed. This case is the bridge from the narrow, accident-based cases to the modern **primary/secondary victim** framework.

### 25. Alcock v. Chief Constable of the South Yorkshire Police

(1991) 4 All ER 907 · [1992] 1 AC 310 (HL)

**FACTS** On **15 April 1989**, at the **Hillsborough Stadium**, Sheffield, a football semi-final between Liverpool and Nottingham Forest was arranged. The South Yorkshire police, responsible for crowd control, allowed an excessively

large number of spectators to enter at the **Leppings Lane** end. They crammed into pens 3 and 4 below the West Stand, and in the resulting crush **95 people were killed and over 400 injured**. Scenes were broadcast live on television from time to time, and recordings were shown later. The Chief Constable admitted negligence in respect of the deaths and physical injuries. **Sixteen separate actions** were brought by persons **none of whom was present in the area where the disaster occurred** (although four were elsewhere in the ground), all connected in various ways to victims — a fiancé in one case, and relatives (brothers, a brother-in-law, a grandson, a son) in the others; in most cases the person concerned was killed. All claimed damages for nervous shock (psychiatric illness). Hidden J. found for 10 of 16; the Court of Appeal allowed the defendant's appeals in 9 cases and rejected the 6 unsuccessful ones; 10 plaintiffs appealed to the House of Lords.

ISSUES (1) What is the proper test of liability for nervous shock in the case of a **secondary victim** (one not in the area of physical danger)? (2) Does liability depend on reasonable foreseeability alone, or are there additional requirements of **proximity** (class of persons, proximity in time & space, means of shock)? (3) Do the **television broadcasts** and the **late identification in a mortuary** satisfy the requirements?

ARGUMENTS **Plaintiffs:** Reasonable foreseeability of the risk of psychiatric injury is all that is required (relying on Lord Bridge in *McLoughlin* and Brennan J. in *Jaensch v. Coffey*); the three elements are merely part of the factual inquiry into foreseeability. They saw horrifying scenes at the ground or on live television, or identified bodies later, and suffered psychiatric illness. They also relied on the "rescuer"/bystander dictum of Atkin LJ in *Hambrook*.

**Defendant (Chief Constable):** Foreseeability does not itself create a duty; the three elements operate as **controls/limitations** introducing the requirement of **proximity** (relying on Lord Wilberforce and Lord Edmund-Davies in *McLoughlin*, and Gibbs CJ and Deane J. in *Jaensch v. Coffey*). He was not an insurer against the psychiatric illness of relatives/friends; the television broadcasts showed no recognisable victims (as required by the broadcasting code, which he knew); identification at the mortuary about 8 hours later was not the *immediate* aftermath; and the ordinary bystander is not to be compensated.

DECISION The **House of Lords** (Lord Keith, Lord Ackner, Lord Jauncey, with whom Lord Oliver and Lord Lowry agreed) **dismissed all the appeals**. None of the plaintiffs recovered. The CLUB of liability was closed around the **three-element proximity test**.

> *"Injury by psychiatric illness is more subtle … In the present type of case it is a **secondary sort of injury** brought about by the infliction of physical injury, or the risk of physical injury, upon another person. … So I am of the opinion that **in addition to reasonable foreseeability** liability for injury in the particular form of psychiatric illness must depend in addition upon a **requisite relationship of proximity** between the claimant and the party said to owe the duty." — Lord Keith*

> *"The three elements are (1) the **class of persons** whose claims should be recognised; (2) the **proximity of such persons to the accident** — in time and space; (3) the **means by which the shock has been caused**." — Lord Keith (adopting Lord Wilberforce)*

> *"The kinds of relationship which may involve close ties of love and affection are numerous … they may be present in family relationships or those of close friendship. … The closeness of the tie would, however, require to be **proved** by a plaintiff, though no doubt being capable of being **presumed** in appropriate cases." — Lord Keith*

> *(On television) "The viewing of these scenes cannot be equiparated with the viewer being within 'sight or hearing of the event or of its immediate aftermath' … nor can the scenes reasonably be regarded as giving rise to shock, in the sense of a sudden assault on the nervous system. They were capable of giving rise to anxiety for the safety of relatives … but that is very different from seeing the fate of the relative or his condition shortly after the event. The viewing of the television scenes did not create the necessary degree of proximity." — Lord Keith*

> *(On the mortuary identification — Mr. Alcock) "Even if this identification could be described as part of the 'aftermath', it could not in my judgment be described as part of the **immediate** aftermath. … Mrs. McLoughlin had arrived at the hospital within an hour or so after the accident. Accordingly in the post-accident identification cases before your Lordships there was not sufficient proximity in time and space to the accident." — Lord Keith*

On the class of persons, Lord Keith noted that close ties are **presumed** for parent–child and husband–wife (and, in effect, for a fiancé such as Alexandra Penk), but must be **proved** for brothers, a brother-in-law, a grandson — and there was no evidence of particularly close ties in those cases. **Lord Ackner** set out the five propositions confirming that reasonable foreseeability simpliciter is not the operative test, and stressed that "shock" requires the **sudden appreciation by sight or sound** of a horrifying event. The claims of the **Copocs** and **Alexandra Penk** (parents who lost a son, and a fiancée) would have satisfied the class element (ties presumed) and they watched the TV, but the **television broadcasts** did not provide the required proximity — so they too failed.

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⚡ RATIO & PRINCIPLE EVOLVED: This is the leading modern authority. For a **secondary victim**, liability for nervous shock requires **more than reasonable foreseeability** — the claimant must satisfy a **three-element proximity test**: (1) a **close relationship of love and affection** with the primary victim (presumed for spouse/parent/child, rebuttably; otherwise must be proved); (2) **proximity in time and space** to the accident (which includes the **immediate aftermath**, but not a later identification); and (3) the shock must be caused by **sight or hearing of the event or its immediate aftermath** — a **simultaneous television broadcast**, and a communication by a third party, generally do not satisfy this. The distinction between **primary and secondary victims** was crystallised; a **primary victim** (in the area of physical danger) need only show foreseeability of physical injury. The ordinary **bystander** is ordinarily excluded, though not absolutely.

## 26. Page v. Smith

(1995) 2 All ER 736 (HL)

FACTS The plaintiff, Mr. Page, was driving his car. The defendant negligently drove into the course of his car, causing a collision. Mr. Page was **not physically injured** in the collision and, indeed, had no recollection of it. Some time later he was found to be suffering from **chronic fatigue syndrome (myalgic encephalomyelitis / ME)**, a psychiatric illness, which he alleged was a result of the shock of the accident. The question was whether he, as a person who was **within the area of physical risk** created by the defendant's negligent driving, could recover damages for the psychiatric illness even though he had suffered **no physical injury**.

ISSUE Where a defendant's negligence exposes the plaintiff (a **primary victim**) to a risk of **physical injury** but the plaintiff in fact sustains only **psychiatric illness**, can he recover? Does the plaintiff need to show that **psychiatric** injury was reasonably foreseeable, or only that **physical** injury was?

ARGUMENTS **Plaintiff:** He was a participant in the accident and within the area of physical danger. The distinction between physical and psychiatric injury in the law of negligence should be abandoned; it is enough that physical injury was foreseeable. He should recover for the psychiatric illness.

**Defendant:** The plaintiff must show that **psychiatric** illness was a reasonably foreseeable consequence, and on the facts it was not foreseeable that a person in Mr. Page's position would suffer such an illness; the two types of harm are distinct and the plaintiff cannot claim for the latter without showing foreseeability of it.

DECISION The **House of Lords** (Lord Lloyd of Berwick giving the leading speech) **allowed** the plaintiff's claim and held that he could recover. **Lord Lloyd** said the distinction between physical and psychiatric injury in the law of negligence had been **abolished**: the law draws no general distinction between them. Where the defendant's negligence **exposes the plaintiff to a risk of physical injury**, the plaintiff is a **primary victim**; and for a primary victim it is sufficient that injury of some kind — **physical injury** — is reasonably foreseeable. Once that is shown, the defendant is liable for the psychiatric illness which in fact results, whether or not psychiatric injury was itself foreseeable. Mr. Page, as a participant in the accident who was physically at risk, was a primary victim, and so recovered.

The rationale: it is unjust to make recovery for psychiatric illness depend on a fortuitous distinction — whether the foreseeability is classified as physical or psychiatric. What matters is whether the plaintiff was **within the range of foreseeable physical injury**; if so, he is a primary victim and can recover for the psychiatric consequences.

⚡ RATIO & PRINCIPLE EVOLVED: The **primary/secondary victim** distinction is decisive. A **primary victim** is a person who was **within the area of physical danger** (i.e., exposed to a risk of physical injury) created by the defendant's negligence. For a primary victim, the defendant's duty is to take reasonable care; it is enough that **physical injury** was reasonably foreseeable — the defendant is then liable for the **psychiatric illness** that in fact results, even though no physical injury occurs and even though psychiatric illness was not itself foreseeable. The old distinction between physical and psychiatric injury, so far as it affected the foreseeability test, was **abolished**. This is in contrast to a **secondary victim**, who must satisfy the further **proximity requirements** (close relationship, proximity in time and space, and shock through sight/hearing of the event or its immediate aftermath).

## 27. Dulieu v. White & Sons

(1901) 2 KB 669 (Divisional Court)

FACTS The defendant's servant negligently drove a horse-drawn van into a public house. The plaintiff, a **pregnant woman**, was standing behind the bar. She was **not physically injured**, but the shock of the van crashing into the house caused her to suffer nervous shock and become seriously ill, with the result that she gave **premature birth to a still-born child**. She sued the defendants for damages. The defendants contended the statement of claim disclosed no cause of action (since the shock did not arise from physical impact on her). The Divisional Court refused to follow the earlier Privy Council decision in *Victorian Railway Comrs. v. Coultas*.

ISSUE Is an action for **nervous shock** resulting in physical injury maintainable where the plaintiff was not herself physically struck but was alarmed by a danger created by the defendant's negligence?

ARGUMENTS **Plaintiff:** She suffered physical injury (a miscarriage/still-birth) and illness as the result of shock caused by the defendant's negligence; this should be actionable despite the absence of direct physical impact, because the threat was to her own safety.

**Defendants:** Under the then-current law, damages could be recovered only for physical injury resulting from actual impact; mere fright or mental shock without contact was too remote and gave no cause of action.

DECISION The Divisional Court (Kennedy J. and Phillimore J.) held for the plaintiff: an action for nervous shock resulting in physical injury was **recognised**. However, **Kennedy J.** imposed a **great limitation**:

> *"It is not … to be taken that in my view every nervous shock occasioned by negligence and producing physical injury to the sufferer gives a cause of action. There is, I am inclined to think, at least one limitation.* ***The shock, where it operates through the mind, must be shock which arises from a reasonable fear of immediate injury to oneself.*** *A has, I conceive, no legal duty not to shock B's nerves by the exhibition of negligence towards C, or towards the property of B or C."*

Thus recovery was allowed, but confined to cases where the plaintiff's shock arose from **fear of injury to herself**, not from fear for another or for property. The defendant could not be liable for shocking a person who was not herself endangered.

⚡ RATIO & PRINCIPLE EVOLVED: Nervous shock caused by negligence and producing physical injury is **actionable in principle** — the crude "impact rule" is abandoned, and injury through the medium of the mind (fear) is recognised. But **Kennedy J.'s limitation** confined the action to shock arising from a **reasonable fear of immediate personal injury to oneself**. This restriction was later **disapproved** in *Hambrook* and abandoned in *McLoughlin* (Lord Wilberforce said it "has not gained acceptance"). *Dulieu* is thus the starting point of modern nervous-shock liability but is significant today chiefly for the limitation it imposed, and for the proposition that shock from **damage to property** or from danger to a **third party** was not then compensable.

### 28. King v. Phillips

(1953) 1 QB 429 (CA)

FACTS The defendant's servant was negligently backing a taxicab into a boy on a tricycle. The boy's mother, who was at an **upstairs window of a house about 70–80 yards away**, could see only the tricycle under the taxicab and heard the boy scream, but could not see the boy. The boy and the tricycle were only slightly damaged, but the mother suffered serious nervous shock as a result. She claimed damages.

ISSUE Was the mother within the **area of reasonable apprehension** (the area of risk) such that the defendant owed her a duty of care, or was she wholly outside it?

ARGUMENTS **Plaintiff (mother):** She was a close relative of the child (whose injury was foreseeable) and suffered serious nervous shock as a result of the negligent act; she should recover on the *Hambrook* principle (shock from fear of injury to one's child).

**Defendant:** She was 70–80 yards away, in a room, and could not see the boy or the accident clearly; she was **outside the area of reasonable apprehension** — the shock was too remote, and the defendant's duty was confined to persons within the area where physical injury to the child was apprehended.

DECISION The **Court of Appeal** held for the defendants: the mother was held to be **wholly outside the area of reasonable apprehension**, and the defendants were **not liable**. The facts were distinguished from *Hambrook*, where the mother was in close proximity to the threatened child and the shock arose from what she saw and heard with her own senses. Here the mother was at a distance of 70–80 yards, could not see the boy, and was not so placed that injury by shock to her was reasonably foreseeable. Per **Denning LJ**: "there can be no doubt since *Bourhill v. Young* that the test of liability is foreseeability of injury by shock."

⚡ RATIO & PRINCIPLE EVOLVED: The test of liability for nervous shock is **reasonable foreseeability of injury by shock**, and the plaintiff must be **within the area of reasonable apprehension**. Where a plaintiff is at a substantial distance and cannot actually perceive the injury to the victim, she is **outside the area of risk** and cannot recover. The DU notes observe that the facts here are not very different from *Hambrook* (where a mother recovered for fear of injury to her children), and that *King v. Phillips* appears to require reconsideration. It is authority for the requirement of **proximity / area of risk** and for limiting recovery to those in close enough spatial relation to the accident.

## PYQ BANK // MODULE 04 Previous Year Examination Questions

Q.01 [CLASSIC DU LONG QUESTION · 20 MARKS] Explain the meaning of "nervous shock" and trace its historical development. How has the "impact theory" been superseded?

◈ Refer website for detailed notes — makelaweasy.in

**Q.02** [CLASSIC DU LONG QUESTION · 20 MARKS] What is the "immediate aftermath" test? Explain with reference to *McLoughlin v. O'Brian* and *Alcock v. Chief Constable of South Yorkshire Police*.

**Q.03** [CLASSIC DU LONG QUESTION · 20 MARKS] Distinguish between a "primary victim" and a "secondary victim" of nervous shock. Explain the requirements for a secondary victim to recover, with reference to *Alcock* and *Page v. Smith*.

**Q.04** [CLASSIC DU LONG QUESTION · 20 MARKS] Explain the "foreseeability of psychiatric illness" as the test of liability for nervous shock. Is reasonable foreseeability alone sufficient? Refer to *Bourhill v. Young* and *Alcock*.

**Q.05** [CLASSIC DU SHORT/MEDIUM QUESTION · 10-20 MARKS] Explain the "impact theory" of nervous shock, both from personal injury and from property damage, and state to what extent it applies today.

**Q.06** [CLASSIC DU LONG QUESTION · 20 MARKS] Discuss the liability for nervous shock with reference to *Hambrook v. Stokes Bros* and *(Hay or) Bourhill v. Young*. Is the "bystander" entitled to claim?

MOD-05 // CAUSAL ATTRIBUTION PART A · LAW OF TORTS 04 CASE LAWS · 06 PYQs

# Module 05 — Causation & Remoteness of Damage

**Scope:** (a) Causation — but-for test, concurrent causes, consecutive causes, proof of causation · (b) Novus actus interveniens · (c) Tests of Remoteness of Damage — natural & proximate consequence, directness and foreseeability · (d) Eggshell Skull Rule

## 05.01 What is Remoteness of Damage?

*The "too remote" limitation on the right to recover.*

Even where a defendant has been **negligent** (i.e., owed the plaintiff a duty of care and breached it), he is not liable for **all** the consequences of his breach. The law limits recovery to damage which is **not too remote** a consequence of the negligence. **Remoteness of damage** is the doctrine that a tortfeasor is liable only for such consequences of his wrongful act as are **not too remote**, and it is a question of **law** (for the judge), not of fact.

The concept of remoteness is closely linked to, but distinct from, **causation**. Causation is about whether the breach **in fact caused** the damage; remoteness is about whether the damage was the **right kind** of consequence to make the defendant responsible. As observed in *The Wagon Mound*, "There can be no liability until the damage has been done. It is not the act but the consequences on which tortious liability is founded. Just as there is no such thing as negligence in the air, so there is no such thing as liability in the air."

Three questions arise in sequence in a negligence action:

## 05.02 Causation — The First Requirement

The plaintiff must establish a **causal link** between the defendant's breach of duty and the damage. This is the question of **causation in fact**, addressed by the **but-for test**. But causation is not confined to the but-for test; the law also deals with **concurrent** and **consecutive** causes, and requires the defendant's breach to be a **substantial / real** cause, not merely a backdrop.

Lord Reid in *Dorset Yacht Co. v. Home Office* (1970) drew a vital distinction for the entire doctrine:

> *"There is an **obvious difference** between a case where all the links between the carelessness and the damage are inanimate so that, looking back after the event, it can be seen that the damage was in fact the inevitable result of the careless act or omission, and a case where **one of the links is some human action**. In the former case, the damage was in fact caused by the careless conduct, however unforeseeable it might have been at the time that anything like that would happen. ... On the other hand, if human action (other than an instinctive reaction) is one of the links in the chain, it cannot be said that, looking back, the damage was the inevitable result of the careless conduct."* — ***Lord Reid***

The **convenient phrase** *novus actus interveniens* denotes those cases where such human action is regarded as **breaking the chain** and preventing the damage from being held to have been caused by the careless conduct (see §3). But not every human intervention breaks the chain.

### 2.1 The But-For Test

The **but-for test** (the "sine qua non" test) asks: **would the damage have occurred but for the defendant's breach?** If the answer is **no** (the damage would not have happened but for the breach), the breach is a cause in fact. If the damage would have occurred **anyway** (even without the breach), the breach is not a cause. This is the basic, and in most cases sufficient, test of causation in fact.

- It is a **necessary**, not always sufficient, condition: a breach may satisfy the but-for test and yet be too remote, or a *novus actus* may intervene.
- Where there is **evidence** that the damage would have happened regardless (e.g., the natural progress of an illness), the but-for test fails and the defendant is not liable for that portion.
- **Proof of causation** is on the plaintiff on the balance of probabilities; where the defendant has raised the possibility of the damage occurring anyway, the plaintiff must show the breach materially contributed.

### 2.2 Concurrent Causes

**Concurrent causes** are two or more **independent** causes that operate **at the same time** to produce a single result. Each is a cause if the damage would not have occurred without it (the but-for test is satisfied as to each independently). Two situations arise:

- **Two independent tortious acts combine** to cause a single indivisible injury. Each wrongdoer may be liable (joint and several liability of **joint tort-feasors** — cf. *Khenyei*, Topic 3). This is the situation of **composite negligence**.
- **An independent cause also operates**, e.g., the defendant's negligence and a **supervening** event both contribute. In such cases the court apportions or determines the dominant cause.

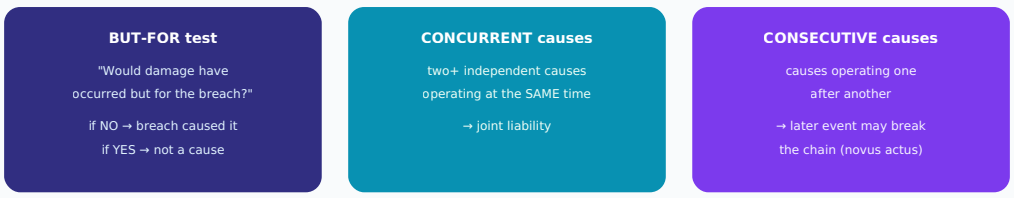
### 2.3 Consecutive Causes

**Consecutive causes** operate **one after the other** (in sequence), each adding to or altering the damage. The law must determine whether the later cause is an **independent intervening cause** (breaking the chain) or merely a **development** of the risk created by the defendant. For example, if the defendant injures the plaintiff and the plaintiff later suffers further injury in a **spontaneous, unforeseeable** event, that later event may be a supervening cause; but if the later injury is a **foreseeable consequence** of the first (e.g., complications, or an injury during reasonable medical treatment), the defendant remains liable for the whole.

> **Distinction: Concurrent** causes operate **simultaneously** to produce one result; **consecutive** causes operate **successively**, each producing (or adding to) damage. Concurrent causes = joint liability; consecutive causes = the later event may sever liability.

### 2.4 Proof of Causation

Causation is a question of fact, to be proved by the plaintiff on the **balance of probabilities**. It must be proved as a **real and effective** cause — the breach must be a **substantial factor** in producing the damage, not merely a trivial or background condition. Where the precise cause is within the defendant's knowledge, the difficulty of proof may be alleviated (cf. *res ipsa loquitur*), but the burden of establishing the causal link remains on the plaintiff.




The but-for test and the treatment of concurrent/consecutive causes.

## 05.03 Novus Actus Interveniens

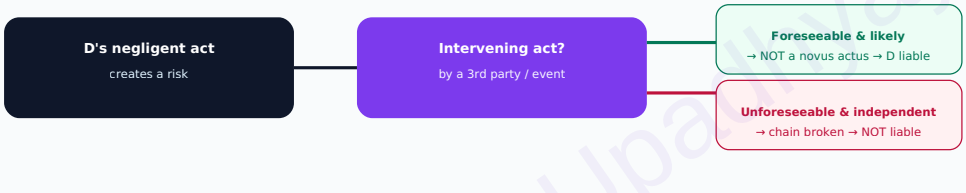
*the "new intervening act" that breaks the chain.*

A *novus actus interveniens* (or *nova causa*) is a **new, independent intervening act** — human action (or sometimes a supervening event) — which **breaks the chain of causation** between the defendant's negligence and the damage, so that the defendant is not liable. It is an act of a **third party** (not the defendant, and not the plaintiff's instinctive reaction) which is **not foreseeable** and which supersedes the defendant's negligence.

> *"If what is relied upon as novus actus interveniens is **the very kind of thing which is likely to happen** if the want of care which is alleged takes place, the principle embodied in the maxim **is no defence**. The whole question is whether or not ... the accident can be said to be the 'natural and probable result' of the breach of duty. If it is the very thing which ought to be anticipated ... it is no defence; it is only a step in the way of proving that the damage is the result of the wrongful act." — **Greer LJ**, Haynes v. Harwood (approved in Dorset Yacht Co.)*

**Key rules:**

- It is **not** true that any intervening act of a third person automatically breaks the chain. As Greer LJ put it (in *Haynes*, citing *Lynch v. Nurdin*): "the law having been accepted since 1841 ... it is sufficient by itself to decide the question that there is **no absolute rule that an intervening act of some third person who is not the defendant is in itself enough to break the chain of causation**."
- The test is whether the intervening act was **reasonably foreseeable**. If the intervening act is **the very kind of thing** that the defendant ought to have anticipated (e.g., mischievous children setting a cart in motion, a rescuer coming to help), it is **not** a novus actus — the defendant is still liable.
- A **rescue** undertaken in response to the danger the defendant created is **not** a novus actus — the wrongdoer is liable to the rescuer (*Haynes v. Harwood*; *Chadwick v. British Railways Board*). As **Cardozo J.** said (quoted in *Alcock*): "Danger invites rescue. The cry of distress is the summons to relief. ... The wrong that imperils life is a wrong to the imperilled victim; **it is a wrong also to his rescuer**."
- Where the intervening act is **unforeseeable** and **independent** (e.g., a deliberate, unforeseeable act of a third party, or a wholly independent natural event), it may break the chain and the defendant escapes liability.




When an intervening act does or does not break the chain of causation.

## 05.04 Tests of Remoteness of Damage

*three competing formulations.*

Three tests have been advanced to determine whether the damage is recoverable or too remote: the **natural and proximate consequence** test, the **directness** test, and the **foreseeability** test. The two great authorities (*Re Polemis* and *The Wagon Mound*) represent the directness test and the foreseeability test respectively.

### 4.1 The Directness Test (Re Polemis)

Under this test, once the defendant's act is **negligent**, he is liable for **all** damage that is the **direct** consequence of the act, **whether or not it was reasonably foreseeable**. This was laid down in *Re Polemis* (1921):

> *"Given the breach of duty which constitutes the negligence, and given the damage as a direct result of that negligence, the anticipation of the person whose negligent act has produced the damage appear to me to be irrelevante." — **Bankes LJ***
>
> *"The presence or absence of reasonable anticipation of damage determines the legal quality of the act as negligent or innocent. If it be thus determined to be negligent, then the question whether particular damages are recoverable depends only on the answer to the question whether they are the **direct consequence** of the act." — **Warrington LJ***

Under this test, in *Re Polemis*, the defendants were liable for the destruction of a ship by fire, even though the fire was not foreseeable, because the fire was the **direct** physical consequence of the negligent dropping of a plank.

### 4.2 The Foreseeability Test (The Wagon Mound)

Under this test, the defendant is liable only for damage of a **kind that was reasonably foreseeable**. Foreseeability replaces directness. It was laid down by the Judicial Committee of the Privy Council in *Overseas Tankship (U.K.) Ltd. v. Morts Dock & Engineering Co.* (*The Wagon Mound*, 1961), which **overruled** *Re Polemis*.

by Ankur R. Upadhyay

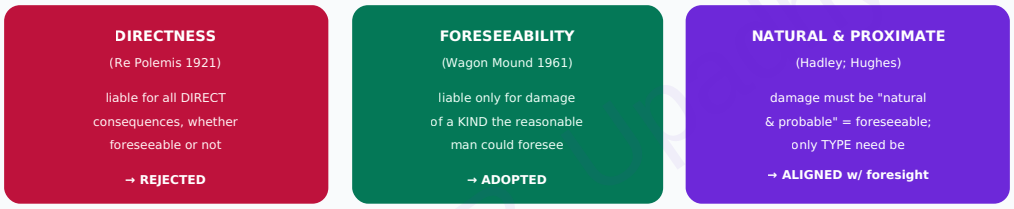
> *"For it does not seem consonant with current ideas of justice or morality that for an act of negligence, however slight or venial, which results in some trivial foreseeable damage the actor should be liable for* ***all consequences however unforeseeable and however grave****, so long as they can be said to be 'direct.' It is a principle of civil liability ... that a man must be considered to be responsible for the* ***probable consequences*** *of his act."*
> — ***Viscount Simonds***

> *"The essential factor in determining liability is whether the damage is of such a kind as the* ***reasonable man should have foreseen****. ... It is a departure from this sovereign principle if liability is made to depend solely on the damage being the 'direct' or 'natural' consequence of the precedent act."* — ***Viscount Simonds***
> *"Thus* ***foreseeability becomes the effective test.****"*

### 4.3 Natural and Proximate Consequence

The test that damage must be the **natural and probable (proximate) consequence** of the negligence is a way of expressing that the damage must be one that **could reasonably have been anticipated** — i.e., it is largely equivalent to the foreseeability test. It finds expression in *Hadley v. Baxendale* (in contract) and, in tort, in the rule that the defendant is liable for consequences that are the "natural and probable result" of his breach (Greer LJ in *Haynes v. Harwood*). Scrutton LJ in *Re Polemis* was, however, critical of the phrase, saying that one cannot tell whether "natural" and "probable" mean the same thing; if they differ, the phrase is unhelpful.

In *Hughes v. Lord Advocate*, the House of Lords held that where the damage is of a **type** that was foreseeable, the defendant is liable even though the **manner** of its occurrence (an explosion rather than a conflagration) was not — the damage was "only a variant of the foreseeable."




The three tests; directness has been superseded by foreseeability.

### 4.4 Which test applies today?

The **foreseeability test** is the governing test (per *The Wagon Mound*). The old *Re Polemis* directness rule has been overruled. However, the law has been refined:

- **Kind vs. manner:** The defendant is not liable for a different **type/kind** of damage than was foreseeable; but he is liable where the **same kind** of damage occurs in an unexpected **manner**. (*Hughes v. Lord Advocate*: burning occurred by explosion rather than conflagration — still within the foreseeable risk; but *Doughty v. Turner Manufacturing* — a foreseeable fire is different from an unforeseeable explosion/submersion — held too remote.)
- **Degree vs. kind:** Forseeability is of the **type** of damage, not its **extent**. Once the type is foreseeable, the defendant is liable for the full extent, even if (absent the eggshell rule) the extent was greater than expected.
- **Foreseeability of the tort as a whole:** Viscount Simonds stressed that "there is no such thing as liability in the air"; the liability is for the specific damage, and if it is unforeseeable, liability cannot be restored merely because some other (foreseeable) damage also occurred.

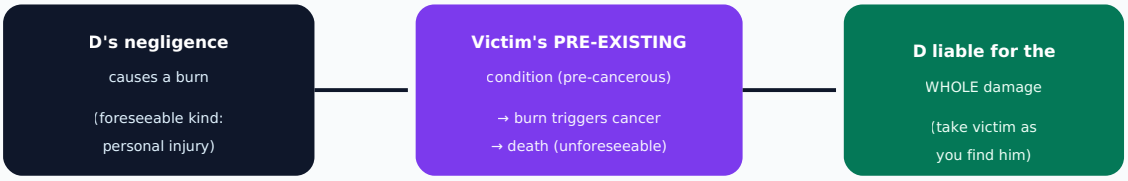
## 05.05 The Eggshell Skull Rule

*"take your victim as you find him."*

The **eggshell skull rule** (also called the **thin skull** rule) provides that a tortfeasor takes his **victim as he finds him**. If the defendant's negligence causes **any** injury to the victim, the defendant is liable for the **full consequences** of that injury, even if the victim had an **unusual susceptibility** or **pre-existing condition** (e.g., a thin skull, a heart condition, a pre-cancerous condition) that made the consequences **far more severe** than they would have been in a normal person. The defendant cannot escape or reduce liability by arguing that the degree of harm was greater than foreseeable because of the victim's peculiar vulnerability.

> *"The eggshell skull rule and* ***taking the victim as you find them*** *has always been the established law and this was not affected by the ruling in the Wagon Mound case."* — ***Lord Parker****, Smith v. Leech Brain & Co.*

**How it interacts with *Wagon Mound*:** Foreseeability concerns the **kind** of damage (e.g., a burn), not its **magnitude**. If a burn is foreseeable, the defendant is liable for **all** the damage flowing from that burn, including death from cancer, even though the cancer (and death) were not foreseeable and resulted from the victim's pre-existing latent condition. The rule does **not** create liability for a **different kind** of harm; it amplifies liability for the **same kind of harm** where the victim is unusually vulnerable.




The eggshell skull rule: the victim's vulnerability does not reduce the defendant's liability.

## JUDICIAL DOSSIERS // 04 CASES Prescribed Landmark Case Laws — Detailed Analysis

### 29. In Re An Arbitration between Polemis & Furness, Withy & Co. (1921) 3 KB 560 · (1921) All ER Rep 40 (CA)

**FACTS** The dispute arose between the **charterers** and the **owners** of a ship that was **destroyed** while under charter. At Casablanca, the charterers had employed **Arab stevedores** to unload the cargo. One of them **dropped a heavy plank into the hold**, which was **full of petrol vapour**. On impact the plank caused a **spark**; the spark ignited the vapour, and the **ship was destroyed**. The arbitrator found that it was **careless to drop the plank**, and that **some damage to the ship was foreseeable**, but that the causing of the **spark and the ensuing fire were not** foreseeable. He awarded the owners damages of £196,165 (equivalent to twenty months' hire). Sankey J. confirmed the award and so did the Court of Appeal.

**ISSUE** Where a negligent act is followed by damage that is the **direct** consequence of the negligence but was **not reasonably foreseeable** (here, fire caused by a spark, rather than the foreseeable damage from the fall of the plank), is the defendant liable? Or is the unforeseeability of the **type** of damage a defence?

**ARGUMENTS** **Appellants (charterers):** Although it was negligent to drop the plank, they could not reasonably have anticipated the **type** of damage — a fire caused by a spark igniting petrol vapour. They accepted they could not rely on foreseeing the **extent** of damage, but contended that the **type** of damage was unforeseeable and therefore too remote.

**Respondents (owners):** The falling of the plank was due to the defendants' negligence; the fire was **directly caused by** the falling of the plank; it is immaterial that the spark could not have been reasonably anticipated. The defendants must take the direct consequences of their negligence.

**DECISION** The **Court of Appeal** (Bankes, Warrington and Scrutton LJJ) **confirmed** the award, holding that the damage was **not too remote**.

> *"Given the breach of duty which constitutes the negligence, and given the damage as a direct result of that negligence, the anticipation of the person whose negligent act has produced the damage appear to me to be irrelevant. I consider that the damages claimed are not too remote."* — *Bankes LJ*

> *"The presence or absence of reasonable anticipation of damage determines the legal quality of the act as negligent or innocent. If it be thus determined to be negligent, then the question whether particular damages are recoverable depends only on the answer to the question whether they are the **direct consequence** of the act."* — *Warrington LJ*

> *"To determine whether an act is negligent, it is relevant to determine whether any reasonable person would foresee that the act would cause damage; if he would not, the act is not negligent. But **if the act would or might probably cause damage, the fact that the damage it in fact causes is not the exact kind of damage one would expect is immaterial**, so long as the damage is in fact directly traceable to the negligent act…"* — *Scrutton LJ*

Scrutton LJ was also critical of the "natural and probable" formulation: "I cannot think it useful to say the damage must be the natural and probable result. This suggests that there are results which are natural but not probable, and other results which are probable but not natural. I am not sure what either adjective means in this connection."

⚡ RATIO & PRINCIPLE EVOLVED: The **directness test**: once an act is **negligent** (i.e., some damage was foreseeable), the defendant is liable for **all** the damage that is the **direct consequence** of the act, even though the **type** and **extent** of the actual damage could not have been reasonably anticipated. Foreseeability goes to the question of **negligence** (whether the act is wrongful), but once negligence is established, **directness**, not foreseeability, governs the recoverable damage. This is the classic statement of the "direct consequence" rule — later **overruled by *The Wagon Mound*** (1961).

### 30. Overseas Tankship (U.K.) Ltd. v. Morts Dock & Engineering Co. [The Wagon Mound] (1961) 1 All ER 404 (PC)

FACTS On 30 October 1951, a large quantity of **oil was carelessly allowed to spill** from **The Wagon Mound**, a ship under the defendant's control, during **bunkering operations** in Sydney Harbour. The oil spread to the plaintiff's wharf, about **200 yards** away, where a ship (*The Corrimal*) was being repaired. The plaintiff asked whether it was safe to continue welding and was assured (in accordance with the best scientific opinion of the day) that the oil **could not be ignited when spread on water**. On 1 November, a drop of molten metal fell on a piece of floating waste, which **ignited the oil**, and the plaintiff's **wharf was consumed by fire**. Kinsella J. found that the destruction of the wharf by fire was a **direct but unforeseeable** consequence of the carelessness in spilling the oil, but that **some damage by fouling** might have been anticipated. He gave judgment for the plaintiff; the Full Court of New South Wales affirmed. The defendant appealed to the Judicial Committee of the Privy Council.

ISSUE Where a negligent act (spilling oil) results in some foreseeably **minor** damage (fouling) but also in **unforeseeable** damage (destruction by fire), is the defendant liable for the unforeseeable damage because it is a "direct" consequence (the rule in *Polemis*)? Or is the test of liability **reasonable foreseeability** of the damage?

ARGUMENTS **Respondents (wharf owners):** The fire was the direct consequence of the negligent spillage (per *Polemis*); even if unforeseeable, the defendants are liable; the ordinary man in the street would unhesitatingly assign the cause of the fire to the spillage.

**Appellants (shipowners):** The damage by fire was **not reasonably foreseeable** (the best scientific evidence said the oil could not ignite on water); the rule in *Polemis* is unsound and should be overruled; liability should be confined to consequences which a reasonable man would foresee. It is unjust to hold a man liable for unforeseeable, grave consequences merely because his negligence also caused some trivial foreseeable damage.

DECISION The **Judicial Committee of the Privy Council** (**Viscount Simonds**) **allowed the appeal** and **overruled the rule in *Re Polemis***. The defendant was liable only for the foreseeable damage (by fouling); not for the unforeseeable damage by fire.

> *"The authority of Polemis has been severely shaken though lip service has from time to time been paid to it. In their Lordships' opinion **it should no longer be regarded as good law**. … For it does not seem consonant with current ideas of justice or morality that for an act of negligence, however slight or venial, which results in some trivial foreseeable damage the actor should be liable for all consequences however unforeseeable and however grave, so long as they can be said to be 'direct.'"* — Viscount Simonds

> *"The essential factor in determining liability is whether the damage is of such a kind as the reasonable man should have foreseen. … Thus **foreseeability becomes the effective test**."*

> *"It is not the act but the consequences on which tortious liability is founded. Just as (as it has been said) there is no such thing as negligence in the air, so **there is no such thing as liability in the air**."*

> *"To hold B liable for consequences however unforeseeable of a careless act, if but only if, he is at the same time liable for some other damage however trivial, appears to be neither logical nor just. … It is irrelevant to the question whether B is liable for unforeseeable damage that he is liable for foreseeable damage."*

The Board also clarified: "After the event even a fool is wise. But it is not the hindsight of a fool; it is the **foresight of the reasonable man** which alone can determine responsibility." It distinguished the rule of strict liability in *Rylands v. Fletcher*, which it left undisturbed.

⚡ RATIO & PRINCIPLE EVOLVED: The **foreseeability test** replaces the directness test. A defendant is liable only for damage of a **kind** that was **reasonably foreseeable** by a reasonable man. The fact that some **other, foreseeably minor** damage was also caused does not make the defendant liable for **unforeseeable, grave** damage arising from the same act. Foreseeability is now the effective test of remoteness, and the historic rule in *Re Polemis* is **no longer good law**. This is the modern foundation of the law of remoteness of damage in negligence.

### 31. Hughes v. Lord Advocate (1963) AC 837 (HL)

**FACTS** Post Office workmen opened a **manhole** in a public street in the heart of Edinburgh to maintain underground telephone equipment. They covered it with a **tent** and, in the evening, left it **unguarded**, surrounded by **warning paraffin lamps** and with a **ladder** going down into the hole. An **eight-year-old boy** entered the tent and knocked or lowered one of the lamps into the hole. An **explosion** occurred, causing him to fall into the hole and be **severely burned**. The boy (through his father, the pursuer) sued the Lord Advocate (representing the Post Office) for negligence. The Lord Ordinary and the majority of the First Division rejected the claim, holding the accident was not reasonably foreseeable (because the explosion could not be foreseen). The pursuer appealed to the House of Lords.

**ISSUE** Where the defendant negligently leaves a dangerous **allurement to children** (an open manhole with a paraffin lamp), and the child suffers burns caused by an **unforeseeable explosion** (rather than a foreseeable conflagration), is the damage **too remote** — i.e., was it a different **kind** of damage from that which was foreseeable?

**ARGUMENTS** **Pursuer (boy):** The dangerous allurement (the lamp, tent, ladder and open manhole) was left unguarded in a public street where children were to be expected. It was foreseeable that a child would be burnt or suffer a conflagration; the explosion was merely an unusual **manner** of causing burn injury — the damage was of the same **kind** (burning) as was foreseeable. He relied on *Harvey v. Singer Manufacturing Co.* and *Miller v. South of Scotland Electricity Board*: the precise concatenation of circumstances need not be foreseen.

**Defenders (Lord Advocate):** The explosion could not have been reasonably foreseen; it was caused in a unique fashion by paraffin vapour igniting. Following *The Wagon Mound*, the damage (by explosion) was of a different **type and kind** from anything foreseen, and was therefore too remote. They relied on *Muir v. Glasgow Corporation*.

**DECISION** The **House of Lords** (Lord Reid, Lord Guest, Lord Pearce, Lord Donovan; Lord Tucker concurring) **allowed** the appeal. The Post Office was liable.

> *"An explosion is only one way in which burning can be caused ... I cannot see that these are two different types of accident. They are both burning accidents and in both cases the injuries would be burning injuries. Upon this view the explosion was an **immaterial event in the chain of causation**. It was simply one way in which burning might be caused by the potentially dangerous paraffin lamp." — Lord Guest*

> *"To demand too great precision in the test of foreseeability would be unfair to the pursuer since the facets of misadventure are innumerable. ... The obvious risks were burning and conflagration and a fall. All these in fact occurred, but unexpectedly the mishandled lamp, instead of causing an ordinary conflagration, produced a violent explosion. Did the explosion create an accident and damage of a **different type** from the misadventure and damage that could be foreseen? In my judgment it did not. The accident was but a **variant of the foreseeable**. It was, to quote the words of Denning LJ in Roe v. Minister of Health, 'within the risk created by the negligence.'" — Lord Pearce*

> *"In order to establish a coherent chain of causation it is not necessary that the precise details leading up to the accident should have been reasonably foreseeable: it is sufficient if the accident which occurred is of a **type** which should have been foreseeable by a reasonably careful person." — (approving Miller / Harvey)*

Lord Pearce distinguished *Muir v. Glasgow Corporation* because there the tea-urn was not a potentially dangerous allurement and the precise risk was unknown.

⚡ **RATIO & PRINCIPLE EVOLVED:** The distinction between the **kind/type** of damage and the **manner** of its occurrence. Under the foreseeability test, the defendant is liable where the damage is of a **foreseeable type**, even though it came about in an **unforeseeable way**. The explosion was an "immaterial event in the chain of causation" because the resulting damage (burning) was of the same kind as the foreseeable risk (fire/burning). This reconciles *The Wagon Mound* with justice: it is enough that the **general type** of harm is foreseeable; the precise concatenation of circumstances or the exact mechanism need not be. The case also illustrates liability for a **dangerous allurement to children** (a special duty to protect against foreseeable childish mischief).

### 32. Smith v. Leech Brain & Co. Ltd. (1961) 3 All ER 1159

**FACTS** The plaintiff's deceased husband was **employed as a galvaniser of steel** by the defendants, Leech Brain & Co. Ltd. While operating a machine in the workplace, he stepped out from behind the protective shield, and a **piece of molten metal burnt his lip**. Although the burn was treated, he **developed cancer** and **died three years later**. The deceased had a **pre-cancerous condition** before the burn took place (the burn triggered the cancer, which caused his death). When he died, his widow brought a claim under the **Fatal Accidents Act** against the defendants. The question was whether the employers could be liable for the full extent of the burn **and the cancer** that developed, or whether the victim's **predisposition** to cancer would matter in the award of damages.

**ISSUE** Where the defendant's negligence causes a **foreseeable** injury (a burn), but that injury, because of the victim's **pre-existing abnormal condition** (a pre-cancerous state), leads to **unforeseeable** and far more serious

consequences (cancer and death), is the defendant liable for the **full** consequences, or is the victim's unusual susceptibility a defence?

ARGUMENTS **Widow (plaintiff):** Under the **eggshell skull rule**, the defendants must take the victim as they find him. A burn to the lip was clearly foreseeable; the defendants are liable for the full consequences of that burn, including the cancer and death which resulted from the victim's pre-existing condition.

**Employers (defendants):** The cancer and death were **not reasonably foreseeable** and were due to the victim's pre-existing susceptibility; under *The Wagon Mound* test of foreseeability, they should not be liable for the unforeseeable consequences.

DECISION The court held the defendants were **negligent and liable** for the full extent of the damage, including the death. **Lord Parker CJ** applied the **eggshell skull rule**:

> *"The eggshell skull rule and **taking the victim as you find them** has always been the established law and this was not affected by the ruling in the Wagon Mound case."*

The question was whether the defendant could reasonably foresee the injury (the burn). The victim's predisposition to cancer did not matter, nor did the results of the injury. Because the **type** of harm (a burn / personal injury) was foreseeable, the defendants were liable for the **whole** of the damage, including the cancer and death — the victim's abnormal susceptibility could not be relied on to limit liability.

⚡ RATIO & PRINCIPLE EVOLVED: The **eggshell skull rule** (thin skull rule): a negligent defendant **takes his victim as he finds him**. Once the **kind** of damage is foreseeable (here a burn), the defendant is liable for the **full extent** of the consequences, even though they are **far greater than foreseeable** because of the victim's **pre-existing abnormal condition** (a pre-cancerous state). The rule is **not affected by *The Wagon Mound***: foreseeability governs the **type** of damage, not its **magnitude**. The victim's unusual susceptibility does not reduce or defeat the defendant's liability.

## PYQ BANK // MODULE 05 Previous Year Examination Questions

**Q.01** [CLASSIC DU LONG QUESTION · 20 MARKS] What is "remoteness of damage"? Discuss the test of directness (*Re Polemis*) and the test of reasonable foreseeability (*The Wagon Mound*). Which test is now accepted?

◈ Refer website for detailed notes — makelaweasy.in

**Q.02** [CLASSIC DU LONG QUESTION · 20 MARKS] Explain the doctrine of *novus actus interveniens*. When does an intervening act break the chain of causation and relieve the defendant of liability? Refer to *Haynes v. Harwood* and other cases.

**Q.03** [CLASSIC DU LONG QUESTION · 20 MARKS] Explain the "but-for" test of causation and the treatment of concurrent and consecutive causes.

**Q.04** [CLASSIC DU LONG QUESTION · 20 MARKS] What is the "eggshell skull rule"? How does it reconcile with the test of reasonable foreseeability laid down in *The Wagon Mound*? Refer to *Smith v. Leech Brain & Co.*

**Q.05** [CLASSIC DU QUESTION · 20 MARKS] Discuss *Hughes v. Lord Advocate*. How does the distinction between the "kind" of damage and the "manner" of its occurrence operate under the test of foreseeability?

**Q.06** [CLASSIC DU QUESTION · 20 MARKS] Distinguish between "causation" and "remoteness of damage." How is causation proved? Explain the natural and proximate consequence test.

MOD-06 // HAZARDOUS ENTERPRISE PART A · LAW OF TORTS 04 CASE LAWS · 05 PYQs

## Module 06 — No-Fault Liability — Strict & Absolute Liability

**Scope:** (a) Meaning & rationale of no-fault liability · (b) Rule of Strict Liability — Rylands v. Fletcher : origin, scope, exceptions, application in India · (c) Rule of Absolute Liability — M.C. Mehta v. Union of India · (d) Bhopal Gas Leak Disaster · (e) No-fault liability under the Public Liability Insurance Act, 1991 · (f) No-fault liability in hit-and-run cases under the Motor Vehicles Act, 1988

## 06.01 No-Fault Liability — Meaning & Rationale

The law of torts traditionally rests on the principle of **fault** — a person is liable only if he was **negligent** or **intentional** in causing harm. This is the "no liability without fault" principle. **No-fault (strict) liability** is an exception to this principle. In certain classes of cases the law imposes liability **irrespective of the defendant's state of mind** — without regard to whether he was careful or negligent, intended the harm or not. Liability is based on **blameworthiness** alone? No — it is based **not** on blameworthiness at all, but on the dangerous nature of the thing or activity which the defendant brought about.

> *"There are certain classes of cases in which the liabilities of the defendants are stricter than in the ordinary cases. In these cases of strict liability, liability is imposed on the defendants irrespective of consideration of their mental state. Liability is not based on blameworthiness. Even innocent persons are held liable for harm caused to others on account of the escape of things from their land." — DU course notes*

### 1.1 The rationale for no-fault liability

Fault liability vs no-fault liability — at a glance.

- **Social cost of dangerous activities:** Where an activity is inherently hazardous, the person undertaking it for **private profit** must absorb the **cost of any accident** as an item of overheads. (First justification in *M.C. Mehta*.)
- **The enterprise alone has the resources:** The enterprise carries on the hazardous activity has the **resources to discover and guard against hazards** and to warn against potential dangers. (Second justification in *M.C. Mehta*.)
- **Fairness to the victim:** The victim may be entirely innocent and have no means of proving fault; it is just that the person who created the risk should bear the loss.
- **Deterrence:** Imposing strict liability encourages the highest standards of safety in dangerous enterprises.
- **The "knowledge of danger" principle:** The person who brings a dangerous thing onto his land knows of its dangerous character and should be answerable if it escapes and causes harm.

**Key terminology: Strict liability** (from *Rylands v. Fletcher*) is "no-fault" liability, but it is **not absolute** — it is subject to **exceptions**. **Absolute liability** (from *M.C. Mehta*) is a still stricter form for **hazardous or inherently dangerous activities**, and is **subject to no exceptions**. Strict liability is a creature of the **common law**; no-fault liability in the statute books (PLIA 1991, MVA 1988) is a **statutory** extension.

## 06.02 Strict Liability — the Rule in Rylands v. Fletcher

*origin, scope, exceptions, application in India.*

The rule of **strict liability** was laid down in *Rylands v. Fletcher* (1868) LR 3 HL 330. It is the origin of "no-fault liability" in English and Indian tort law, and is called **strict** rather than **absolute** liability precisely because of the **exceptions** that accompany it.

> *"We think that the true rule of law is, that the person who, for his own purposes, brings on his land and collects and keeps there anything likely to do mischief if it escapes, must keep it in at his peril; and if he does not do so, is prima facie answerable for all the damage which is the natural consequence of its escape. He can excuse himself by showing that the escape was owing to the plaintiff's default; or, perhaps, that the escape was the consequence of vis major, or the act of God..." — **Blackburn J**, Rylands v. Fletcher (Exchequer Chamber)*

> *"If a person brings, or accumulates, on his land anything which, if it should escape, may cause damage to his neighbour, he does so at his peril. If it does escape, and cause damage, he is responsible, however careful he may have been, and whatever precautions he may have taken to prevent the damage." — **Lord Cranworth**, Rylands v. Fletcher (House of Lords)*

**Key features of the rule:**

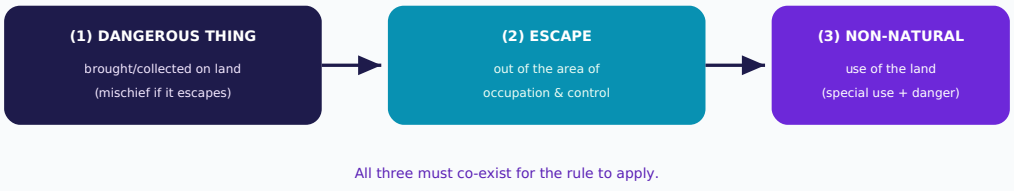
- It is a rule of **strict liability** — the defendant is liable even though he took every care and was not negligent.
- It is **not absolute** — it is subject to well-defined exceptions.
- The liability attaches because of the **dangerous nature of the thing** which the defendant brought onto his land, not because of any fault.

### 2.1 The three essentials of the rule

For the rule in *Rylands v. Fletcher* to apply, **three requirements** must be satisfied:

1. **Some dangerous thing** must have been brought by a person onto (or collected and kept on) his land.
2. The thing must **escape** (from the area within the defendant's occupation and control).
3. The use of the land must be a **non-natural** use.

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The three essentials of the rule in Rylands v. Fletcher.

### (1) Dangerous thing

The rule applies only when the thing collected is **dangerous** — i.e., a thing **likely to do mischief if it escapes**. The rule has been applied to **gas, electricity, oil, noxious fumes, colliery spoil, rusty wire from a decayed fence, vibrations, poisonous vegetation and flagpoles**, and (in *Attorney-General v. Corke*) even to **human beings**.

### (2) Escape

The dangerous thing must **escape** beyond the area of the defendant's occupation and control. Where there is no escape, there is no liability. In *Read v. J. Lyons & Co.* (1947), an explosion inside the defendant's factory injured a person lawfully on the premises — there was **no escape**, so the rule did not apply. In *Crowhurst v. Amersham Burial Board*, branches of a poisonous tree projecting onto the neighbour's land (which the neighbour's cattle ate) amounted to an escape; but in *Ponting v. Noakes*, where the plaintiff's **own** horses intruded over the boundary and died, there was no escape and no liability.

### (3) Non-natural use of land

The use must be **non-natural** — a **special use** bringing with it **increased danger** to others, and not merely the ordinary use of land or such use as is proper for the general benefit of the community. What is natural or non-natural depends on **time and locality**. The rule has **no application** to things **naturally** on the land. In *Noble v. Harrison* and *Caminer v. Northern & London Investment Trust*, the defendants were held **not** liable for the fall of a branch of a naturally growing, apparently sound tree.

> **Scrutton LJ** on the rule's exceptions: "When stated without the exceptions it is a rule of absolute liability, but there are **so many exceptions** to it, that it is doubtful whether there is much of the rule left."

## 2.2 Exceptions to the rule

The main exceptions to the rule in *Rylands v. Fletcher* are:

**(1) Plaintiff's own default**

Where the escape is due to the **fault of the plaintiff**, the defendant is not liable. If a person courts a known danger he cannot complain. Also, if the plaintiff's property is of **unusual sensitiveness**, the defendant may not be liable (*Eastern & S. African Telegraph Co. v. Cape Town Tramways*).

> *Ponting v. Noakes: plaintiff's horse intruded over the boundary and died — no recovery.*

**(2) Consent of the plaintiff (volenti)**

Where the plaintiff has **expressly or impliedly agreed** to the presence of the dangerous thing, he cannot claim. *Peters v. Prince of Wales Theatre*: a plaintiff who knew a sprinkler system extended to his shop impliedly consented; its burst (due to severe frost) gave no claim.

**(3) Act of God (vis major)**

An operation of **natural forces so unexpected** that no human foresight or skill could reasonably anticipate it. One is bound to provide only against the **ordinary** operations of nature, not against **her miracles**. *Nichols v. Marsland*: artificial lakes burst in an extraordinary, unprecedented rainfall — defendant not liable.

**(4) Act of a stranger**

The rule does **not** apply to damage caused by the act of a **stranger** (one who is neither the defendant's servant nor under his control). *Box v. Jubb*; *Rickards v. Lothian* (malicious third person blocked a pipe); *Perry v. Kendrick's Transport* (mischievous boys). But where the act comes to the defendant's **knowledge** and the damage could be prevented, he must take care — *North-Western Utilities v. London Guarantee* (public utility liable for a gas leak caused by conspicuous city works which it ought to have guarded against).

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**(5) Common benefit**

Where the dangerous thing is maintained for the **common benefit** of the plaintiff and the defendant, the latter is not liable. *Carstairs v. Taylor* (a rat gnawed a water box serving the common stair); *Anderson v. Oppenheimer*; *Kiddle v. City Business Properties*.

**(6) Statutory authority**

Where the escape is authorised by statute, and there is no negligence, the rule does not apply. *Green v. Chelsea Water Works Co.*: a main authorised by Parliament burst without negligence — the company was not liable. But statutory authority is **not** a defence where there is **negligence**.

**Note on the Madras Railway case (Case 36):** The "common benefit" and "non-natural use" exceptions were applied in India in *The Madras Railway Co. v. Zemindar of Carvatenagarum* — where irrigation tanks, necessary for the sustenance of **thousands of ryots** and for the **paramount collective interest**, burst, the landowner was held **not** liable under the rule (the water was a **natural/necessary** use, and the escape was by *vis major*).

### 2.3 Application of the rule in India

The rule in *Rylands v. Fletcher* has been applied, with its exceptions, in India. The leading Indian cases are *M.P. Electricity Board v. Shail Kumar* (Case 35) — where the exception of "act of a stranger" was **not** allowed because the Board ought to have anticipated the pilferage and guarded against the consequences of a live wire falling on a road — and *The Madras Railway Co. v. Zemindar of Carvatenagarum* (Case 36) — where the "common benefit"/"natural use" exception applied. In *M.C. Mehta*, the Supreme Court went **beyond** the rule and laid down **absolute liability** for hazardous industries, with **no exceptions** (see §3).

Per *M.P. Electricity Board*: "The doctrine of strict liability has its origin in English Common Law when it was propounded in the celebrated case of *Rylands v. Fletcher*." The Board applied the rule to a case of electrocution by a live wire lying on a public road.

## 06.03 Absolute Liability — the Rule in M.C. Mehta v. Union of India

In **M.C. Mehta v. Union of India** (AIR 1987 SC 1086), the **Oleum Gas Leak case**, the Supreme Court evolved a rule of **absolute liability** — a stricter standard than the rule in *Rylands v. Fletcher* — for enterprises engaged in **hazardous or inherently dangerous activities**. The Court refused to be bound by the English rule and its exceptions, holding that in a modern industrial society the law must evolve to meet the needs of the present-day economy.

> *"We have to evolve new principles and lay down new norms which would adequately deal with the new problems which arise in a highly industrialised economy. We cannot allow our judicial thinking to be constricted by reference to the law as it prevails in England or for the matter of that in any other foreign country. We no longer need the crutches of a foreign legal order." — **M.C. Mehta** (Chief Justice R.S. Pathak and the Bench)*

> *"We are of the view that an enterprise which is engaged in a hazardous or inherently dangerous industry which poses a potential threat to the health and safety of the persons working in the factory and residing in the surrounding areas owes an **absolute and non-delegable duty** to the community to ensure that no harm results to anyone on account of the hazardous or inherently dangerous nature of the activity which it has undertaken. ... if any harm results on account of such activity, the enterprise must be **absolutely liable** to compensate for such harm and it should be **no answer** to the enterprise to say that it had taken all reasonable care and that the harm occurred without any negligence on its part." — **M.C. Mehta***

**The rule:**

> *"Where an enterprise is engaged in a hazardous or inherently dangerous activity and harm results to anyone on account of an accident in the operation of such hazardous or inherently dangerous activity resulting, for example, in the escape of toxic gas, the enterprise is **strictly and absolutely liable** to compensate all those who are affected by the accident and **such liability is not subject to any of the exceptions** which operate vis-à-vis the tortious principle of strict liability under the rule in Rylands v. Fletcher."*

### 3.1 Two justifications for the rule

1. **Social obligation / cost of the activity:** The enterprise carrying on a hazardous activity for **private profit** must compensate those who suffer, absorbing the loss as an **item of overheads**. Such activity can be tolerated only on the condition that the enterprise indemnifies all who suffer, regardless of whether it was carried on carefully.
2. **The enterprise alone has the resources:** The enterprise alone has the **resources to discover and guard against hazards** and to provide warnings; if it makes any profit from the activity, it must bear the cost. The compensation must be correlated to the **magnitude and capacity of the enterprise** so that it has a **deterrent effect** — "the larger and more prosperous the enterprise, the greater must be the amount of compensation."

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**Why it is called "absolute":** Unlike strict liability (which has the six exceptions discussed above), the rule in *M.C. Mehta* is **subject to no exceptions**. The defence that the defendant took all reasonable care (i.e., was not negligent) is **no answer**. The liability is **non-delegable** — the enterprise cannot escape by showing that the harm was due to an independent contractor or another.

## 06.04 Strict Liability vs Absolute Liability

*A key exam distinction.*

| Basis | Strict Liability (Rylands) | Absolute Liability (M.C. Mehta) |
|---|---|---|
| Source | Common law (English), 1868 | Indian Supreme Court, 1987 |
| Applies to | A **dangerous thing** brought on land, escaping, from non-natural use | An enterprise engaged in a **hazardous or inherently dangerous activity** |
| Exceptions | **Six exceptions** (plaintiff's default, consent, act of God, act of stranger, common benefit, statutory authority) | **No exceptions** — "not subject to any of the exceptions" |
| Defence of "no negligence / took all care" | Available in some form | **No answer** — the enterprise is liable even if it took all reasonable care |
| Nature of duty | Duty to keep the thing in at one's peril | **Absolute and non-delegable duty** to the community |
| Measure of compensation | Ordinary damages | **Correlated to the magnitude and capacity of the enterprise** (deterrent effect) |
| Key authority | *Rylands v. Fletcher* (1868); *M.P. Electricity Board*; *Madras Railway* | *M.C. Mehta v. Union of India* (1987) |

## 06.05 The Bhopal Gas Leak Disaster

*the catastrophic catalyst.*

On the night of **2–3 December 1984**, a catastrophic leak of **methyl isocyanate (MIC) gas** occurred from the pesticide plant of **Union Carbide India Ltd. (UCIL)** at Bhopal, Madhya Pradesh. It is regarded as the **worst industrial disaster in history**: thousands of people were killed and hundreds of thousands were injured or permanently disabled; livestock and the environment were devastated. The plant was situated in a densely populated area, and the disaster revealed grave deficiencies in safety systems and in corporate responsibility.

**The disaster's legal significance:**

- The Bhopal tragedy **shook off the lethargy** of governments and industries, and **triggered a new wave of consciousness** about the hazards of industries using dangerous technology. As the Court noted in *M.C. Mehta*, "The Bhopal disaster shook off the lethargy of everyone and triggered off a new wave of consciousness and every government became alerted to the necessity of examining whether industries employing hazardous technology and producing dangerous commodities were equipped with proper and adequate safety and pollution control devices."
- It prompted the **evolution of the absolute liability principle** in Indian law (in *M.C. Mehta*, decided shortly after), and the enactment of **statutes**, including the **Environment (Protection) Act, 1986**, the **Public Liability Insurance Act, 1991**, and the **National Green Tribunal Act, 2010**.
- **Litigation and settlement:** The Union of India, acting as *parens patriae*, sued **Union Carbide Corporation (UCC)**. In 1989 the Supreme Court approved a settlement by which UCC paid **US $470 million** in **full and final settlement of all claims, rights and liabilities** arising out of the disaster. In **Union Carbide Corporation v. Union of India** (1991), the Supreme Court **upheld the validity of the settlement** (though it set aside the condition quashing the criminal proceedings). The settlement is criticised as grossly inadequate; the Court directed that if the fund was insufficient, the **deficiency was to be made good by the Union of India**, and ordered **group medical insurance** (no upper limit) for those who might later manifest gas-related ailments.

**Why it matters for the exam:** The Bhopal disaster is the **factual and moral background** to the rule of **absolute liability**. It is the reason the Supreme Court in *M.C. Mehta* held that an enterprise engaged in a hazardous activity is liable **without exceptions**, and it directly led to the **Public Liability Insurance Act, 1991** (see §5).

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## 06.06 No-Fault Liability under the Public Liability Insurance Act, 1991

The **Public Liability Insurance Act, 1991** was enacted in the wake of the **Bhopal gas leak disaster** to provide **immediate relief** to persons affected by accidents occurring while **handling hazardous substances**, and for matters connected therewith.

**Key features (no-fault basis):**

- **No-fault liability:** Where death, injury or damage to property is caused by an accident while handling a **hazardous substance**, the **owner** is liable to give **relief** — without the need to prove negligence or fault. This is a **statutory recognition of the no-fault/absolute-liability doctrine** arising out of a hazardous activity.
- **Compulsory insurance:** Every owner who handles, or is likely to handle, a hazardous substance must **take out one or more insurance policies** before he starts handling the substance and **renew** them from time to time. This shifts the burden of compensation to the insurer and ensures that relief is **immediate and assured**.
- **Relief without barring a larger claim:** The relief under the Act is **in addition to** (and does not bar) the victim's right to seek **larger compensation** by way of a civil suit or under any other law; the amount received under the Act is to be **set off/reduced** from any higher recovery.
- **Schemes for relief:** The Act empowers the Central Government to establish a **relief fund** and to make rules for providing relief, and to prescribe the **amount of relief** for death, permanent/total disablement, injury and damage to property.
- **Purpose:** To balance the victim's urgent need for compensation against the owner's liability, by using **insurance** to fund immediate relief while preserving the victim's right to full compensation.

> **Significance:** The PLIA 1991 is the **statutory** embodiment of no-fault liability for hazardous industries. It is the legislative answer to the problem raised by the Bhopal and Oleum gas disasters — making insurance mandatory and relief swift, so that victims are not left to prove fault or embroiled in long litigation.

## 06.07 No-Fault Liability & Hit-and-Run under the Motor Vehicles Act, 1988

The **Motor Vehicles Act, 1988**, under **Chapter X (Sections 140–144)**, provides a statutory scheme of **no-fault liability** for motor-accident victims. This is a departure from the common-law principle that a claimant must prove rashness/negligence; it gives **speedy, fixed relief** without proof of fault.

### 6.1 Section 140 — Liability on the principle of no-fault

Where **death or permanent disablement** of any person results from an accident arising out of the use of a motor vehicle, the **owner of the vehicle(s)** is **jointly and severally** liable to pay compensation. The amount is a **fixed sum**:

| Head | Amount (fixed sum) |
|---|---|
| Death | **Rs. 50,000** (raised from Rs. 25,000 with effect from 14-11-1994) |
| Permanent disablement | **Rs. 25,000** (raised from Rs. 12,500) |

**Non-requirement of fault:** The claimant is **not required to plead or prove** that the death/disablement was due to any **wrongful act, neglect or default** of the owner/driver or of any other person. Moreover, the claim is **not defeated** by the victim's own contributory negligence — the compensation is **not reduced** on account of the victim's share of responsibility. A claim under s. 140 is payable **at the threshold** of proceedings. (If larger compensation is later awarded under s. 166/s. 163A, the amount received under s. 140 is deducted.)

### 6.2 Section 163A — Structured formula compensation

**Section 163A** provides for compensation on a **structured formula** basis in respect of accidents involving death or permanent disablement arising out of the use of a motor vehicle, **irrespective of the fault** of the parties. It is another no-fault mechanism giving a **fixed, formula-based** award (based on the "second schedule"), which the claimant need not litigate fully. It reflects the legislative intent to protect victims without subjecting them to prolonged proof of fault.

### 6.3 Section 161 — Hit-and-run cases

**Section 161** deals with the special case of **hit-and-run motor accidents** — accidents arising from the use of a motor vehicle **the identity of which cannot be ascertained** in spite of reasonable efforts. Where the identity of the offending vehicle is unknown, the scheme provides for payment of a fixed sum of compensation as **ex gratia relief**:

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| Head | Compensation (fixed sum) |
|---|---|
| Death | **Rs. 25,000** (raised later to Rs. 40,000 / Rs. 2,00,000 by subsequent amendments) |
| Grievous hurt / injury | **Rs. 12,500** |

**Essential feature of hit-and-run:** The offending vehicle is **untraceable**, so the compensation must come from the **Government/Solatium Fund** (the "Motor Vehicles Accident Fund" / "Solanum Fund" now administered under the Central Government's scheme), and the owner/insurer cannot be made liable since the vehicle is unidentified.

> **Contrast — negligence vs no-fault in motor accidents:** A claim under **s. 166** (fault-based) requires proof of negligence; under **s. 140 / s. 163A** (no-fault) no proof of fault is needed and the amount is fixed/formula-based; under **s. 161** (hit-and-run) the vehicle is untraceable and the relief comes from the State fund. As the DU notes observe, in no-fault claims the right to compensation is **not affected** by the victim's wrongful act, neglect or default, and the quantum is **not reduced** on account of the victim's contributory negligence.

## JUDICIAL DOSSIERS // 04 CASES — Prescribed Landmark Case Laws — Detailed Analysis

### 33. Rylands v. Fletcher

(1868) LR 3 HL 330

**FACTS** Near Ainsworth in Lancashire, the defendants had a mill whose water supply they wanted to improve. They obtained **permission from Lord Wilton** to construct a **reservoir** on his land and retained **reputable engineers** to build it. Unknown to the defendants, the plaintiff, who had a **mineral lease** from Lord Wilton, had carried his workings to a point not far distant (though separated by the land of third parties). During construction the engineers came across some **disused mine shafts** and did not seal them properly, with the result that, when the completed reservoir was filled, **water flowed down those shafts and into the plaintiff's coal-mine**, causing damage later agreed at **£937**. The arbitrator stated a special case for the Court of Exchequer, which found for the defendants (Bramwell B. dissenting). The plaintiff took a writ of error to the Court of Exchequer Chamber, which gave him judgment; the defendants' appeal to the House of Lords was dismissed.

**ISSUE** Is the obligation of a person who lawfully brings on his land something likely to do mischief if it escapes an **absolute duty to keep it in at his peril**, or merely a duty to take all reasonable and prudent precautions? In other words, is the defendant liable **without proof of negligence**?

**ARGUMENTS** **Plaintiff (Fletcher):** The escape of water flooded his mine, causing damage, although he was free from all blame. The defendants brought the water onto the land and failed to keep it in; they are liable for the natural consequences of its escape, regardless of negligence.

**Defendants (Rylands):** They were not negligent; they employed competent engineers, had no knowledge of the disused shafts, and had taken reasonable care. They should be liable only on proof of negligence, and could not be liable for a latent defect which ordinary prudence and skill could not detect.

**DECISION** The **Court of Exchequer Chamber** (Blackburn J.) and, on appeal, the **House of Lords** (Lord Cairns LC, Lord Cranworth) held for the plaintiff, laying down the rule of **strict liability**.

> *"We think that the true rule of law is, that the person who, for his own purposes, brings on his land and collects and keeps there anything likely to do mischief if it escapes, must keep it in at his peril; and if he does not do so, is prima facie answerable for all the damage which is the natural consequence of its escape. He can excuse himself by showing that the escape was owing to the plaintiff's default; or, perhaps, that the escape was the consequence of vis major, or the act of God..." — Blackburn J.*

> *"The person whose grass or corn is eaten down by the escaping cattle of his neighbour, or whose mine is flooded by the water from his neighbour's reservoir, or whose cellar is invaded by the filth of his neighbour's privy ... is damnified without any fault of his own; and it seems but reasonable and just that the neighbour who has brought something on his own property (which was not naturally there), harmless to others so long as it is confined to his own property, but which he knows will be mischievous if it gets on his neighbour's, should be obliged to make good the damage." — Blackburn J.*

> *"If a person brings, or accumulates, on his land anything which, if it should escape, may cause damage to his neighbour, he does so at his peril. If it does escape, and cause damage, he is responsible, however careful he may have been, and whatever precautions he may have taken." — Lord Cranworth*

> *Lord Cairns LC explained that a person may lawfully use his land in the "natural user" of it, and is not liable for the natural operations of the laws of nature; but if he uses it for a purpose which is a "non-natural use" — introducing into the land that which in its natural condition was not there, e.g. water in quantities and in a manner not the result of natural operations — he does so **at his own peril**, and is liable for the consequences of its escape.*

⚡ RATIO & PRINCIPLE EVOLVED: The **rule of strict liability**: a person who, for his own purposes, brings on his land and collects and keeps there anything **likely to do mischief if it escapes** must keep it in **at his peril**, and is **prima facie liable** for all the damage which is the natural consequence of its escape — **even though he was not negligent** and took every care. The liability arises from the **dangerous nature** of the thing, not from any fault. It is, however, subject to exceptions (plaintiff's default, act of God/vis major, consent, act of stranger, common benefit, statutory authority), and requires a **non-natural use** of land. It established the modern concept of **no-fault (strict) liability**.

## 34. M.C. Mehta v. Union of India

AIR 1987 SC 1086 (SC)

FACTS **Delhi Cloth & General Mills Ltd. (DCM)** runs an enterprise called **Shriram Foods and Fertiliser Industries**, with several units engaged in manufacturing **caustic soda, chlorine, hydrochloric acid, stable bleaching powder, superphosphate, vanaspati, soap, sulphuric acid** and others. These units were set up in a single complex of about **76 acres**, surrounded by thickly populated colonies (Punjabi Bagh, West Patel Nagar, Karampura, Ashok Vihar, Tri Nagar, Shastri Nagar). The **caustic chlorine plant** had been commissioned in 1949, with about 263 employees.

Until the **Bhopal tragedy**, neither the management of Shriram nor the government seemed to have bothered about the hazardous character of the plant. The Bhopal disaster "shook off the lethargy of everyone." The Union Government commissioned a UK firm ("Technica") to report on the plant, and the Delhi Administration appointed the **Manmohan Singh Committee**; later the Court appointed the **Nilay Choudhary Committee**, and the Lt. Governor appointed the **Seturaman Committee**.

On **4 December 1985**, a **major leakage of oleum gas** took place from one of Shriram's units, affecting a large number of workers and the public — an advocate practising in the Tis Hazari Courts died of oleum inhalation. It resulted from the bursting of a tank containing oleum gas due to the collapse of the structure on which it was mounted. Within two days a **minor leakage** occurred from the joints of a pipe. The District Magistrate ordered Shriram to cease the manufacture and processing of hazardous chemicals within two days and to remove them within seven days. The matter came before the Court; since it raised substantial questions regarding **Articles 21 and 32** of the Constitution, it was referred to a **five-judge Bench**. The Court was asked, among other things, whether Shriram came within Article 12 ("State") and what was the **measure of liability of an enterprise engaged in a hazardous or inherently dangerous industry**.

ISSUES (1) Whether a private corporation under the **functional control of the State** and engaged in a hazardous activity is a "State" within Article 12 (so as to be subject to fundamental-rights discipline). (2) Whether the rule in **Rylands v. Fletcher** applies to determine the liability of an enterprise engaged in a **hazardous or inherently dangerous industry**, or whether a **new principle** should be evolved. (3) What is the **measure of compensation** in such cases?

ARGUMENTS **Petitioner (M.C. Mehta):** Shriram, engaging in an activity that has the potential to invade the **right to life** (Article 21) of large sections of the people, should be subject to constitutional discipline; and the enterprise must be made liable for the harm caused by the escape of dangerous gas, on a principle stricter than *Rylands v. Fletcher*.

**Respondents / management:** Shriram may not be a "State" under Article 12; the liability, if any, should be governed by the English rule in *Rylands v. Fletcher* with its exceptions (act of God, act of a stranger, statutory authority, etc.); and Shriram took all reasonable care.

**Court's approach:** The Court declined to finally decide the Article 12 question, but held that it was **not bound** to follow the 19th-century English rule. It refused to remain constricted by foreign law, saying, "We no longer need the crutches of a foreign legal order," and evolved a principle suited to a modern industrial economy.

DECISION The **Supreme Court** laid down the rule of **absolute liability**.

> *"We are of the view that an enterprise which is engaged in a hazardous or inherently dangerous industry which poses a potential threat to the health and safety of the persons working in the factory and residing in the surrounding areas owes an **absolute and non-delegable duty** to the community to ensure that no harm results to anyone on account of the hazardous or inherently dangerous nature of the activity which it has undertaken. ... if any harm results on account of such activity, the enterprise must be **absolutely liable** to compensate for such harm and it should be no answer to the enterprise to say that it had taken all reasonable care and that the harm occurred without any negligence on its part."*

> *"Where an enterprise is engaged in a hazardous or inherently dangerous activity and harm results to anyone on account of an accident in the operation of such hazardous or inherently dangerous activity resulting, for example, in the escape of toxic gas, the enterprise is **strictly and absolutely liable** to compensate all those who are affected by the accident and **such liability is not subject to any of the exceptions** which operate vis-à-vis the tortious principle of strict liability under the rule in Rylands v. Fletcher."*

> *"The measure of compensation ... must be **correlated to the magnitude and capacity of the enterprise** because such compensation must have a **deterrent effect**. The larger and more prosperous the enterprise, greater must be the amount of compensation payable by it."*

The Court also held that, as the liability is an **item of overheads** of the enterprise (the enterprise has the resources to discover and guard against hazards), the enterprise must indemnify all who suffer. Since the Court did not decide the Article 12 question, it did not set up a special machinery for investigation of claims, but directed the **Delhi Legal Aid and Advice Board** to file actions for compensation on behalf of the victims against Shriram.

⚡ RATIO & PRINCIPLE EVOLVED: The **rule of absolute liability** — a distinct, stricter Indian rule. An enterprise engaged in a **hazardous or inherently dangerous activity** owes an **absolute and non-delegable duty** to the community; if harm results (e.g., from the escape of toxic gas), the enterprise is **strictly and absolutely liable** to compensate, and such liability is **subject to no exceptions** (unlike strict liability under *Rylands v. Fletcher*). The defences of "reasonable care"/"no negligence" are **no answer**. The measure of compensation is **correlated to the magnitude and capacity of the enterprise** to have a **deterrent effect**. The Court also (implicitly) wedded tort liability to the **right to life (Article 21)**. This case is the Indian answer to the Bhopal disaster and the foundation of modern environmental/ hazardous-industry liability in India.

## 35. M.P. Electricity Board v. Shail Kumar

AIR 2002 SC 551 (SC)

FACTS **Jogendra Singh**, a 37-year-old workman, was riding a bicycle on the night of 23 August 1997 while returning from his factory, without any premonition of the impending disaster. The disaster lay on the road in the form of a **live electric wire**. There was rain and the road was partially inundated with water. The cyclist did not notice the live wire and rode over it; the wire twitched, snatched him, and he was **instantaneously electrocuted**, dying within minutes. His widow and minor son sued for compensation. It was not disputed that he was electrocuted by the live wire lying on the road. The **M.P. Electricity Board** contended that one **Hari Gaikwad** (third respondent) had tapped a wire from the main supply line to **siphon energy** for his own use, clandestinely, without the Board's notice, and that the line got unfastened and fell on the road over which the deceased rode, causing the electrocution. The trial court and the High Court held the Board liable under the rule of **strict liability**; the Board appealed to the Supreme Court.

ISSUES (1) Is the Board liable under the rule of **strict liability** for the electrocution? (2) Is the exception of "**act of a stranger**" (the pilferer) available to the Board as a defence?

ARGUMENTS **Board (appellant):** The accident was caused by the **clandestine act of a third person** (the pilferer) of which the Board had no notice — a **novus actus / act of a stranger** — so it should be absolved from liability under the exception to the rule in *Rylands v. Fletcher*.

**Claimants (respondents):** The Board, which deals with the dangerous commodity of electricity, has a duty to prevent pilferage and to ensure that a live wire on a public road does not electrocute a passer-by. The exception of "act of a stranger" is **not** available because the Board ought to have anticipated the risk and prevented its consequences. The Board is liable under the rule of **strict liability**.

DECISION The **Supreme Court** (**Thomas J.**) held the **exception of "act of a stranger" was not available** to the Board and **dismissed** the appeal, holding the Board liable.

> *"It is the look out of the managers of the supply system to prevent such pilferage by installing necessary devices. At any rate, if any live wire got snapped and fell on the public road the electric current thereon should automatically have been disrupted. Authorities manning such dangerous commodities have extra duty to chalk out measures to prevent such mishaps."*

> *"Even assuming that all such measures have been adopted, a person undertaking an activity involving hazardous or risky exposure to human life is liable under law of torts to compensate for the injury suffered by any other person, **irrespective of any negligence or carelessness** on the part of the managers of such undertaking. The basis of such liability is the foreseeable risk inherent in the very nature of such activity. The liability cast on such person is known, in law, as **'strict liability'**."*

> *"The doctrine of strict liability has its origin in English Common Law when it was propounded in the celebrated case of Rylands v. Fletcher."*

> *"(13) In the present case, the Board made an endeavour to rely on the exception to the rule of strict liability (Rylands v. Fletcher) being 'an act of stranger'. **The said exception is not available to the Board** as the act attributed to the third respondent should reasonably have been anticipated, or at any rate its consequences should have been prevented by the appellant-Board." (citing North-Western Utilities, Ltd. v. London Guarantee and Accident Co.)*

⚡ RATIO & PRINCIPLE EVOLVED: (i) The rule of **strict liability** applies in India to an undertaking carrying on an activity involving a **hazardous or risky exposure to human life** (here, the supply of electricity); the undertaking is liable for injury **irrespective of negligence or carelessness**. (ii) The exception of **"act of a stranger"** is **not** available where the act **ought to have been reasonably anticipated** or its **consequences prevented** — those who manage dangerous commodities (electricity) have an **extra duty** to prevent such mishaps. (iii) The Board was therefore liable to compensate the widow and son of the electrocuted workman. This case is the leading modern Indian application of the rule in *Rylands v. Fletcher* and of the limitation on the "act of stranger" exception.

### 36. The Madras Railway Co. v. The Zemindar of Carvatenagarum

LR (1874) 1 IA 364 (PC)

FACTS The **Zemindar** (landowner) of Karvetinagaram had large **irrigation tanks** in which water was stored. This system of tanks was followed throughout India, particularly in hilly districts, as it was **lawful and governed by custom and usage** — the water stored in the tanks was the **primary and only source of living and farming** for the ryots (farmers) living in those areas. On one such occasion, the **bulky water stored in the tanks burst and escaped**, damaging the plaintiff-appellant's property and **destroying three bridges of a railway**. The Railway Company brought a suit against the Zemindar for the recovery of damages. The defendant contended that the injury was not due to his negligence but was an effect of **vis major / act of God**, and that he should be absolved.

ISSUES (1) Is the storage and retention of water in the tanks a **natural or non-natural use** of land for the purposes of the rule in *Rylands v. Fletcher*? (2) Is the defendant (Zemindar) liable for the damage caused by the bursting of the tanks?

ARGUMENTS & REASONING BELOW **Appellant (Railway Co.):** The water escaped from the defendant's land and damaged the railway bridges; under *Rylands v. Fletcher* the defendant must keep the dangerous thing in at his peril and is liable for the consequences of its escape.

**Respondent (Zemindar):** The water was stored for the **benefit of the community** in a lawful manner; the injury was due to **vis major / act of God**; he took all reasonable precautions. The storage was not a non-natural use of the land.

The High Court reasoned on two grounds: (i) the water in the tanks was used by all the ryots of the area and was in the benefit of society, catering to the **"paramount collective interest"** — "the existence of these tanks is absolutely necessary, not only for the beneficial enjoyment of the defendant's land, but for the sustenance of thousands of his ryots"; so it would be inequitable to impose liability on the landowner. (ii) Particularly in Indian conditions, water is required to be stored in larger quantities; it is a **necessity**, so the exception of **non-natural use** applies; the notion of non-natural use varies from place to place and situation to situation.

DECISION The court held that, here, the **exception to the rule of strict liability applies**, and the defendant (Zemindar) **could not be directed to pay compensation** to the Railway Company, because the water was stored for a **natural use / common benefit** (essential for the sustenance of thousands of ryots — the **paramount collective interest**), and the escape was by **vis major / act of God**. The appeal of the Railway Company was dismissed.

⚡ RATIO & PRINCIPLE EVOLVED: The rule in *Rylands v. Fletcher* is **not absolute**, and in India the **exceptions of "common benefit"/"natural use"** and **"act of God"** were applied. Where a dangerous thing (water) is stored for the **benefit of the community** — here large irrigation tanks essential for the sustenance of thousands of ryots and for the **paramount collective interest** — the storage is a **natural/necessary use**, not a non-natural use, and the owner is **not liable** for an escape due to *vis major* (an extraordinary act of nature) if he took reasonable precautions. **What is "natural" or "non-natural" use depends on the time, place and circumstances** — a use that is natural in one society (e.g., large-scale water storage in India) may be non-natural in another. This is a leading Indian authority illustrating the **qualification of the strict-liability rule by its exceptions** and the **application of the rule in India**.

## PYQ BANK // MODULE 06 Previous Year Examination Questions

**Q.01** [CLASSIC DU LONG QUESTION · 20 MARKS] State the essentials of the rule of strict liability as laid down in *Rylands v. Fletcher*. What are the exceptions to this rule? Give illustrations.

◈ Refer website for detailed notes — makelaweasy.in

**Q.02** [CLASSIC DU LONG QUESTION · 20 MARKS] Explain the rule of absolute liability laid down in *M.C. Mehta v. Union of India*. How does it differ from the rule of strict liability in *Rylands v. Fletcher*?

**Q.03** [CLASSIC DU LONG QUESTION · 20 MARKS] What is no-fault liability? Explain its rationale, and its statutory recognition under the Public Liability Insurance Act, 1991, and in hit-and-run cases under the Motor Vehicles Act, 1988.

**Q.04** [CLASSIC DU QUESTION · 20 MARKS] Explain the Bhopal Gas Leak Disaster and its contribution to the development of the rule of absolute liability in India.

**Q.05** [CLASSIC DU QUESTION · 20 MARKS] Discuss the application of the rule of strict liability in India with reference to *M.P. Electricity Board v. Shail Kumar* and *The Madras Railway Co. v. Zemindar of Carvatenagarum*.

MOD-07 // SOVEREIGNTY & ART. 300 PART A · LAW OF TORTS 04 CASE LAWS · 05 PYQs

# Module 07 — Vicarious Liability of the State & Constitutional Torts

**Scope:** (a) Meaning & basis of vicarious liability — position in England and India · (b) Government liability in torts — (1) constitutional provisions; (2) sovereign and non-sovereign functions · (c) Law Commission of India, "First Report on the Liability of the State in Tort" (May 1956) · (d) Violation of fundamental rights and sovereign immunity; concept of constitutional torts

## 07.01 Vicarious Liability — Meaning & Basis

The rule of **vicarious liability** imposes liability on **one person for the act done by another**. Normally, a person who has done the wrongful act should alone be made liable for the injurious consequences arising out of it; the principle of vicarious liability is an **exception** to this rule. The master (principal / employer) is made liable for the torts committed by the **servant (agent / employee)**.

> *"The rule of vicarious liability imposes liability on one person for the act done by another person. ... In order that the liability of a person for the act done by another person can arise it is necessary that there should be a certain kind of relationship between the two persons and the wrongful act done should be, in a certain way, connected with that relationship." — DU course notes*

### 1.1 The requisite relationship

Vicarious liability arises within certain recognised relationships between the parties:

- **Principal & Agent** — the principal is liable for torts committed by the agent within the scope of the agency.
- **Master & Servant** — the master is liable for torts committed by the servant **in the course of his employment**.
- **Partners** — partners are jointly and severally liable for torts committed by one partner in the ordinary course of the firm's business.

### 1.2 Reasons / basis for the rule

The rule is based on **public policy** and on the following reasons:

1. It is more reasonable that the **master** (who trusts and selects his servants, and benefits from their work) should suffer for their wrongs than the injured party.
2. No man shall be allowed to **take advantage of his own wrong**.
3. *Qui facit per alium facit per se* — **he who acts through another is deemed to act in person**.
4. *Respondeat superior* — **let the principal answer**.
5. The **employer is usually financially capable**; the servant is usually not — so the employer should bear the burden.
6. It is the **employer who has set the whole thing in motion** by employing the servant.

As Shaw CJ said in *Farwell v. Boston & Worcester Rly. Co.*: "This rule is obviously founded on the great principle of social duty, that every man in the management of his own affairs ... should so conduct them as not to injure another." The true basis is **public policy**.

**Note:** In **modern criminal law** the rule of vicarious liability is seldom applied — penal liabilities are not vicarious, except in very special circumstances and in some less serious forms. Vicarious liability is a principle of the **civil law of torts**.

### 1.3 Course of employment and State liability

For vicarious liability to attach, the wrongful act must be done by the servant **in the course of his employment** (i.e., within the scope of his authority). This is the key test. For the **State**, the same principle applies, but with the additional

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question (discussed in §3) of whether the act was done in the exercise of **sovereign** or **non-sovereign** functions — because the State alone may claim **sovereign immunity**.

## 07.02 Position in England — Common Law Immunity to the 1947 Act

At common law, the maxim *"The King can do no wrong"* barred tort actions against the Crown; the monarch could neither authorise nor be sued for a wrong, leaving injured citizens only the discretionary *petition of right* or a personal suit against the individual Crown servant. In *Adams v. Naylor* (1946), the House of Lords criticised this archaic immunity in modern industrial governance.

The **Crown Proceedings Act, 1947** abolished the feudal immunity and placed the Crown, as a general rule (**s. 2**), in the position of a **private person of full age and capacity** in respect of torts committed by its servants or agents, breaches of employer duties, and property occupation duties (retaining narrow exceptions for judicial acts, defence forces, and prerogative powers).

## 07.03 Position in India — Government Liability in Torts

*constitutional provisions and sovereign/non-sovereign functions.*

In India, there is **no statutory provision** (like the Crown Proceedings Act) regulating the liability of the State in tort. The liability of the Union and the States is instead determined by **Article 300** of the Constitution, read with the pre-Constitution law deriving from the **East India Company** and the **Secretary of State for India** (under ss. 65 of the Government of India Act 1858, 32 of the Act 1915, and 176 of the Act 1935).

### 3.1 Constitutional provisions — Article 300

**Article 300(1)** of the Constitution provides:

> *"The Government of India may sue or be sued by the name of the Union of India and the Government of a State may sue or be sued by the name of the State and may, subject to any provisions which may be made by Act of Parliament or of the Legislature of such State enacted by virtue of powers conferred by this Constitution, sue or be sued in relation to their respective affairs **in the like cases as the Dominion of India and the corresponding Provinces or the corresponding Indian States might have sued or been sued** if this Constitution had not been enacted."*

As *Vidhyawati* and *Kasturilal* held, Article 300 consists of **three parts**: (1) it provides the **form** and cause-title — the State may sue or be sued by the name of the State; (2) the State may sue or be sued in relation to its affairs in **like cases** as the corresponding Province or Indian State might have sued or been sued if the Constitution had not been enacted (i.e., we must ask: could such a suit have been brought against the corresponding Province/predecessor State before the Constitution?); and (3) this is **subject to any law** that Parliament or a State Legislature may make in this behalf.

Since **no such law** has been enacted by the legislature to regulate the State's tort liability, the question whether the State is liable is determined by reference to the **pre-Constitution law** — i.e., the law of the East India Company and the Secretary of State, as laid down in *P & O Steam Navigation Co. v. Secretary of State for India* (1861).

### 3.2 Sovereign and non-sovereign functions

The crucial distinction, laid down by **Chief Justice Peacock** in the *P & O* case (1861) and consistently followed, is between:

**(A) SOVEREIGN functions (acts of State)**

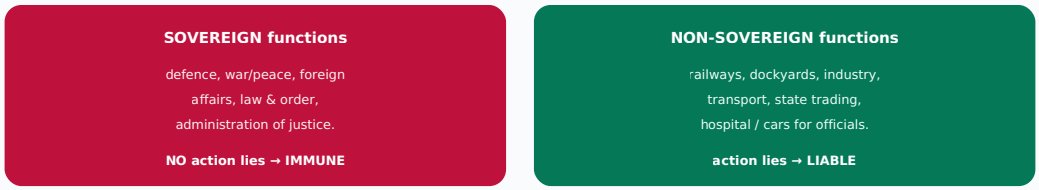
Acts done in the exercise of **powers which cannot lawfully be exercised except by a sovereign**, or by a private individual delegated by a sovereign to exercise them (e.g., defence of the country, making war or peace, foreign affairs, maintaining law and order, repressing crime, administering justice). For torts committed in the discharge of such functions, **no action will lie** — the State is immune.

**(B) NON-SOVEREIGN functions**

Acts done in the conduct of **undertakings which might be carried on by private individuals** without any delegation of sovereign power (e.g., running a railway, a dockyard, state trading, transport, industry, a hospital, providing cars for civil servants). For torts committed in such functions, **an action will lie** — the State is liable like any ordinary employer.

> *"There is a great and clear distinction between acts done in the exercise of what are usually termed sovereign powers, and acts done in the conduct of undertakings which might be carried on by private individuals without having such powers delegated to them. … Where an act is done, or a contract is entered into, in the exercise of powers usually called sovereign powers, by which we mean powers which cannot be lawfully exercised except by a sovereign, or private individual delegated by a sovereign to exercise them, **no action will lie**." — Chief Justice Peacock, P & O Steam Navigation Co. v. Secretary of State (1861)*

This distinction has been the source of much difficulty. **Vidhyawati** (Case 37) held a State liable for the negligent driving of a government jeep (a non-sovereign, civil activity); **Kasturilal** (Case 38) held the State **immuned** for the loss of gold seized under the Criminal Procedure Code (a sovereign function — the power to arrest, search and seize); and **Nagendra Rao** (Case 39) substantially **eroded** the sovereign-immunity doctrine, holding that the distinction has "largely disappeared" in a Welfare State and that the State is liable for the negligence of its officers in the discharge of statutory duties (except for truly "acts of State" such as war and foreign affairs). **Chandrima Das** (Case 40) held the Railways (a commercial undertaking) liable for the rape of a woman by its employees, applying the **constitutional tort** / public-law remedy.




The sovereign/non-sovereign distinction (Peacock CJ, 1861).

**Modern position:** The Watertight compartmentalization of the State's functions as "sovereign" and "non-sovereign" has been **criticised** and substantially **abandoned** (Nagendra Rao). Barring functions such as the administration of justice, maintenance of law and order, and the repression of crime (the primary and inalienable functions of a constitutional government), **the State cannot claim immunity**. The most important modern development is the **constitutional tort** — where the State's officers violate a citizen's **fundamental right** (life & personal liberty, Article 21), the State is liable to pay compensation under public law (Article 32 / 226), **without** the defence of sovereign immunity.

### 3.3 The P & O case — the origin in India

The leading Indian authority is **Peninsular and Oriental Steam Navigation Co. v. Secretary of State for India** (1861) (5 Bom. HCR App. A. p.1, pronounced by **Chief Justice Peacock** of the Supreme Court at Calcutta). A servant of the plaintiff company was proceeding along a highway in Calcutta; the defendants' servants, carrying an iron funnel from the government dockyard at Kidderpore, negligently caused the funnel to frighten the plaintiff's horse, which was injured. The court held the Secretary of State **liable**, because the **maintenance of the dockyard** was a **non-sovereign** function — and laid down the classic sovereign/non-sovereign distinction quoted above. This was the first case in which the liability of the State in tort was authoritatively established in India, and it is the foundation on which *Vidhyawati* and *Kasturilal* rest.

## 07.04 Law Commission of India — First Report on the Liability of the State in Tort (May 1956)

The **Law Commission of India**, in its **First Report on the Liability of the State in Tort (May 1956)**, examined the unsatisfactory state of the law on the Government's liability in tort and made recommendations for reform, with a view to placing the State on the same footing as an **ordinary employer**.

**Key recommendations / points of the Report:**

- It reviewed the position in India in the light of the **English Crown Proceedings Act, 1947**, and the pre-Constitution case law (the *P & O* case, *Hari Bhanji*, *Nobin Chander Dey*, *Shivabhajan Durgaprasad*), and recommended that India should adopt a statutory framework on the same lines as the English Act.
- It recommended that the **State should be made liable in tort** for the wrongful acts of its servants done **in the course of their employment**, in the same manner as a private employer, **subject to certain exceptions**.
- The proposed exceptions to State liability were narrowly confined — broadly, liability should not attach for acts done in the exercise of **sovereign** powers (e.g., acts of war, foreign relations, and the like), but **not** for ordinary torts committed in the discharge of statutory or administrative duties.
- It emphasised that the victim should **not be left without a remedy** merely because the wrongdoer was a public servant, and that the State's resources make it best able to bear the burden.

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**Why the Report matters:** The Law Commission's recommendations still await full legislative implementation — the Government has **not yet enacted** a comprehensive law on the State's liability in tort. Consequently, **Article 300** and the **pre-Constitution case law** (the sovereign/non-sovereign distinction) continue to govern. This gap is precisely what the Supreme Court has sought to remedy by developing **constitutional torts** (see §5) — where, on the violation of fundamental rights, the State is made liable without the defence of sovereign immunity. In *Kasturilal*, the Court itself said: "We have been disturbed by the thought that a citizen ... has to be told ... that he can make no claim against the State. That ... is not a very satisfactory position in law. The remedy to cure this position, however, lies in the hands of the Legislature."

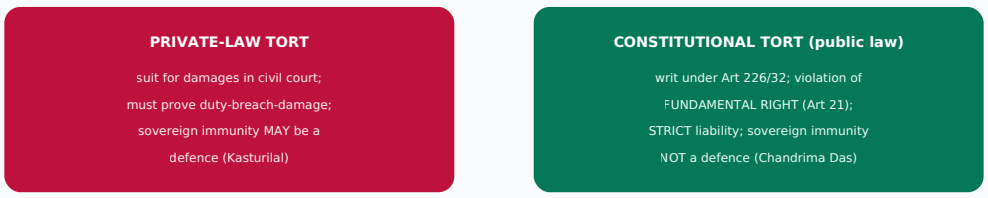
## 07.05 Violation of Fundamental Rights, Sovereign Immunity & Constitutional Torts

The most important modern development is the concept of the **constitutional tort** — where public officials, acting under the colour of authority, violate a citizen's **fundamental rights** (especially the right to **life and personal liberty** under **Article 21**), the State is liable to pay **compensation under public law**, and the defence of **sovereign immunity is not available**.

> *"Award of compensation in a proceeding under Article 32 by this Court or by the High Court under Article 226 of the Constitution is a remedy available in **public law**, based on **strict liability for contravention of fundamental rights**, to which the principle of **sovereign immunity does not apply**, even though it may be available as a defence in private law in an action based on tort." — **J.S. Verma J.**, Nilabati Behera v. State of Orissa (quoted in Nagendra Rao)*

**Key principles:**

- **Public law remedy in tort:** The Supreme Court (Article 32) and the High Courts (Article 226) may award compensation for violation of fundamental rights by public officials, in **public-law** proceedings, without the need for a separate civil suit. This began with **Rudul Sah v. State of Bihar** (1983) (illegal detention) and has been applied in *Nilabati Behera* (death in police custody), *Bhim Singh*, and others.
- **Sovereign immunity is not a defence:** Where a fundamental right (Article 21 — life and personal liberty) is violated by the State or its officers, the State is liable to compensate; the defence of sovereign immunity **does not apply**. This is a "strict liability" in public law.
- **Rape as a violation of Article 21:** In *Bodhisattwa Gautam v. Subhra Chakraborty*, the Supreme Court held that **rape** is an offence violative of the fundamental right to life and human dignity under Article 21. In *Chandrima Das* (Case 40), this was applied to award compensation (Rs. 10 lakh) to a woman gang-raped by railway employees, the State being held vicariously liable.
- **Availability to non-citizens:** The right to life and personal liberty (Articles 20, 21, 22) is available to **"persons"**, not merely **"citizens"**, and therefore to foreign nationals present in India (per *Anwar v. State of J&K*). In *Chandrima Das*, the victim was a Bangladeshi national, yet she was entitled to the protection of her life (Article 21).
- **Constitutional tort vs private-law tort:** A citizen may, in addition to a public-law claim, file a suit for damages under the **private law of torts**; but where public functionaries are involved and the violation is of fundamental rights, the **public-law remedy is also available**, and is not barred merely because a suit in tort lies.
- **Public-interest litigation (locus standi):** The **scope of standing** is relaxed for public-law remedies — a petition may be filed by a public-spirited person (like an advocate) for the enforcement of the rights of victims, and the courts have upheld such writ petitions (*Chandrima Das*: **Mrs. Chandrima Das**, a practising advocate of the Calcutta High Court, could validly file; the petition was in substance a **public-interest** petition).




The constitutional tort remedy: compensation for violation of fundamental rights without sovereign immunity.

## JUDICIAL DOSSIERS // 04 CASES Prescribed Landmark Case Laws — Detailed Analysis

### 37. State of Rajasthan v. Vidhyawati

AIR 1962 SC 933 · (1962) Supp 2 SCR 989 (SC)

**FACTS** The appellant was the **State of Rajasthan**. One **Lokumal** was a **temporary employee** of the State as a **motor driver (on probation)**. In February 1952 he was employed as the driver of a **government jeep car** (No. RUM 49) under the Collector of Udaipur. The car had been sent to a workshop for repairs. After repairs, on the evening of 11 February 1952, while driving the car back along a public road, the driver **knocked down one Jagdishlal**, who was walking on the footpath in Udaipur city. Jagdishlal suffered multiple injuries, including fractures of the skull and backbone, and died three days later in hospital. His widow and a minor 3-year-old daughter sued the driver and the State of Rajasthan for damages (Rs. 25,000). The trial court dismissed the claim against the State; the High Court of Rajasthan reversed and allowed **Rs. 15,000** against the State. The State appealed to the Supreme Court.

**ISSUES** (1) Under Article 300 of the Constitution, is the State of Rajasthan liable for the tortious act of its employee? (2) Was the jeep car, which was being driven rashly and negligently, being used **"in the exercise of sovereign powers"** so that the State would be immune?

**ARGUMENTS** **State (appellant):** (i) Under Article 300, the State was not liable, since the corresponding Indian State (Udaipur) would not have been liable before the Constitution; and (ii) the jeep car was being maintained **"in the exercise of sovereign powers"** (it was for the Collector's use in his official duties), and not as part of any commercial activity — so the State is immune.

**Respondents (widow & daughter):** The tortious act was committed by the driver in circumstances **wholly dissociated from the exercise of sovereign powers** — the car was being taken from the repair shop to the Collector's residence, a purely civil/administrative activity. The State should be liable like any ordinary employer. The High Court took the correct view.

**DECISION** The **Supreme Court** (Sinha CJ) **dismissed** the appeal and held the State liable, affirming the High Court.

> *"The car was being used for the use of the Collector in the discharge of his official duties; but that circumstance alone was not sufficient to take the case out of the category of cases where vicarious liability of the employer could arise, even though the car was not being used at the time of the occurrence for any purposes of the State." (endorsing the High Court's view)*

> *"Viewing the case from the point of view of first principles, there should be no difficulty in holding that the State should be **as much liable for tort in respect of a tortious act committed by its servant within the scope of his employment** and functioning as such, as any other employer."*

> *"The immunity of the Crown in the United Kingdom was based on the old feudalistic notions of justice, namely, that the King was incapable of doing a wrong ... In India, ever since the time of the East India Company, the sovereign has been **held liable to be sued in tort or in contract**, and the common-law immunity never operated in India. Now that we have, by our Constitution, established a Republican form of Government, and one of the objectives is to establish a Socialistic State with its varied industrial and other activities, employing a large army of servants, **there is no justification, in principle or in public interest, that the State should not be held liable vicariously for the tortious act of its servant.**"*

> *"Hence the very **citadel of the absolute rule of immunity of the sovereign has now been blown up.**"*

On Article 300, the Court held that it consists of three parts (form/style of suit; "like cases" — i.e., could the corresponding Indian State have been sued before the Constitution; and subject to legislation). Since India's pre-Constitution law (from the East India Company, via s. 65 of the Government of India Act 1858) made the sovereign liable in tort, and no exonerating rule had been shown for the Rajasthan Union, the State was liable. The driver was employed on a task (driving a car for a civil servant) that **cannot be said to be referable to sovereign or governmental powers**.

⚡ **RATIO & PRINCIPLE EVOLVED:** The **State is vicariously liable** for the tortious acts of its servants committed **within the scope of their employment**, in the same manner as any ordinary employer. The **doctrine of sovereign immunity** has **no application** where a public servant is employed on a task or undertaking that is **not referable to the exercise of sovereign (or delegated sovereign) power** — e.g., driving a car for the use of a civil servant. The driving of a jeep car for a civil servant's use is **not** a sovereign function. Article 300 continues the pre-Constitution position that the State is liable in tort in like cases; and the Crown's immunity has been "blown up." This was the first Constitution Bench ruling to affirm State liability for non-sovereign (civil) activities.

### 38. Kasturilal Ralia Ram Jain v. State of U.P.

AIR 1965 SC 1039 · (1965) 1 SCR 375 (SC)

**FACTS** The appellant, a firm dealing in bullion and goods at Amritsar, had one partner **Ralia Ram**. On the midnight of **20 September 1947** he arrived at Meerut by the Frontier Mail with the object of selling gold, silver and other goods. While passing through Chaupla Bazar, he was **taken into custody by three police constables** on the suspicion of

possessing stolen property. He was searched and taken to the police station, where his belongings — **gold (103 tolas 6 mashas 1 ratti) and silver (2 maunds 6½ seers)** — were seized and kept in police custody. He was released on bail the next day, and the silver was returned to him. He made repeated demands for the return of the **gold**, which had been kept in the police **Malkhana** under the charge of Head Constable **Mohd. Amir**. Mohd. Amir **misappropriated** the gold and fled to Pakistan on 17 October 1947. Ralia Ram sued the State of U.P. for the return of the gold or, in the alternative, its value (about Rs. 11,075 as the price of the gold, plus interest). The trial court found negligence against the police officers and passed a decree for Rs. 11,430-10-0. The Allahabad High Court reversed; the appellant appealed to the Supreme Court.

**ISSUES** (1) Were the police officers negligent in dealing with the seized property? (2) Is the State of U.P. liable to compensate the appellant for the loss caused by the negligence of police officers, or is it **immune** because the police were acting in the exercise of **sovereign powers**?

**ARGUMENTS** **Appellant:** The police officers were grossly negligent — despite regulation 166 requiring valuable property (gold) to be kept in a box under lock and key in the Treasury, it was not done; no list was made; the gold was kept in the Malkhana and misappropriated. Once negligence of the State's servants is established, the State is vicariously liable, following *Vidhyawati*.

**State of U.P. (respondent):** The gold was misappropriated by Head Constable Mohd. Amir (a felonious, unauthorised act); and in any event, the police officers were acting in the discharge of **statutory functions** (arrest under s. 54(1)(iv), search under s. 51, seizure under s. 550 of the CrPC), which are referable to the **sovereign power** of the State — so the State is **immune**. It relied on *Vidhyawati*, but distinguished it on the facts.

**DECISION** The **Supreme Court** (Gajendragadkar CJ) held that, although the police officers were undoubtedly negligent, the **State was not liable**, because the acts were done in the exercise of **sovereign power**. The appeal was dismissed (parties to bear their own costs).

> *"...it is clear that this case recognises a material distinction between acts committed by the servants employed by the State where such acts are referable to the exercise of **sovereign powers** delegated to public servants, and acts committed by public servants which are not referable to the delegation of any sovereign powers. ... The question to ask is: was the tortious act committed by the public servant in discharge of statutory functions which are referable to, and ultimately based on, the **delegation of the sovereign powers of the State** to such public servant? **If the answer is in the affirmative, the action for damages ... will not lie.** On the other hand, if the tortious act has been committed by a public servant in discharge of duties assigned to him not by virtue of the delegation of any sovereign power, an action for damages would lie."*

> *"The power to arrest a person, to search him, and to seize property found with him, are powers conferred on the specified officers by statute and in the last analysis, they are powers which can be properly characterised as **sovereign powers**; and so ... the claim cannot be sustained."*

The Court also distinguished *Vidhyawati*: there the driving of a jeep for the Collector's use was an employment **not connected in any manner with the sovereign power of the State**, whereas here the police were discharging functions directly referable to delegated sovereign power. It expressly noted that the area of employment referable to sovereign power must be **strictly determined** before upholding a plea of immunity. It also observed that the state of affairs (citizens without a remedy) was unsatisfactory and urged the **Legislature** to enact a law on the lines of the English Crown Proceedings Act, 1947.

⚡ **RATIO & PRINCIPLE EVOLVED:** The **sovereign-immunity doctrine** applies in India: where a tortious act is committed by a public servant in the discharge of **statutory functions referable to the delegation of the sovereign powers of the State** (e.g., the powers to arrest, search and seize under the Criminal Procedure Code), the **State is immune** from a claim for damages. But the immunity is **strictly confined** to such functions; in relation to **non-sovereign** activities (as in *Vidhyawati*), the State is liable like an ordinary employer. The test: is the act **referable to the sovereign power** delegated to the public servant? This case is the classical authority for **sovereign immunity**, and stands in contrast to *Vidhyawati* — but it also laid the seeds of its own erosion, by urging legislative reform and by insisting that the area of immunity must be strictly limited.

### 39. N. Nagendra Rao & Co. v. State of A.P.

AIR 1994 SC 2663 · (1994) 6 SCC 205 (SC)

**FACTS** The appellant carried on business in fertiliser and foodgrains under a licence. On **11 August 1975**, the Police Inspector (Vigilance Cell) visited its premises and **seized huge stocks of fertilisers, foodgrains and non-essential goods**. On 31 August 1975 the District Revenue Officer (DRO), in the exercise of powers under **s. 6-A of the Essential Commodities Act, 1955**, directed the fertiliser to be kept in the custody of the Assistant Agricultural Officer (AAO) for distribution, and the foodgrains and non-essential goods in the custody of the Tehsildar for immediate disposal. The **AAO took no steps to dispose of the fertiliser**. The appellant repeatedly warned (17 & 21 September 1975; 11 February 1976) that the fertiliser would deteriorate and become useless. **No order was passed and no action was taken.** On 29 June 1976 the s. 6-A proceedings were decided: part of the foodgrain was confiscated, and part of the stock (fertiliser) was **released** in favour of the appellant. Despite the Collector's order and the appellate order, the AAO did

**not** release the stock. In the last week of March 1977, the AAO issued a notice to the appellant to take delivery — but the appellant found that the stock had been **spoilt both in quality and quantity**. The appellant demanded compensation for the value of the released stock; when it got no response, it filed a suit, which the trial court decreed for **Rs. 1,06,125.72** with interest. The High Court of Andhra Pradesh reversed, relying on the **sovereign immunity** of the State (per *Kasturilal*). The appellant appealed to the Supreme Court.

ISSUES (1) Does seizure of goods in the exercise of statutory powers under the Essential Commodities Act completely immunise the State from liability for loss or damage suffered by the owner? (2) Does the confiscation of part of the goods absolve the State from any claim for the loss/damage suffered by the owner for the goods which were ordered to be released/returned? (3) Is the State vicariously liable for the negligence of its officers in the discharge of their statutory duties, or is it protected by sovereign immunity?

ARGUMENTS **Appellant:** The State held the seized goods as **custodia legis** (custody of the law / bailee) and had a statutory duty to maintain and dispose of them; the officers' gross negligence (non-disposal, deterioration) caused the loss; the State is vicariously liable. The doctrine of sovereign immunity cannot be pleaded for negligence in the discharge of statutory duties.

**State of A.P. (respondent):** The goods were seized in the exercise of statutory power for violation of the Control Orders (which was found valid, at least for part); the seizure was in the exercise of **sovereign** power, so the State is immune (*Kasturilal*); and since part was confiscated, the owner had no right to claim the value of the remainder.

DECISION The **Supreme Court** (R.M. Sahai J.) **allowed** the appeal and held the State **vicariously liable**, substantially **eroding** the sovereign-immunity doctrine.

> *"Since 1965 when this decision [Kasturilal] was rendered the law on vicarious liability has marched ahead. ... Such infringements [of constitutional guarantees] have been held to be wrong in public law which do not brook any barrier and the State has been held liable to compensate the victims."*

> *"Sovereign immunity as a defence was, thus, never available where the State was involved in commercial or private undertaking nor it is available where its officers are guilty of interfering with life and liberty of a citizen not warranted by law. In both such infringements the State is vicariously liable and bound, constitutionally, legally and morally, to compensate and indemnify the wronged person."*

> *"In the modern sense the distinction between sovereign or non-sovereign power thus **does not exist**. It all depends on the nature of power and the manner of its exercise. ... Any watertight compartmentalization of the functions of the State as 'sovereign and non-sovereign' or 'governmental and non-governmental' is not sound. It is contrary to modern jurisprudential thinking."*

> *"Therefore, barring functions such as **administration of justice, maintenance of law and order and repression of crime etc.** which are among the primary and inalienable functions of a constitutional Government, the **State cannot claim any immunity.**"*

> *"Ratio of Kasturi Lal is available to those **rare and limited cases** where the statutory authority acts as a delegate of such function for which it cannot be sued in court of law." (e.g., a search/seizure under the CrPC, an inalienable function).*

Applying these principles, the Court held that the power to regulate and control essential commodities — and to inspect, search and seize property to carry out that object — is **not** a sovereign power for negligent exercise of which the State can claim immunity. The officers were negligent; the State held the goods as a **bailee** and could not return them; the owner was entitled to the value of the goods with interest. The trial court's decree was restored.

⚡ RATIO & PRINCIPLE EVOLVED: The doctrine of **sovereign immunity has been substantially whittled down.** In a **Welfare State**, the watertight distinction between sovereign and non-sovereign functions has **largely disappeared**; the State is **vicariously liable** for the negligence of its officers in the discharge of their **statutory duties** (e.g., mishandling of seized goods under the Essential Commodities Act), and can claim immunity only for the truly **primary and inalienable functions** of a constitutional government (administration of justice, maintenance of law and order, repression of crime) — and even then subject to the constitutional-tort exception where fundamental rights are violated. Where the goods are seized and later ordered to be returned but are lost/deteriorated, the State (as a bailee/ custodia legis) is liable for their value. This case is the bridge from *Kasturilal* (immunity) to *Chandrima Das* (State liability), and lays the groundwork for the **constitutional tort** doctrine.

### 40. Chairman, Railway Board v. Chandrima Das

(2000) 2 SCC 465 · (2002) 2 SCC 465 (SC)

FACTS Mrs. **Chandrima Das**, a practising advocate of the Calcutta High Court, filed a petition under **Article 226** of the Constitution against the Chairman, Railway Board, claiming compensation for the victim, **Smt. Hanuffa Khatoon**, a **Bangladeshi national** who was **gang-raped** by several persons, **including employees of the Railways**, in a room at **Yatri Niwas at Howrah Station** of the Eastern Railway (GRPS Case No. 19 of 1998, registered on 27 February 1998). She also claimed other reliefs, including a direction to the respondents to eradicate anti-social and criminal activities at Howrah Railway Station. The High Court awarded **Rs. 10 lakh** as compensation, holding that the rape was committed

at a building (Rail Yatri Niwas) belonging to the Railways and was perpetrated by its employees. The Railways/Union of India appealed, contending (i) that no relief could be granted to a foreign national; (ii) that the matter lay in **private law**, not public law; (iii) that an advocate with no connection to the victim had **no locus standi**; and (iv) that the Railways could not be held **vicariously liable** for the criminal act of rape.

ISSUES (1) Is a writ petition under Article 226 maintainable for the award of compensation in a case of rape by public employees, or must the victim sue in private law? (2) Does Mrs. Chandrima Das have locus standi to file the petition? (3) Can a foreign national claim the protection of fundamental rights (Article 21)? (4) Can the Railways/Union of India be held **vicariously liable** for the rape committed by its employees?

ARGUMENTS **Appellants (Railways/Union):** (i) No relief under public law was available to a foreign national, since fundamental rights in Part III are available only to citizens; (ii) the remedy lay in private law (a suit for damages), not a writ under Article 226; (iii) Mrs. Chandrima Das, not being connected with the victim, lacked locus standi; and (iv) the commission of an offence (rape) is the individual act of the persons concerned — the Railways cannot be vicariously liable, and rape cannot be said to be an official act done in the course of employment.

**Respondent (Chandrima Das) / the Court's approach:** The petition was in substance a **public-interest** petition (it claimed compensation and also sought the eradication of criminal activities at the station). Public-law remedies (Article 226/32) extend to the realm of tort, and compensation has been awarded for tortious acts of government officers ever since *Rudul Sah*. **Rape** is an offence violative of the fundamental right to life and dignity (Art. 21) (per *Bodhisattwa Gautam*). The right to life and personal liberty (Arts. 20, 21, 22) is available to **"persons"**, not merely "citizens" (per *Anwar v. State of J&K*), and is in consonance with the Universal Declaration of Human Rights, 1948. The Railways run a **commercial activity**; the running of Yatri Niwas is part of that commercial activity, **not** the exercise of sovereign power — so *Kasturilal* cannot be pressed into aid, and the State is vicariously liable.

DECISION The **Supreme Court** (S. Saghir Ahmad J.) **dismissed** the appeal and affirmed the award of **Rs. 10 lakh** compensation. The Court directed that the amount be paid over to the **High Commissioner for Bangladesh in India** for payment to the victim.

> *"Where public functionaries are involved and the matter relates to the violation of fundamental rights or the enforcement of public duties, the remedy would still be available under the **public law** notwithstanding that a suit could be filed for damages under private law."*

> *"Rape is a crime not only against the person of a woman, it is a crime against the entire society. ... It is a crime against basic human rights and is **violative of the victim's most cherished right**, namely, right to life which includes right to live with human dignity contained in **Article 21**." (quoting Bodhisattwa Gautam)*

> *"The fundamental rights are available to all the 'citizens' of the country but a few of them are also available to 'persons'. ... Fundamental right guaranteed under Article 15 is restricted to 'citizens'; so also Article 16 ... and Article 19 ... are available only to 'citizens'. But rights under **Articles 20, 21 and 22 are available not only to 'citizens' but also to 'persons'** which would include 'non-citizens'." (citing Anwar v. State of J&K)*

> *"Smt. Hanuffa Khatoon ... nevertheless, was entitled to all the constitutional rights available to a citizen so far as 'right to life' was concerned. ... The state was under a **constitutional liability to pay compensation** to her."*

> *"The theory of sovereign power which was propounded in Kasturi Lal case has **yielded to new theories and is no longer available in a Welfare State**. ... Running of the Railways is a **commercial activity**. Establishing the Yatri Niwas ... to provide lodging and boarding facilities to passengers on payment of charges is a part of the commercial activity of the Union of India and **this activity cannot be equated with the exercise of sovereign power**."*

> *"If any of such employees commits an act of tort, the Union Government, of which they are the employees, can, subject to other legal requirements being satisfied, be held **vicariously liable** in damages to the person wronged by those employees. Kasturi Lal decision, therefore, cannot be pressed into aid."*

⚡ RATIO & PRINCIPLE EVOLVED: This is the leading authority on the **constitutional tort** and on State liability in a Welfare State. (i) **Constitutional remedy:** compensation can be awarded in **public-law** proceedings (Article 226/32) for violation of a fundamental right (here, the right to life & dignity under Article 21, violated by rape), even where a private-law suit for damages also lies. (ii) **Locus standi:** a public-spirited person may file a **public-interest** petition. (iii) **Availability to non-citizens:** the right to life and personal liberty (Arts. 20, 21, 22) is available to "persons," including foreign nationals. (iv) **State vicarious liability & abrogation of sovereign immunity:** the sovereign-immunity doctrine **no longer applies in a Welfare State**; running the railways and establishing a Yatri Niwas is a **commercial (non-sovereign)** activity, and the Union of India is **vicariously liable** for the tort of rape committed by its employees. (v) The Court also recognised the **human-rights dimension** (Universal Declaration of Human Rights, 1948).

PYQ BANK // MODULE 07 **Previous Year Examination Questions**

**Q.01** [CLASSIC DU LONG QUESTION · 20 MARKS] Explain the meaning and basis of vicarious liability. What is the position in England and India regarding the vicarious liability of the State?

◈ Refer website for detailed notes — makelaweasy.in

**Q.02** [CLASSIC DU LONG QUESTION · 20 MARKS] Discuss the distinction between sovereign and non-sovereign functions of the State with reference to *State of Rajasthan v. Vidhyawati* and *Kasturilal Ralia Ram Jain v. State of U.P.*

**Q.03** [CLASSIC DU LONG QUESTION · 20 MARKS] What is a "constitutional tort"? Explain the concept of sovereign immunity in relation to the violation of fundamental rights, with reference to *N. Nagendra Rao* and *Chairman, Railway Board v. Chandrima Das*.

**Q.04** [CLASSIC DU QUESTION · 20 MARKS] Examine the recommendations of the Law Commission of India in its "First Report on the Liability of the State in Tort" (May 1956). To what extent have they been implemented?

**Q.05** [CLASSIC DU QUESTION · 20 MARKS] Can a foreign national claim compensation from the State for violation of fundamental rights? Discuss with reference to *Chairman, Railway Board v. Chandrima Das*.

MOD-08 // REPUTATIONAL TORTS PART A · LAW OF TORTS 04 CASE LAWS · 04 PYQs

# Module 08 — Defamation — Libel, Slander & Privileged Occasions

**Scope:** (a) Meaning — Libel and Slander · (b) Essential Conditions · (c) Defences — Justification by truth, fair and bonafide comments, privilege (absolute and qualified), consent and apology. Cases: 41. Prof. Imtiaz Ahmad v. Durdana Zamir (2009) 109 DRJ 357; 42. Tushar Kanti Ghosh v. Bina Bhowmick (1953) 57 CWN 378; 43. Rustom K. Karanjia v. K.M.D. Thackersey , AIR 1970 Bom. 424; 44. Melepurath Sankunni Ezhuthassan v. Thekittil Geopalankutty Nair (1986) 1 SCC 118.

## 08.01 Meaning of Defamation

The law recognises each person's right, during his lifetime, to the unimpairment of his **reputation** and good name. Reputation is not a man's own opinion of himself; it is the **opinion of others about him** — the esteem in which he is held by society. The law of defamation is based on the principle that reputation is a **valuable asset** deserving protection. A defamatory statement is one that tends to lower a person in the estimation of right-thinking members of society or to make them shun or avoid him.

> *"A man's reputation is his property, and if possible, more valuable than other property." — Dixon v. Holden (1869) 7 Eq. 488. Defamation is* ***injury to a person's reputation****. If a person injures the reputation of another he does so at his own risk.*

**Definition — "Defamation is the publication of a statement which tends to lower a person in the estimation of right thinking members of society generally or which tends to make them shun or avoid that person."** According to **Lord Halsbury**:

> *"A defamatory statement is a statement which, if published concerning a person, is calculated to lower him in the estimation of right thinking men or causes him to be shunned or to expose him to hatred or contempt or ridicule or injurious to him in his office, profession, business, calling or trade."*

Whether a statement is defamatory depends on how **right-thinking men of ordinary intelligence**, of average understanding, would take it. It is **no defence** that the statement was not intended or believed to be defamatory. As *Prof. Imtiaz Ahmad v. Durdana Zamir* (Case 41) reiterates, **injury to feelings alone is not enough**; the words must be offensive enough to lower the plaintiff's dignity in the eyes of others — mere insult or annoyance is not a cause of action.

**Distinguish — defamation is a** wrong to **reputation**, not to **feelings**. A statement is defamatory if it exposes the plaintiff to hatred, contempt, ridicule, fear, dislike or dis-esteem, or disparages him in his office, profession, calling, trade or business. The test is objective — the reaction of the **ordinary right-thinking reader/listener**.

## 08.02 Libel and Slander — English & Indian Law

Defamation takes two forms according to the **form** in which the defamatory statement is made:

- **Slander** — the publication of a defamatory statement in a **transient** form. Example: words **spoken**, or made by **gestures**.
- **Libel** — the publication of a defamatory statement in a **permanent** form. Example: **writing, printing, picture, effigy, statue**.

| — | SLANDER | LIBEL |
|---|---|---|
| 1. Form | Publication in a **transient** form (spoken words, gestures) | Publication in a **permanent** form (writing, printing, picture, statue) |
| 2. Addressed to | The **ear** | The **eye** |
| 3. In criminal law (England) | Generally **not** an offence | An **offence** (criminal libel) |
| 4. In tort law (England) | Actionable only on proof of **special damage**, except in certain cases | Always actionable **per se** — no proof of special damage needed |
| 5. In India (s.499 IPC) | **Also a criminal offence** | Also a criminal offence (no distinction) |

**Special cases — notes on form:**

- In a **film**, not only the photographic part but also the synchronized speech, if defamatory, is **libel** — *Youssoupoff v. M.G.M. Pictures Ltd.* (1934).
- Broadcasting words by **wireless telegraphy** is treated as publication in permanent form, and therefore **libel** (s.1, Defamation Act 1952, England).
- Matter recorded on a **gramophone disc** is in permanent form though addressed to the ear — **Winfield** regards it as slander, **Salmond** as libel. In India, under **s.499+500, IPC**, both words and signs/visible representations are included, and **libel and slander are both criminal**.

### 2.1 Importance of the distinction

1. **Criminal law:** Under English law, **slander is not a criminal offence**, but **libel is**. **In India there is no such distinction** — both libel and slander are offences under **s.499 IPC**.
2. **Tort law:** Under English law, **slander is actionable only on proof of special damage** (except in certain cases), while **libel is actionable per se**. The weight of Indian judicial opinion (*Parvathi v. Mannar*) **discards this distinction** and makes **both actionable per se**.

#### Circumstances where slander is actionable per se

Under English law, slander is actionable *per se* (without proof of special damage) where it amounts to:

- Imputation of a **criminal offence** to the plaintiff;
- Imputation of a **contagious or infectious disease**, which deters others from associating with the plaintiff;
- Imputation that a person is **incompetent, dishonest or unfit** regarding the office, profession, trade or business carried on by him;
- Imputation of **unchastity or adultery** to any woman or girl.

## 08.03 Essential Conditions of Defamation

The essentials of defamation are four:

1. The words (or other representation) must be **defamatory**;
2. They must **refer to the plaintiff**;
3. They must be **published** (made known to a third person); and
4. The words must have been published **maliciously** (malice in law).

by Ankur R. Upadhyay

### 3.1 The words must be defamatory

As noted above, the test is how **right-thinking men** of fair average intelligence would take the statement. It is no defence that the defendant did not **intend** to defame. A mere **hasty expression** spoken in anger, or **vulgar abuse** to which no hearer would attribute a defamatory character, is not actionable (*Parvathi v. Mannar*). Illustrations:

- **Mst. Ramdhara v. Mst. Phulwatibai** — the defendant imputed that the plaintiff was a "kept" woman. *Held:* not mere vulgar abuse but defamatory.
- **South Indian Rly. Co. v. Ramkrishna** — a railway guard told the plaintiff he was travelling on a wrong ticket, which proved to be false. *Held:* statement made **bona fide**; not defamatory.
- **Capital & County Bank v. Henty & Sons** — a circular stating the defendants would not accept cheques on the plaintiff bank, which caused a run on the bank. *Held:* not defamatory, because reasonable people could not take the statement to mean the bank had become insolvent (the supposed innuendo was not made out).

### 3.2 Innuendo — the latent or secondary meaning

Sometimes a statement appears innocent on its face but, because of some **latent or secondary meaning**, it is defamatory. This is an **innuendo**. The plaintiff may sue, but **must prove the latent/secondary meaning**. Even a commendatory-sounding statement may be defamatory (e.g., saying a lady has given birth to a child is defamatory if she is unmarried). Where the words are not defamatory in their ordinary meaning and the plaintiff pleads an innuendo, the plaintiff **must lead evidence** that the words were understood by the readers, with knowledge of special facts, in the defamatory sense (*Prof. Imtiaz Ahmad*).

- **Cassidy v. Daily Mirror Newspapers Ltd.** — a newspaper published a photograph of a married man with another lady, captioned as announcing their engagement. *Held (CA):* the innuendo (that the man was not really married to his wife and she lived with him in immoral cohabitation) was established through the evidence of friends who formed a bad impression; the defendant's **innocence and lack of intention were ineffectual defences**.
- **Morrison v. Ritchie & Co.** — defendants in good faith published that the plaintiff had given birth to twins, though she had married only two months earlier. *Held:* they were liable despite ignorance.

**Intention to defame is NOT necessary.** When the words are defamatory in the eyes of the persons to whom they are published, there is defamation even though the maker believed them innocent. It is immaterial that the defendant was unaware of the facts because of which an otherwise innocent statement is defamatory.

**Indian position:** In **T.V. Ramasubha Iyer v. A.M.A. Mohindeen** (AIR 1972 Mad. 398), the Madras High Court held that the rule in *Hulton & Co. v. Jones* (holding innocent publishers liable) is against equity, justice and good conscience and is **not applicable in India**; it also noted that the rule was altered in England by the Defamation Act, 1952. *Held:* in India there is **no liability** for statements published innocently. (Under the English Defamation Act 1952, an innocent publisher may publish a **correction and apology**; if accepted, no action lies; if the plaintiff still sues, the defendant can escape if he proves the words were published innocently and the offer of amends was made promptly.)

**Defamation of a class:** When defamatory words refer to a **group or class**, no member can sue unless he proves the words could reasonably be taken to refer to him (*Knupffer v. London Express Newspaper Ltd.*). In *Dhirendra Nath Sen v. Rajat Kanti Bhadra* (AIR 1970 Cal. 216), where an editorial defamed the spiritual head of a community, an individual member could not sue. A **partnership firm** is not a legal entity — defamation of the firm is defamation of its partners, who sue individually (*P.K. Oswal Hosiery Mill v. Tilak Chand*). **Defamation of a deceased person** does not constitute a civil tort, though it may be actionable under criminal law.

### 3.3 Publication

**Publication** means making the defamatory matter known to some person other than the person defamed. **Communication to the plaintiff himself is not publication**, because defamation is injury to reputation, and reputation consists in the estimation in which others hold a man, not his own opinion of himself (*Nemichand v. Khemraj*).

- **Communication between husband and wife** — in law, husband and wife are one person, so communication of defamatory matter from one spouse to the other is **not publication** (*Wenhark v. Morgan*, and see *T.J. Ponner v. C. Verghese*).
- But communication of a matter defamatory of **one spouse to the other** (e.g., a letter defaming the wife sent to the husband) **is** sufficient publication as to the person defamed (*Theaker v. Richardson*).

#### Repetition of defamatory matter

Every **repetition** is a fresh publication giving rise to a fresh cause of action. It is not only the **originator** who is liable; the **editor, printer and publisher** of the defamatory matter are also liable, and their liability is **strict**. **Booksellers,**

**newspaper vendors and librarians**, however, can escape liability if they prove that they **did not know**, or **even with due diligence could not have known**, that what they were circulating was defamatory. As *Tushar Kanti Ghosh* (Case 42) shows, the **editor**, the **printer & publisher**, and the **owning company** may all be sued for the same publication.

### 3.4 Malice

In an action for defamation, the plaintiff formally states that the defendant published the matter **"maliciously"**. Here, **malice in law** means **without any lawful justification or excuse** — it is merely doing an act intentionally without lawful justification. Whenever a prima facie wrongful act is clear, **the law imputes malice** (this covers even honest mistake — see *Morrison v. Ritchie & Co.*, where an editor who honestly believed a news item was held liable for carelessness). Malice in law = **intention** (or recklessness); in its popular sense, malice = **spite, ill-will or bad motive**.

Malice in its popular sense (express malice) is particularly important in relation to **qualified privilege** and **fair comment**. **Proof of express malice defeats a plea of qualified privilege** as much as it defeats a plea of fair comment. Illustration: If A leaves B's service and C asks B about A's character, B's reply (even if defamatory) is protected by **qualified privilege**; but the privilege is **lost** if the writer is actuated by **spite or ill-will** (e.g., if B owed A money and resented A's demands, or if B sent the reply in an **unsealed postcard** instead of a sealed envelope — evidence of malice). Malice means **abusing the occasion for an indirect purpose**.

## 08.04 Defences to an Action for Defamation

The principal defences are: (1) Justification (truth); (2) Fair comment; (3) Privilege — absolute & qualified; (4) Consent; and (5) Apology. There are also others (e.g., if the statement was made on a privileged occasion, or is a fair report of proceedings, or the plaintiff's own conduct).

### 4.1 Justification or Truth

In a **civil action**, the **truth** of the defamatory matter is a **complete defence**. The reason is that "the law will not permit a man to recover damages in respect of an injury to a character which he either does not or ought not to possess." (Under **criminal law**, besides being true, the imputation must be shown to have been made **for the public good**.)

- The defence is available **even though the publication was made maliciously**.
- If the statement is **false**, it is **no justification** that the defendant honestly and on reasonable grounds believed it true.
- In **Radheyshyam Tiwari v. Eknath** (AIR 1985 Bom. 285), the editor/printer/publisher of a newspaper published a series of articles alleging a Block Development Officer had issued false certificates, accepted bribes and used illegal means. In the action for defamation the defendant could **not prove the facts true**, and was therefore held liable.
- In *Tushar Kanti Ghosh* (Case 42), the plea of **justification** (that the publication, e.g., "daylight robbery," was true) was also **negatived** — the facts could not be established.
- Note: statements of **fact** (unlike comments) can only be excused by **justification** or **privilege**.

### 4.2 Fair and Bonafide Comment

Fair comment is a defence available to authors, editors, critics, etc. It is **critical appreciation of existing facts**, **not invention of new facts**. The comment must be **fair** (i.e., without malice) and must relate to a **matter of public interest**. The administration of government departments, public companies, public institutions and local authorities, public meetings, pictures, theatres, public entertainment, text-books, novels, etc., are matters of public interest.

**Comment vs statement of fact:** "Comment" means an expression of **opinion** on certain facts, rather than a statement of fact. A fair comment is a defence by itself; but if it is a **statement of fact**, it can be excused only via **justification** or **privilege**.

- A says of a book by Z — "Z's book is foolish: Z must be a weak man." This is a **comment** based on the book, and A is protected if said in good faith.
- But A says — "I am not surprised that Z's book is foolish, for he is a weak man." This is **not a comment** but a **statement of fact**, and cannot be a fair comment.

**McQuire v. Western Morning News Co.** (1903): a critic's words ("A three-act musical absurdity ... nothing but nonsense ... the music is far from attractive") were held to be **criticism** (fair comment). But **criticism cannot be a cloak for mere invective** (sarcasm or satire); an art critic's opinion that "the world would be a happier place if [a dancer's] feet had ambitions other than dancing" amounted to **sarcasm**. **The comment cannot be fair when it is based on untrue facts** — in *Tushar Kanti Ghosh*, the article contained false statements of fact ("daylight robbery"), and therefore the defence of fair comment was defeated.

by Ankur R. Upadhyay

**Elements of fair comment:** (i) It must be a **comment** (opinion, not a statement of fact); (ii) it must be based on **facts truly stated**; (iii) the inference must be **reasonably warranted** by those facts and honestly drawn; (iv) it must be on a **matter of public interest**; and (v) it must be **without malice**. The **onus is on the defendant** to establish all these. As *Tushar Kanti Ghosh* holds: the defendant "must not only establish that the matter which he defends as comment is comment and is comment on a matter of public interest, but also that it is not founded on misstatements of facts in the so-called comment."

### 4.3 Privilege — Absolute and Qualified

There are occasions on which the law recognises that the **right of free speech outweighs the plaintiff's right to reputation**; such occasions are **privileged**, and a defamatory statement made on them is not actionable.

**ABSOLUTE PRIVILEGE**

It is an **absolute defence** — **no action lies** for the defamatory statement **even though it is false or has been made maliciously**. It is recognised in (i) **Parliamentary proceedings**; (ii) **Judicial proceedings**; and (iii) **State communications**.

In judicial proceedings there can be no action against **judges, counsel, witnesses or parties** for words (written or spoken) in the course of any proceedings before a court, even if made maliciously. **Exception:** a remark by a witness which is **wholly irrelevant** to the matter of enquiry is **not** privileged.

**QUALIFIED PRIVILEGE**

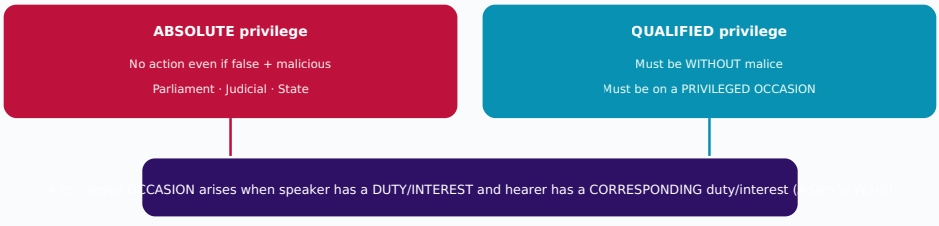
It differs from absolute privilege in two respects: (1) the statement must have been made **without malice**; and (2) there must be an **occasion** for making it. Generally it is available when the statement is made in the **discharge of a duty** or for the **protection of an interest**, or is a report of parliamentary, judicial or other public proceedings.

As *Toogood v. Spyring* holds: a person is protected when he fairly makes such statements in the discharge of some public or private duty (legal or moral), or in the conduct of his own affairs where his interest is concerned. The **occasion prevents the inference of malice**, but the privilege is **defeated by actual/express malice**.

**The reciprocity requirement:** A privileged occasion (for qualified privilege) is occasion where the person making the communication has an **interest or a duty** (legal, social or moral) and the person to whom it is made has a **corresponding interest or duty to receive it**. This reciprocity is essential (*Adam v. Ward*).

- A shopkeeper says to B, who manages his business — "Sell nothing to Z unless he pays you ready money, for I have no opinion of his honesty." A is protected if he made this imputation in **good faith for the protection of his own interest**.
- A **former employer** has a moral duty to state a servant's character to a prospective employer. But if the former employer, without enquiry, publishes the character with a motive to **harm** the servant, the defence of qualified privilege is **not** available.
- In the case of publication of defamatory matter in a **newspaper**, if a **duty to the public** exists — see **Rustom K. Karanjia v. K.M.D. Thackersey** (Case 43).
- Confidential relationships (husband & wife, father & child, guardian & ward, master & servant/agent, solicitor & client, partners, close friends) — e.g., a father may acquaint his daughter about the character of a man she is going to marry.

**Malice defeats qualified privilege & fair comment.** The plaintiff must prove **actual/express malice** (the actual wrong motive — spite, ill-will, prejudice, or knowledge that the statement was untrue, or reckless disregard whether true or false), as distinguished from **implied malice** which the law presumes simply from publication. In **Horrocks v. Lowe** (1964), the House of Lords held that however prejudiced or irrational the defendant may have been, if he **believed in the truth** of what he said on the privileged occasion, the defence of privilege succeeds. In *Rustom Karanjia*, *Blitz*'s editor was held to have acted in **express malice** (histle is both intrinsic — the irrelevant, grossly defamatory statements — and extrinsic — the 1947 episode when he was compelled to apologise).




Absolute vs Qualified privilege — and the reciprocity test for a privileged occasion.

### 4.4 Consent and Apology

**Consent (leave and licence):** If the publication of the defamatory matter is made with the **plaintiff's consent**, there is no cause of action — the plaintiff is said to have consented (or even invited) the publication, and a person cannot complain of a wrong to which he agreed. Consent may be express (e.g., the plaintiff requested or authorised the publication) or implied from the plaintiff's conduct. This is a complete defence.

**Apology:** An **apology** may (i) **mitigate damages** (obtained promptly), and (ii) under the **Defamation Act 1952** (England), an **offer of amends** combined with a correction and apology may be a defence to an action for **innocent** defamation — if the defendant proves the words were published **innocently** and the offer of amends was made as soon as he became aware of the defamatory nature of the words. An apology is **not**, however, a complete defence to publication made with malice or where the matter was knowingly false; it is relevant mainly to **mitigation of damages**.

**Note:** In *Rustom K. Karanjia* (Case 43), the third defendant (the printer) had **tendered an apology** early in the suit, and the plaintiff **withdrew** the suit against him — illustrating the practical effect of an apology in terminating the action or mitigating damages. (In *Tushar Kanti Ghosh*, the plaintiff recovered only Rs. 5,000 as the court held her object was to vindicate herself, not to make money.)

## JUDICIAL DOSSIERS // 04 CASES Prescribed Landmark Case Laws — Detailed Analysis

### 41. Prof. Imtiaz Ahmad v. Durdana Zamir (2009) 109 DRJ 357 (Delhi High Court)

FACTS The plaintiff, **Prof. Imtiaz Ahmad**, a distinguished **Professor of Sociology at JNU** (an internationally renowned academic, visiting professor in the USA, Canada, Italy and the UK, a familiar voice on AIR, BBC, NDTV, ETV, etc.), sued the defendant, **Durdana Zamir**, for **damages of Rs. 20 lakh** for defamation and for a **permanent injunction**. The defamation arose from a **complaint** filed by the defendant before the **Crime Against Women (CAW) Cell**. The complaint alleged, inter alia, that on the issue of dowry the husband's mother, sisters (Nands) and his aunt-in-law and **uncle-in-law, "Khaloo Imtiaz Ahmad who lives in JNU,"** raised considerable **noise ("Hangama")** and had considerable **influence ("dakhal")** in the matrimonial home; it sought help to prevent interference from the aunt and uncle living in JNU. Based on the complaint, an **FIR No. 611** was registered under **ss. 406, 498A & 34 IPC**, and the plaintiff had to obtain **anticipatory bail**. The plaintiff claimed he had been portrayed as a perpetrator of dowry demand, that the caste name **"Ansari"** had been deliberately added (since Ansaris belong to the *Julaha*/weaver community), and that his reputation was severely dented among his colleagues and in academic circles.

ISSUES (1) Does the plaint disclose a **cause of action** for defamation? (2) Whether the averments in the complaint to the CAW Cell, taken as true, were **defamatory** of the plaintiff (i.e., would lower him in the estimation of right-thinking members of society)? (3) Whether the mere mention of the caste name "Ansari" was per se defamatory?

ARGUMENTS **Plaintiff:** The statements in the complaint portrayed him as a perpetrator of dowry demand, lowered his image in the eyes of society, and the addition of the caste name "Ansari" was intended to stigmatise him; his international reputation in academic circles and on TV/radio suffered a severe dent.

**Defendant (under Order VII Rule 11 CPC):** The plaint disclosed **no cause of action** and was liable to be dismissed, because (a) the complaint was made to **lawful authorities** regarding a genuine grievance against in-laws, and the FIR was under investigation — no court had held the allegations false; (b) even taking the averments as true, **no case of defamation** was made out.

DECISION The **Delhi High Court** (Justice Shiv Narayan Dhingra) **allowed** the application and **dismissed the suit** as disclosing no cause of action.

> *"Under law of defamation, the test of defamatory nature of a statement is its tendency to incite an adverse opinion or feeling of other persons towards the Plaintiff. A statement is to be judged by the standard of the ordinary, right-thinking members of the society at the relevant time. ... It is not enough for a person to sue for words which merely injure his feeling or cause annoyance to him. Injury to feeling of a man cannot be made a basis for claiming damages on the ground of defamation. ... **Insult in itself is not a cause of action for damages on the ground of defamation.**"*

> *"Whenever a person makes a complaint against someone to the lawful authorities and in that complaint he makes imputations against the person complained of, it cannot be considered that the person has **publicized or publicly made defamatory averments** against a person. ... Unless and until a competent court holds that the complaint was false, no cause of action arises."*

The Court rejected the plea that merely mentioning the caste name "Ansari" was defamatory, observing that the Constitution does not recognise any caste as superior or inferior, and that the plaintiff's own caste-based notions were "painful." It also held that stating that a "Hangama" was created (where the plaintiff was admittedly present at the

marriage) and that the defendant sought protection against interference were **not** defamatory imputations; there was no evidence that anyone shunned, boycotted, or changed their opinion of the plaintiff.

⚡ RATIO & PRINCIPLE EVOLVED: (i) **Defamation is injury to reputation, not to feelings**; mere insult, annoyance or injury to feelings is not actionable — the words must prejudice the plaintiff's reputation and lower his dignity in the eyes of right-thinking members of society. (ii) The test is objective — the standard of an **ordinary, right-thinking person**; the plaintiff must show the statement led people to **shun, evaded or regard him with hatred, contempt, ridicule, fear, dislike or dis-esteem**, or disparaged him in his office/profession/calling/trade. (iii) **A complaint to a lawful authority is not a "publication"** in the defamatory sense; a defamation action against the complainant will lie only if and when a competent court holds the complaint to be **false** — otherwise no cause of action arises. (iv) Where the plaintiff pleads an **innuendo** (asking the court to read the words in a manner the plaintiff understands them), the **plaintiff must lead evidence** that the readers, with knowledge of special facts, understood the words in the defamatory sense.

### 42. Tushar Kanti Ghosh v. Bina Bhowmick

(1953) 57 CWN 378 (Calcutta High Court)

FACTS Two plaintiffs (Mrs. **Bina Bhowmick**, sued "for self and as President, Amrit Bazar Patrika Press Workers' Union," and **Tarak Nath Thakur**, sued "for self and as Secretary") brought a suit for damages against three defendants arising from an alleged **libel** published in the English daily **"Amrit Bazar Patrika"** of **18 September 1948**. Defendant No. 1 was **Tushar Kanti Ghosh** (the Editor), Defendant No. 2 **Nirmal Kanti Ghosh** (printer & publisher), and Defendant No. 3 the **Amrit Bazar Patrika Ltd.** (the owning company). The libellous matter was published under the headlines **"PATRIKA AND JUGANTAR COPIES LOOTED — HAZRA ROAD INCIDENT — Another Daylight Robbery by Discharged Employees,"** and stated, among other things, that "another daylight robbery was committed by **Mrs. Bina Bhowmik's Union members and their hirelings**," that the Union "was deliberately affiliated to the B.P.N.T.U.C as a subterfuge by some designing men," and that the strike being conducted under the plaintiff's guidance had "nothing to do with bona fide trade unionism." The plaintiff, in her personal capacity, sought damages and an injunction restraining further publication.

ISSUES (1) Were the words, on their **plain and ordinary meaning** (and/or by **innuendo**), defamatory of the plaintiff in her **personal capacity**? (2) Was the defence of **justification** made out? (3) Did the publication fall within the right of **fair comment**? (4) Was it protected by **qualified privilege**? (5) Was the publication actuated by **malice**?

ARGUMENTS **Plaintiff:** The article accused her, in her personal capacity, of trickery, coercion, disloyalty to trade-union principles and dishonest conduct — describing her Union as "Mrs. Bina Bhowmick's Union" whose members committed "daylight robbery" and who affiliated it to the B.P.N.T.U.C "as a subterfuge."

**Defendants (via Mr. Chaudhuri):** The words were not defamatory of the plaintiff personally; they constituted **fair comment** on a matter of public interest; and in any event they were protected by **qualified privilege** attaching to a newspaper's duty to publish information of public interest and the right to protect its own interest with its subscribers and advertisers.

DECISION The **Calcutta High Court dismissed the appeal** and affirmed the decree for the plaintiff — **Rs. 5,000** damages plus an injunction restraining further publication.

> *"...it is impossible to say that the publication in question is not defamatory of the plaintiff in the sense of aiming at her personally and containing statements to her discredit. The Union is referred to not as the Amrit Bazar Press Workers' Union but as **'Mrs. Bina Bhowmick's Union'** ... When the sentence proceeds to state that 'Mrs. Bina Bhowmick's Union members and their hirelings' committed 'another daylight robbery' ... no reader of ordinary intelligence would take it as leaving the plaintiff out of the charge."*

> *"Personal capacity of a person is not limited to his character as an individual in private life, but comprises also his personal conduct in relation to the affairs of associations or concerns with which he may be connected."*

> *"Allegations that the plaintiff, as the leader of her Union, has employed hirelings or has been concerned in the commission of daylight robberies or that she got her Union affiliated to the B.P.N.T.U.C as a subterfuge are **not comments, but statements of facts.**"*

> *"The right of fair comment is **not a special privilege of newspapers**, but is a right which every citizen or person has. ... The comment must be fair in the sense that it must be based on facts truly stated and must consist in an inference, reasonably warranted by such facts and honestly drawn."*

> *"It is quite clear that judged by that test, almost all the offending passages will be found to fall outside the privilege [of qualified privilege]. ... Nothing could justify the wholly irrelevant and grossly defamatory statements ... and no plea of qualified privilege is sustainable in respect of them."*

> *"...we are satisfied that the whole article [the learned Judge having found] that in publishing the impugned paragraphs, the defendants had been actuated by **malice**."*

The Court held: the words were defamatory of the plaintiff personally, both in their plain meaning and by the innuendos; **justification** failed; the statements of fact could not be **fair comment**; and although a **privileged occasion** had arguably arisen (common interest & protection of the defendants' own interest), the publication **exceeded the exigency** of the occasion and was actuated by **express malice**, so the qualified privilege was lost.

⚡ RATIO & PRINCIPLE EVOLVED: (i) **Words referring to a person's association** can defame that person personally; the personal capacity in which a person is defamed includes his personal conduct in relation to the affairs of associations he leads/controls. (ii) The **right of fair comment is not a special privilege of newspapers** — it belongs to every citizen, but it must be a **comment** based on **facts truly stated**, reasonably warranted and honestly drawn; statements of fact (e.g., "daylight robbery," "hirelings," "subterfuge") cannot be fair comment — they can only be excused by **justification**. (iii) **Qualified privilege** is limited to the requisites of the occasion and carries an obligation to be fair; it cannot extend to statements exceeding the exigency, nor justify a malicious statement. (iv) **Malice** (express, i.e., an indirect/wrong motive — spite, ill-will, or knowledge/reckless disregard of falsity) **defeats both fair comment and qualified privilege**. (v) The **onus of proving fair comment** is on the defendant, who must show the matter is comment, is on a matter of public interest, and is not founded on misstatements of fact.

### 43. Rustom K. Karanjia v. K.M.D. Thackersey

AIR 1970 Bom. 424 (Bombay High Court)

**FACTS** The plaintiff, **K.M.D. Thackersey**, was a prominent businessman and industrialist of Bombay — a partner in a firm of managing agents of four textile mills, a Director of the Bank of India and of several companies, the **Chairman of the Textile Control Board** (set up by the Government during the last World War), and the Chairman of the Indian Cotton Mills Federation. Defendant No. 1, **Rustom K. Karanjia**, was the **Editor of the English weekly "Blitz"** and accepted responsibility for a **grossly defamatory article** (written under the pen-name "Blitz's Racket-Buster") published in its issue of **24 September 1960**; Defendant No. 2 was the company owning the newspaper; Defendant No. 3 (the printer) **tendered an apology** and was withdrawn against; Defendant No. 4 (a joint tort-feasor) supplied the material for the article. The article attacked the **"House of Thackersey"**, alleging that the plaintiff (as the head of the business organisation) had built up, thanks to his official position as Chairman of the Textile Control Board, a vast empire of wealth by unlawful means — tax evasion on a colossal scale, financial jugglery, import-export rackets, customs and foreign-exchange violations — and that the investigations had been allowed to bog down because of the plaintiff's power and prestige. The plaintiff claimed **Rs. 3,00,000** as general damages and an injunction.

**ISSUES** (1) Were the defences of **justification** and **fair comment** made out? (2) Did the article enjoy **qualified privilege** — i.e., was it published on a privileged occasion? (3) Was the publication actuated by **express malice**? (4) Were the damages of Rs. 3,00,000 excessive?

**ARGUMENTS** **Plaintiff (through Mr. Mistry):** The article was grossly defamatory; no privileged occasion could be created by a person for himself merely to publish a defamatory statement he could not justify; a journalist has **no duty** to communicate the defamatory matter to the general public merely because it is of public interest — doing so without such a duty cannot be privileged. There was outward and intrinsic evidence of **malice**.

**Defendants (through Mr. Chari):** The article was not an attack on the plaintiff's personal/private character but on the business organization ("House of Thackersey") in the **public interest**; the plea of **qualified privilege** was raised — the defendants honestly and without any indirect/improper motive, and for the general welfare of society, published the article as it was their duty as journalists to do, believing the allegations to be true; the single allegations were merely incidental to that purpose. It was also argued that the damages were excessive.

**DECISION** The **Bombay High Court** (Palekar J.) **partially allowed** the appeal. It affirmed the trial court's finding that the three defences (justification, fair comment, qualified privilege) failed, and that the plaintiff had been grossly defamed; it **reduced the damages from Rs. 3,00,000 to Rs. 1,50,000**. (The appellants pressed only the plea of qualified privilege and the excessiveness of damages; the findings on justification and fair comment were not pursued.)

> *"The person or the newspaper who wants to communicate to the general public must also have a **duty to communicate**, and if no such duty, apart from the fact that the matter is one of public interest, can be spelt out in the particular circumstances of the case, the publication could not be said to be upon a privileged occasion."*

> *"...the journalist like any other citizen has the right to comment fairly and if necessary severely on a matter of public interest, provided the **allegations of facts he has made are accurate and truthful**, however defamatory they may be otherwise. ... Where the journalist himself makes an investigation he must make sure that all his facts are accurate and true, so that if challenged he would be able to prove the same. **We think public interests are better served that way.** ... In our opinion therefore the plea of qualified privilege put forward on behalf of the defendants fails."*

> *"Having, therefore, given our careful consideration to the article and the aspect of malice put before us ... we are satisfied that the whole article was conceived in **express malice** and therefore, **no qualified privilege can at all be claimed.**"*

The Court relied on the **1947 episode**: on 31 May 1947 the defendant had published a defamatory article (accusing the plaintiff of involvement in a black-market swoop), and after a criminal complaint by the plaintiff, the defendant **published an "explanation"** (which the plaintiff called an apology) expressing regret and withdrawing the allegations. The Court found the defendant had **nursed a grievance** over being compelled to apologise to a person whom he believed was a black-marketer, and that this memory kept the episode alive. Hence the whole article of 1960 was conceived in **express malice** — the motive was not merely public interest.

⚡ RATIO & PRINCIPLE EVOLVED: (i) **A newspaper does not enjoyed qualified privilege merely because the matter is of public interest.** For a publication to be on a **privileged occasion**, the publisher must have a **duty to communicate** the defamatory matter to the public, and the public a corresponding interest to receive it; where the material is gathered and published by the journalist himself, there is **no such duty**, and public interest alone is not enough. (ii) The Press Commission's report (1954) condemns **yellow journalism**, sensationalism, and malicious/irresponsible attacks even where the newspaper claims to be exposing evil; the journalist has the same right to fair comment as any citizen, but **must have his facts accurate and true**. (iii) **Malice** may be proved **intrinsically** (from irrelevant, grossly defamatory statements themselves) or **extrinsically** (from a previous dispute or prior defamatory episodes); proof of express malice defeats qualified privilege. (iv) In principle, a defence of **justification** and **fair comment** would require the facts to be substantiated. (This is the classic authority on **newspaper qualified privilege** and on media "public interest" defences.)

### 44. Melepurath Sankunni Ezhuthassan v. Thekittil Geopalankutty Nair

(1986) 1 SCC 118 · AIR 1986 SC 411 (Supreme Court)

FACTS The appellant, **Melepurath Sankunni Ezhuthassan**, filed a suit in the Court of the Subordinate Judge, **Ottappalam**, against the respondent, **Thekittil Geopalankutty Nair**, claiming **Rs. 5,500** as **damages for defamation**. The Trial Court **dismissed** the suit with costs. The appellant's first appeal to the **District Court of Palghat** was allowed, and the court decreed **Rs. 500** as damages with proportionate costs. The respondent then filed a **second appeal** to the High Court of Kerala, and the appellant filed **cross-objections**. The High Court **reversed** the District Court's decree and dismissed the appellant's cross-objections as also the **suit**, with no order as to costs throughout. The appellant obtained **special leave** and filed a civil appeal in the Supreme Court. During the pendency of the appeal, on **16 May 1983**, the appellant **died**, leaving surviving two grandsons and two grand-daughters. On **4 November 1985**, one grandson and one grand-daughter filed a civil miscellaneous petition to bring all four on record as legal representatives, and (as the application was time-barred) a further petition to condone the delay and set aside the abatement.

ISSUES (1) Whether the **death of the appellant** caused the **appeal to abate** — i.e., whether the right to sue for damages for defamation **survives** the death of the plaintiff (maxim *actio personalis moritur cum persona*)? (2) Whether the delay in filing the application for substitution was excusable, and whether the legal representatives were entitled to be brought on record? (3) The proper scope of **s.306, Indian Succession Act, 1925** and **Order XXII, Rules 1 & 11, CPC**.

ARGUMENTS **Appellant's legal representatives:** They sought to be brought on record as the appellant's heirs and to have the abatement set aside, so that the appeal could be prosecuted.

**Respondent:** In a suit for defamation the cause of action is **personal**; it **does not survive** the death of the plaintiff. Since the appellant (as plaintiff) had **lost** in the trial court and (in effect) the suit was dismissed by the High Court, the appeal sought to enforce the appellant's **right to sue**, which died with him — so the appeal abated, and no substitution was permissible.

DECISION The **Supreme Court** (Madon & Oza JJ.) **dismissed the appeal as having abated**, and dismissed the two civil miscellaneous petitions as not maintainable, with no order as to costs.

> *"...it is clear that a **cause of action for defamation does not survive** the death of the appellant." (reading s.306, Succession Act, with Order XXII Rules 1 & 11, CPC)*

> *"Where a suit for defamation is dismissed and the plaintiff has filed an appeal, what the appellant-plaintiff is seeking to enforce in the appeal is his **right to sue for damages for defamation** and as this right does not survive his death, his legal representative has **no right** to be brought on the record of the appeal in his place and stead if the appellant dies during the pendency of the appeal."*

> *"The position, however, is **different** where a suit for defamation has resulted in a **decree in favour of the plaintiff**, because in such a case the cause of action has **merged in the decree** and the decretal debt forms part of his estate, and the appeal from the decree by the defendant becomes a question of benefit or detriment to the estate of the plaintiff-respondent which his legal representative is entitled to uphold and defend ..."*

The Court traced the common-law maxim *actio personalis moritur cum persona* ("a personal action dies with the person") and the English Law Reform (Miscellaneous Provisions) Act 1934, under which all causes of action survive except those for **defamation** (and former actions for seduction). It held that s.306 of the Indian Succession Act excepts causes of action for defamation, assault or other personal injuries not causing death, from survival; and although s.306 speaks only of executors and administrators, the same position must prevail for other legal representatives. Since the High Court had dismissed the suit, the appellant in the appeal was seeking to enforce his right to sue for defamation — which did not survive his death — so the appeal abated automatically, and the legal representatives acquired no right to be substituted.

⚡ RATIO & PRINCIPLE EVOLVED: (i) The **right to sue for damages for defamation is personal and does not survive the plaintiff's death** — it abates under the maxim *actio personalis moritur cum persona* (s.306, Indian Succession Act, and Order XXII Rules 1, 3, 9(2) & 11, CPC). (ii) This is so whether the plaintiff dies during the suit, during an appeal he has filed after the suit was dismissed, or during an appeal (by special leave) where he had lost — because in all such cases he is enforcing his **right to sue** for defamation. (iii) **Exception:** where the suit has resulted in a **decree in favour of the plaintiff**, the cause of action **merges in the decree**; the decretal debt forms part of his estate, and the legal representative **is** entitled to be substituted to protect/defend that estate in an appeal by the defendant. (iv) The principle that defamation is a **personal wrong** having the special rule of **abatement on death** is the same reason that **defamation of a deceased person is not a civil tort** — only the living may be defamed, and family members/friends cannot sue for a defamation of the dead (unless the words also defame them).

## PYQ BANK // MODULE 08 Previous Year Examination Questions

**Q.01** [CLASSIC DU LONG QUESTION · 20 MARKS] Define defamation. Distinguish between libel and slander. What is the position in England and in India?

◈ Refer website for detailed notes — makelaweasy.in

**Q.02** [CLASSIC DU LONG QUESTION · 20 MARKS] What are the essential conditions of an action for defamation? Explain with case law.

**Q.03** [CLASSIC DU LONG QUESTION · 20 MARKS] Discuss the defence of "fair comment" and "privilege" with reference to *Tushar Kanti Ghosh v. Bina Bhowmick* and *Rustom K. Karanjia v. Thackersey*.

**Q.04** [CLASSIC DU QUESTION · 20 MARKS] Distinguish between "justification" and "fair comment" as defences. Can a newspaper claim protection merely because its publication is in the "public interest"?

MOD-09 // STATUTORY REDRESSAL PART B · CONSUMER PROTECTION 07 CASE LAWS · 04 PYQs

# Module 09 — Consumer Protection Laws — CPA 1986 & CPA 2019 Architecture

**Scope:** (a) Evolution of the Consumer Protection Movement; Aim & objectives of the Consumer Protection Act, 1986 · (b) The objectives & reasons for enactment of the Consumer Protection Act, 2019 · (c) New dimensions of the CPA, 2019 as compared to the CPA, 1986 (11 points) · (d) Cases 45–50.

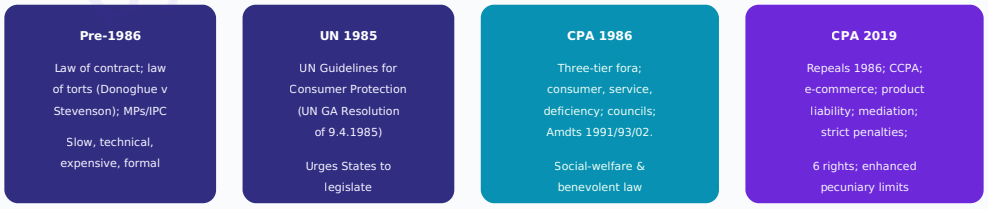
## 09.01 Evolution of the Consumer Protection Movement

The consumer is the **end-user** of goods and services and is the "centre of gravity of all business and industrial activity." In every society, he needs protection from the manufacturer, producer, supplier, wholesaler and retailer (*Morgan Stanley Mutual Fund v. Kartick Das*, quoted in *Laxmi Engineering*). The consumer's age-old problem has been **exploitation** — through defective goods, deficient services, spurious products, misleading advertisements, unreasonable prices and one-sided contracts.

**The rise of the consumer movement.** Historically, the consumer's protection lay in the **law of contract** and the **law of torts** (e.g., the *Donoghue v. Stevenson* neighbour principle). But these remedies were slow, technical, formal and expensive. In the twentieth century there arose a distinct **consumer movement** — a broad social, economic and legal movement to organise consumers and secure them **rights** and **redressal** against unfair trade practices. This was reinforced internationally by the **UN Guidelines for Consumer Protection (General Assembly Resolution, 9 April 1985)** (referred to by the Supreme Court in *IMA v. V.P. Shantha*), which urged States to legislate for consumer protection.

**India.** India's first and most important legislative response was the **Consumer Protection Act, 1986** (Act 68 of 1986). Its object, as set out in the long title and Statement of Objects and Reasons, was "**to provide for better protection of the interests of consumers**" and to establish **consumer councils and other authorities** for the settlement of consumers' disputes and for matters connected therewith. It was a landmark **social-welfare** and **consumer-oriented** piece of legislation, enacted broadly on the lines of the UN Guidelines. It has been called a **"benevolent piece of legislation intended to protect a large body of consumers from exploitation"** (per the Supreme Court in *J.J. Merchant*).

The 1986 Act provided the **three-tier** grievance-redressal machinery (**District Forum → State Commission → National Commission**), defined key expressions (consumer, service, defect, deficiency, unfair trade practice), and created **Consumer Protection Councils** at the Central and State levels. It was subsequently amended in 1991, 1993, 2002 (and further), and was finally **repealed and replaced by the Consumer Protection Act, 2019**.




The evolution of consumer protection (pre-1986 → UN Guidelines → CPA 1986 → CPA 2019).

## 09.02 Aim & Objectives of the Consumer Protection Act, 1986

The Consumer Protection Act, 1986 was enacted to **protect the interests of consumers** in a simple, speedy and inexpensive manner. The Supreme Court (in *Lucknow Development Authority*, *IMA v. V.P. Shantha*, *J.J. Merchant*) has held the Act to be a **social-welfare / benevolent** legislation and has repeatedly insisted that its provisions be construed **liberally**, in favour of the consumer.

**Objects of the 1986 Act:**

- To provide **better protection of the interests of consumers**; to protect the consumer against **unfair trade practices**, **restrictive trade practices**, defective goods and deficient services.
- To establish **Consumer Protection Councils** at the Central and State levels (to promote and protect the rights of consumers) and **Consumer Disputes Redressal Agencies** (District Forum, State Commission, National Commission).

- To provide a **simple, inexpensive and speedy remedy** (an "alternative forum") — so that a consumer need not go through the delay of a regular civil court.
- The remedy under the Act is **in addition to** (not in derogation of) any other remedy available under any other law (s.3).

**Widening the definitions.** As *Lucknow Development Authority* (1994) emphasised, the definitions of **'consumer'** (s.2(1)(d)) and **'service'** (s.2(1)(o)) were deliberately drawn wide: "*the entire purpose of widening the definitions is to include in it not only day-to-day buying of goods by a common man but even such activities which are otherwise not commercial but professional or service-oriented in nature.*" Housing construction, and services rendered by public/statutory authorities (e.g., development authorities), were held to be 'service'. In *IMA v. V.P. Shantha*, the Court held that medical services rendered for a fee are 'service' within the Act — even though medicine is a profession and not a "commercial enterprise."

**Three-tier redressal machinery under the 1986 Act (as amended in 2002): District Forum** (claims ≤ Rs. 20 lakh) → **State Commission** (Rs. 20 lakh – Rs. 1 crore) → **National Commission** (claims > Rs. 1 crore); appeal from District to State, from State to National, and from National to the Supreme Court. The object of setting up a three-tier system is to make quick disposal possible and to keep the remedy inexpensive.

**Why the object matters:** The Supreme Court in *J.J. Merchant* held that because the object of the Act is to render "simple, inexpensive and speedy remedy," a consumer complaint must not be non-suited merely because it raises complicated questions of fact, or because the forum has delayed — the forums are *alternative* forums discharging the functions of a civil court, and must dispose of complaints expeditiously within the time prescribed by the Act.

## 09.03 Objectives & Reasons for the Enactment of the Consumer Protection Act, 2019

The Consumer Protection Act, 2019 (Act 35 of 2019) received the assent of the President on **9 August 2019** and its main provisions were brought into force on **20 July 2020**. It **repeals and replaces the Consumer Protection Act, 1986**. The **Statement of Objects and Reasons** of the Bill explains that the 2019 Act was enacted because the 1986 Act, despite amendments, was no longer adequate to deal with the **changing commercial landscape** — especially the growth of **e-commerce**, the proliferation of **misleading advertisements**, and the need to strengthen remedies, streamline the disposal of complaints and make the forums accountable.

**Objective / reasons for the 2019 Act:**

- **To strengthen the existing consumer-protection framework**, which had become inadequate due to delays and a lack of executive enforcement.
- To regulate **e-commerce** and **direct selling** — a new, fast-growing arena of consumer transactions.
- To **prohibit and punish misleading advertisements** (including by celebrity endorsers) and the **manufacture/sale of spurious and adulterated goods**.
- To create **executive** machinery — the **Central Consumer Protection Authority (CCPA)** — to protect the rights of consumers **as a class** (to inquire, investigate, order recall of unsafe goods, order discontinuance of unfair trade practices, and impose penalties), complementing the judicial/quasi-judicial redressal fora.
- To introduce the concept of **product liability**, making manufacturers, product-service-providers and product-sellers liable for injury caused by defective products or deficient services.
- To introduce **mediation** as an **alternate dispute-resolution** mechanism to secure early, amicable settlement.
- To **enhance pecuniary jurisdiction** (so more claims go to the higher, better-equipped commissions), to provide **e-filing**, filing from one's place of residence/work, and **video-conferencing** to ease access.
- To specify the **six rights of consumers** and to define several new concepts (**unfair contract**, misleama advertisement, product, etc.).

As *Neena Aneja* (Case 50) points out, the Statement of Objects & Reasons of the 2019 Act states that the new legislation was enacted to "*strengthen the remedies available to consumers*," reflecting the legislature's awareness of delays under the erstwhile law.

**Note on the repeal:** Because the 2019 Act **repeals** the 1986 Act, the question of pending proceedings arose. In **Neena Aneja v. Jai Prakash Associates** (2022) 2 SCC 161, the Supreme Court held that proceedings **instituted before** the commencement of the 2019 Act continue to be governed by the **1986 Act** — the change in pecuniary jurisdiction is **not retrospective**, and the rights of consumers who had filed under the old law are protected under **s.6 of the General Clauses Act, 1897**.

## 09.04 Definitions

The 2019 Act redefines and, in several cases, **widens** the key expressions.

| Term (Section) | Meaning under the CPA, 2019 |
|---|---|
| **Consumer** — s.2(7) | Any person who (i) **buys any goods** for consideration (paid/promised/partly or by deferred payment) and includes any **user** of such goods with the buyer's approval; or (ii) **hires or avails of any service** for consideration and includes any **beneficiary** of such service with the hirer's approval — but **does not include** a person who obtains goods for **resale** or for **any commercial purpose**. (The 1993 "self-employment for livelihood" clarification is retained; see *Laxmi Engineering*.) |
| **Goods** — s.2(21) | Every kind of **movable property**, and includes "food" as defined in the Food Safety & Standards Act, 2006. |
| **Service** — s.2(42) | Service of **any description** made available to **potential users**, including (but not limited to) facilities in connection with banking, financing, insurance, transport, processing, supply of electrical/other energy, **telecom** (newly added), boarding/lodging, **housing construction**, entertainment, amusement, and the purveying of news/information — but **does not include** any service **free of charge** or under a **contract of personal service**. |
| **Defect** — s.2(10) | Any fault, imperfection or shortcoming in the quality, quantity, potency, purity or standard required to be maintained by law, or under a contract, or as claimed by the trader, in relation to goods or product. |
| **Deficiency** — s.2(11) | Any fault, imperfection, shortcoming or inadequacy in the quality, nature and manner of performance required by law or undertaken under a contract or otherwise — and includes (i) any act of **negligence/omission/commission** causing loss or injury to the consumer, and (ii) **deliberate withholding of relevant information**. |
| **Misleading advertisement** — s.2(28) | An advertisement which (i) **falsely describes** a product/service; (ii) gives a false guarantee or is likely to **mislead** as to nature, substance, quantity or quality; (iii) conveys a representation that would constitute an **unfair trade practice**; or (iv) **deliberately conceals important information**. |
| **Unfair trade practice** — s.2(47) | A trade practice which, to promote the sale/use/supply of goods or provision of services, adopts any **unfair or deceptive practice** (false representations, false guarantees, misrepresentations, hoarding, spurious goods, **not issuing a bill/cash-memo**, refusing to take back defective goods, **disclosing personal information**, etc.) — see §4.11. |
| **Unfair contract** — s.2(46) NEW | A contract between a manufacturer/trader/service-provider and a consumer having terms which **significantly change the consumer's rights** — e.g., manifestly excessive security deposits; penalties wholly disproportionate to the loss; refusing early repayment of debts; unilateral termination without reasonable cause; assignment to the consumer's detriment; or any unreasonable charge/obligation/condition — see §4.10. |
| **Complaint / Complainant** | A "complaint" is an allegation (in writing) by a complainant about an unfair contract/unfair/restrictive trade practice, a defect in goods, a deficiency in service, or excessive pricing; a "complainant" is the consumer or the recognised consumer association or the Central/State Government or its agencies. |
| **Manufacturer** — s.2(24) | A person who (i) makes any goods or parts; (ii) assembles goods made by others; or (iii) puts his own mark on goods made by another. |
| **Restrictive trade practice** — s.2(40) | A trade practice which tends to bring about **manipulation of price or conditions of delivery**, or imposes unjustified costs/restrictions on consumers (e.g., delay in supply, tie-in clauses). |
| **Product** — s.2(34) | Any article, commodity or service produced, manufactured or provided for use by consumers. |

**Note:** The definition of **'service'** under s.2(42) of the 2019 Act is substantially the same as s.2(1)(o) of the 1986 Act (the only difference is the addition of **'telecom'**). As the Bombay High Court held in *Medicos Legal Action Group* (2021), the principles laid down in *IMA v. V.P. Shantha* continue to apply *ex proprio vigore* to the new definition — so **health-care services rendered by doctors for a fee are 'service'** even under the 2019 Act.

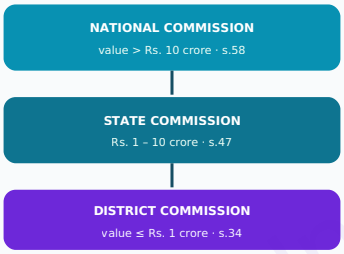
## 09.05 Three-tier Redressal Mechanism & Enhancement of Pecuniary Jurisdiction

The 1986 Act provided a three-tier structure (**District Forum → State Commission → National Commission**). The 2019 Act **retains the three-tier structure** but renames the bodies **District/State/National Commission** (not "Forum"), and **substantially enhances the pecuniary jurisdiction**.

| Level | CPA 1986 (as amended 2002) | CPA 2019 |
|---|---|---|
| **District** Commission/Forum | Claims ≤ Rs. 20 lakh | Value of goods/services & compensation claimed ≤ **Rs. 1 crore** (s.34) |
| **State** Commission | Rs. 20 lakh – Rs. 1 crore | Value **above Rs. 1 crore but ≤ Rs. 10 crore** (s.47) |
| **National** Commission | > Rs. 1 crore | Value **above Rs. 10 crore** (s.58) |

**Other procedural improvements (2019):** complaints may be filed where the complainant **resides or works for gain** (territorial-easing); **e-filing** is permitted; hearings may be held by **video-conferencing**; a complaint is **deemed admitted** after 21 days if not rejected/admitted earlier; the Commissions may **review their own orders**; and **appeals** lie — from District to State, State to National, and National to the **Supreme Court** — and after the second stage only on **questions of law**.

As *J.J. Merchant* emphasised, the Act mandates that complaints be disposed of **as expeditiously as possible** — "endeavour shall be made to decide the complaint within a period of **three months** from the date of receipt of notice by the opposite party" (and within five months where testing/analysis is required), with the opposite party to file its version within **30 days** (extendable by at most 15 days).




The three-tier redressal structure and enhanced pecuniary jurisdiction under the CPA, 2019.

## 09.06 Establishment of Consumer Protection Councils (Ss. 3–9)

The CPA, 2019 constitutes three-tier **advisory Councils** to promote and protect consumer rights (ss. 3–9): (1) **Central Consumer Protection Council** (chaired by the Union Minister of Consumer Affairs); (2) **State Consumer Protection Councils** (chaired by the State Minister in charge); and (3) **District Consumer Protection Councils** (chaired by the District Collector). Unlike Consumer Commissions, these Councils render policy advice and do not adjudicate disputes.

## 09.07 Establishment of the Central Consumer Protection Authority (CCPA)

The **CCPA** (ss.10–27) is the most significant new institution. It is an **executive/regulatory authority** established by the Central Government (by notification) to regulate matters relating to violation of consumer rights, unfair trade practices and **false or misleading advertisements** prejudicial to the interests of the public and consumers, and to **promote, protect and enforce the rights of consumers as a class**.

**Powers & functions of the CCPA (s.18):**

- Protect, promote and enforce the rights of consumers **as a class** and prevent violation of consumer rights;
- Conduct **investigations** into violations of consumer rights and institute complaints/prosecutions;
- Order **recall of unsafe goods/services** and their reimbursement of the price;
- Order **discontinuance of unfair trade practices** and **misleading advertisements**;
- **Impose penalties** on manufacturers, endorsers and publishers of misleading advertisements;
- Issue warnings/safety notices; pass orders to prevent unfair trade practices; and direct the recall, refund or discontinuance.

The CCPA has an **Investigation Wing** and may also initiate class-action-like "class complaints." This marks a shift from a purely **reactive/civil-redressal** model under the 1986 Act to one with a **proactive executive** enforcement arm.

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The new executive/regulatory arm — CCPA.

## 09.08 Inclusion of E-commerce Transactions

The 2019 Act is the first consumer statute to expressly address **e-commerce** and **direct selling**. The definition of 'service' (s.2(42)) and the definition of 'unfair trade practice' (s.2(47)) are wide enough to cover transactions through electronic/digital platforms. The Central Government has framed rules for this new-age commerce, notably the **Consumer Protection (E-Commerce) Rules, 2020** (and the Direct Selling Rules).

- "**E-commerce**" is defined to mean buying/selling of goods and services including digital products over digital/ electronic networks; it now expressly covers online marketplaces and sellers on those platforms.
- An **e-commerce entity** has **duties** — to provide correct information, display invoice/bill, not to adopt unfair trade practices, ensure that goods/services conform to advertised features, provide a grievance-redressal mechanism (a grievance officer), and disclose the seller's identity and contact details.
- Complaints against e-commerce platforms/sellers fall within the jurisdiction of the Commissions, and the consumer can file the complaint from the place of his residence.

## 09.09 Specific Recognition of the Six Rights of Consumers

The 2019 Act expressly defines "**consumer rights**" (s.2(9)) and the six rights are set out — though they echo the UN Guidelines and the 1986 Act in spirit, the 2019 Act gives them **statutory articulation**. The six rights are:

1. **The right to be protected** against the marketing of goods, products or services which are **hazardous to life and property** (right to safety).
2. **The right to be informed** about the quality, quantity, potency, purity, standard and price of goods, products or services, so as to protect the consumer against unfair trade practices (right to information).
3. **The right to be assured**, wherever possible, of **access to a variety** of goods, products or services at **competitive prices** (right to choice).
4. **The right to be heard** and to be assured that the consumer's interests will receive due consideration at appropriate fora (right to be heard).
5. **The right to seek redressal** against unfair or restrictive trade practices or **unscrupulous exploitation** of consumers (right to redressal).
6. **The right to consumer awareness** (right to consumer education).

> **Why it matters:** The 2019 Act's definition of "consumer rights" gives the CCPA and the Consumer Protection Councils an explicit statutory mandate to promote and protect these rights; and a violation of consumer rights is itself a ground on which the CCPA can act (and the CCPA can ask the government to safeguard them as a class).

## 09.10 Introduction of the Concept of Product Liability

The 2019 Act for the first time codifies **product liability** (Chapter VI, ss.84–88), making a **product manufacturer**, **product service-provider** and **product seller** liable to compensate for **harm** caused by a **defective product** or **deficient service**. "Harm" includes personal injury, illness or death, damage to property (other than the product itself), and loss of consortium/services.

**Bases for a product-liability action against a manufacturer:**

- **Manufacturing defect**;
- **Design defect**;
- **Deviation from manufacturing specifications**;
- Not conforming to an **express warranty**;
- Failing to contain **adequate instructions for correct use** (or failing to warn against the risk of the product's use); or

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- where the product is unsafe because of the manufacturer's failure to exercise reasonable care.

A **product service-provider** is liable for a **faulty, imperfect or deficient service**; a **product seller** is liable where he exercised substantial control over the product, or where he failed to exercise reasonable care, or made an express warranty. The provision is a **deterrent** to manufacturers and service-providers from delivering defective products/ deficient services, and reflects a move towards **strict/statutory product liability** in Indian consumer law.

## 09.11 Stringent Penalties for Misleading Advertisements

The 2019 Act defines "**misleading advertisement**" (s.2(28)) and imposes **strict penalties**, including on **endorsers** (celebrities), which the 1986 Act did not provide.

- **Manufacturer or service-provider** who causes a false/misleading advertisement: imprisonment up to **2 years** and fine up to **Rs. 10 lakh**; for a subsequent offence, imprisonment up to **5 years** and fine up to **Rs. 50 lakh** (s.89).
- **Endorser** of a misleading advertisement (who has not exercised due diligence / verified claims, or has endorsed without being able to substantiate): penalty up to **Rs. 10 lakh**, and **disqualification from making endorsements for 1 year** (and **3 years** for a subsequent offence).
- The **CCPA** may also order the **discontinuance** of the advertisement, impose a penalty, and direct the recall of the goods or a corrective advertisement.

This is a marked expansion over the 1986 Act, which had no penal provisions for misleading advertisements.

## 09.12 Introduction of Mediation as an Alternate Dispute-Resolution Mechanism

The 2019 Act introduces **mediation** (Chapter V, ss.74–81) as an **ADR** mechanism, with **Consumer Mediation Cells** attached to the Commissions. The Consumer Commission may **refer the dispute to mediation** where there is scope for early settlement and the **parties agree**.

- **Mediation cell** attached to each District/State/National Commission;
- A **panel of mediators** selected by a **selection committee** consisting of the President and a member of the Commission;
- Mediation is held in the **consumer mediation cell**;
- The **settlement agreement** reached through mediation is binding and **no appeal lies** against it;
- Mediation helps in the **early disposal** of cases and in reducing the burden on the Commissions.

The Supreme Court has also reaffirmed the value of mediation for expeditious resolution of consumer disputes (e.g., in *Neena Aneja*-type real-estate matters).

## 09.13 Remedies for Unfair Contracts

The 2019 Act creates a new concept of the "**unfair contract**" (s.2(46)) — a contract between a manufacturer/trader/ service-provider on one hand and a consumer on the other, having terms that **significantly change the consumer's rights** — including:

- Requiring **manifestly excessive security deposits**;
- Imposing a **penalty wholly disproportionate** to the loss caused by breach;
- Refusing to **accept early repayment of debts** on payment of applicable penalty;
- Entitling a party to terminate the contract **unilaterally without reasonable cause**;
- Permitting assignment of the contract **to the consumer's detriment** without consent;
- Imposing on the consumer any **unreasonable charge, obligation or condition** which puts him at a disadvantage.

Where a complaint alleges an unfair contract, the Commission may grant appropriate relief — including **setting aside** such terms, ordering **refund** of money, and compensation. This is a significant new remedy that did not exist under the 1986 Act. In *Neena Aneja*-type and *Parsvnath*-type cases, courts have held that **one-sided contractual terms** which operate to the consumer's detriment and give the builder a disproportionately low compensation for delay amount to unfair terms, and the consumer fora may award **just and reasonable compensation** notwithstanding such clauses.

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## 09.14 Expansion of the Definition of Unfair Trade Practices

The definition of "**unfair trade practice**" (s.2(47)) is **broader** than under the 1986 Act (s.2(1)(r)). It now expressly covers, among others:

- Making false or misleading statements about the standard, quality, quantity, grade, composition, style or model of goods;
- Falsely representing that services are of a particular standard, quality or grade;
- Falsely representing **rebuilt, second-hand, renovated or reconditioned goods as new**;
- Representing that goods/services have a **sponsorship, approval, performance or benefit they do not have**;
- Giving a **warranty/guarantee** not based on an adequate test;
- Materially misleading the public as to price;
- False/disparaging facts about another's goods/services;
- **Hoarding or destruction of goods** or refusal to sell/ provide services to raise cost;
- **Manufacturing/offering spurious goods** and adopting deceptive practices in services;
- **Not issuing a bill/cash-memo/receipt**;
- **Refusing to take back defective goods** or refusing to refund;
- **Disclosing the personal information** of a consumer given in confidence (a new head reflecting e-commerce/data concerns).

The expanded definition, read with the definition of **misleading advertisement**, gives the CCPA and the Commissions a much wider net to catch modern unfair practices, including those in e-commerce and through digital platforms.

## JUDICIAL DOSSIERS // 07 CASES Prescribed Landmark Case Laws — Detailed Analysis

### 45. Faqir Chand Gulati v. Uppal Agencies (P.) Ltd. (2008) 10 SCC 345 (Supreme Court)

**FACTS** The appellant, **Faqir Chand Gulati**, was the **owner** of premises (No. L-3, Kailash Colony, New Delhi). He entered into a **"collaboration agreement"** dated 17 May 1991 with the first respondent, **Uppal Agencies (P.) Ltd.**, a builder. Under the agreement: the owner was to place vacant possession of his land at the builder's disposal and authorise him to obtain sanctions; the builder was to construct an apartment building (ground floor + two upper floors) at its own cost and as per specified plans; the **owner was to get the entire ground floor** (rooms, etc.) with a servant room and parking as his share, while the **builder was to get the first and second floors**, two servant rooms and two car parkings; and the builder was to pay the owner **Rs. 8 lakh** as non-refundable consideration. The appellant alleged that the builder secured sanction of the plan from the Municipal Corporation of Delhi (MCD) but made **several unauthorised deviations**, resulting in deviation notices; MCD even passed an order to seal the premises, later de-sealed to enable rectification. The ground floor was delivered to the owner's son during the owner's absence; on his return the owner pointed out several shortcomings and violations and called on the builder to rectify them and to **furnish the completion certificate and the C&D forms**. The builder did not comply.

**ISSUES** (1) Where a landowner enters into a collaboration/joint-development agreement with a builder for the construction of a building and the **sharing of the constructed area**, is the landowner a **"consumer"** and the builder a **"service-provider"**, and is a complaint under the Consumer Protection Act **maintainable**? (2) Is the builder under an obligation to obtain the **completion certificate and C&D forms** and to rectify deviations?

**ARGUMENTS** **Owner/appellant:** There is a **contract for construction** of the owner's ground floor for **consideration** flowing from the owner to the builder (transfer of undivided share/payment), so the owner **avails of the builder's services**; the builder's deviations and failure to obtain completion certificate amount to **deficiency in service** and the complaint is maintainable. The lower fora had wrongly held the agreement to be a "joint venture" outside the Act.

**Builder/respondent:** The agreement is in the nature of a **joint venture** (not a service contract) and therefore outside the purview of the Consumer Protection Act; and the builder is only bound to **apply** for a completion certificate, hence no deficiency arises.

**DECISION** The **Supreme Court expressly set aside** the orders of the National Commission, State Commission and District Forum; held the **complaint maintainable**; and directed the District Forum to decide the matter on merits within six months. Costs of Rs. 25,000 were awarded to the appellant against the respondents.

> *"The basic underlying purpose of the agreement is the construction of a house or an apartment (ground floor) in accordance with the specifications, by the builder for the owner, the consideration for such construction being the transfer of undivided share in land to the builder and grant of permission to the builder to construct two floors."*

> *"There is a contract for construction of an apartment or house for the appellant, in accordance with the specifications and in terms of the contract. There is a consideration for such construction, flowing from the landowner to the builder ... But the important aspect is the **availing of services of the builder by the land-owner** for house construction for a consideration. To that extent, the land owner is a **consumer**, the builder is a **service-provider** and if there is deficiency in service ... the dispute raised by the land owner will be a **consumer dispute**."*

> *"It is true that a collaboration agreement is not a joint venture ... it makes no difference ... whether the collaboration agreement is for construction and delivery of one apartment or one floor to the owner or whether it is for construction and delivery of multiple apartments ... The principle would be the same."*

> *"The obligation on the part of the builder to secure a sanctioned plan and construct a building, carries with it an **implied obligation to comply with the requirements of municipal and building laws and secure the mandatory permissions/certificates**."*

⚡ RATIO & PRINCIPLE EVOLVED: A **landowner who enters into a collaboration/development agreement with a builder for the construction of a building (or a part of it) and the sharing of the constructed area IS a 'consumer'** — he **avails of the builder's services** for a consideration — and the builder is the **'service-provider'**; disputes about construction, deviations, and failure to provide the completion certificate/C&D forms are **'consumer disputes'** maintainable before the consumer fora. A collaboration agreement is **not** a 'joint venture'. The builder's obligation to follow the sanctioned plan and comply with municipal laws carries an **implied duty to secure the completion certificate and other mandatory permissions**; "the builder cannot be permitted to avoid or escape the consequences of his illegal acts." (It also reaffirms that the remedy under the Act (s.3) is **in addition to**, and does not exclude, a civil suit for specific performance/damages.)

### 46. Indian Medical Association v. V.P. Shantha

(1995) 6 SCC 651 · AIR 1996 SC 550 (Supreme Court)

**FACTS** The case arose from a batch of appeals/transferred petitions from several High Courts and from the National Commission, raising a common question: **whether, and in what circumstances, a medical practitioner / hospital / nursing home renders 'service' under s.2(1)(o) of the Consumer Protection Act, 1986**. The Indian Medical Association and several doctors contended that the medical profession (subject to the disciplinary control of the Medical Council of India/State Medical Councils) could not be subjected to the consumer fora. The Supreme Court considered this against the backdrop of the **UN Guidelines for Consumer Protection (9 April 1985)** and the wide definitions of 'consumer' (s.2(1)(d)) and 'service' (s.2(1)(o)).

**ISSUES** (1) Is the service rendered by a **medical practitioner** for a fee a 'service' under s.2(1)(o)? (2) Is the service at a **hospital/nursing home** a 'service'? (3) Does a doctor render service under a **'contract of personal service'** (excluded by the definition)? (4) What is the position where the service is rendered **free of charge**, or partly free / partly paid, or under an **insurance / employer-paid** scheme?

**ARGUMENTS** **IMA/doctors (for exclusion):** (i) The words "made available to potential users" suggest only institutional/ commercial service, not professional medical care; (ii) a deficiency (s.2(1)(g)) can be judged only against fixed norms, which medical treatment cannot be; (iii) the doctor–patient relationship is one of **trust and confidence** and is a **contract of personal service**, excluded by the definition.

**Consumers (for inclusion):** 'Service' is of any description and is wide; the doctor–patient relationship is a **contract for personal services**, not a contract of personal service; the Act is a welfare legislation to be construed liberally; and a consumer who pays for medical treatment should not be driven to a civil court.

**DECISION** The **Supreme Court** held that **medical services rendered for a fee are 'service'** within s.2(1)(o), and laid down a detailed **12-point ratio** on when medical service is/is not covered. In substance:

> *"It is, therefore, not possible to hold that in view of the definition of 'deficiency' as contained in section 2(1)(g), medical practitioners must be treated to be excluded from the ambit of the Act and the service rendered by them is not covered under section 2(1)(o)."*

> *"A 'contract of personal service' has to be distinguished from a 'contract for personal services'. In the absence of a relationship of master and servant between the patient and medical practitioner, the service rendered by a medical practitioner to the patient cannot be regarded as service rendered under a 'contract of personal service'."*

The Court summarised the position as follows — a medical service is **'service'** under the Act where it is rendered for a consideration (even partly for consideration), i.e.: (1) service for a **fee/charges** is service; (2) it is service notwithstanding the doctor is subject to the Medical Council's disciplinary control; (3) it is not a **contract of personal service** (only a **contract for personal services**) unless a **master–servant** relationship exists; (4) a **medical officer**

**employed** by an employer (who renders medical service solely to his employer) is under a contract of employment and is outside the Act; (5) service rendered **free of charge to everyone** (e.g., a charitable hospital giving free treatment to all, or a government hospital treating all free) is **outside** the Act — a token registration charge does not alter this; (7) service at a **non-government hospital where charges are paid** is 'service'; (8) service at a non-government hospital where some pay and some can't afford (free) is 'service' (the free service is also 'service' and the recipient a 'consumer'); (9)/(10) the same distinction applies to **government hospitals**; (11) where charges are borne by an **insurance company**, the service is not free and is 'service'; (12) where the **employer** bears medical expenses as a condition of service, the service is not free and is 'service'.

> ⚡ RATIO & PRINCIPLE EVOLVED: Medical practitioners and hospitals/nursing homes **render 'service'** under the Consumer Protection Act **when they charge for it (wholly or partly)**, and may be sued before the consumer fora for **deficiency in service** (medical negligence). A doctor–patient relationship is a **contract for personal services**, not a contract of personal service (unless a master–servant relation exists), so it is not excluded. In effect, the doctor-patient relationship is one of **trust and confidence** — but the patient, having paid, is a consumer. Service is **outside** the Act only where it is rendered **completely free** (charitable towards all, or a government hospital charging nobody), or under a true **contract of employment**. "Deficiency" is to be tested by the standards of the medical profession, and the determination is made on the same test as an action for negligence. This is the foundational authority extending the Consumer Protection Act to **health-care services**.

### 46A. Medicos Legal Action Group v. Union of India

2021 SCC OnLine Bom 3696 (Bombay HC) — SLP dismissed by SC (2022)

**FACTS** The petitioner, **Medicos Legal Action Group**, a registered trust, filed a **Public Interest Litigation** (PIL No. 58 of 2021) before the Bombay High Court seeking a declaration that services performed by **health-care service-providers** (doctors) are **not** within the purview of the **Consumer Protection Act, 2019**, and an order directing all consumer commissions in Maharashtra not to entertain complaints against health-care providers under the 2019 Act. The Trust relied on the fact that **'health care'** was initially included in the definition of 'service' in the Consumer Protection Bill, 2018, but was **deleted** after parliamentary debates, and on a statement of the Union Minister (Consumer Affairs) that health care had been deliberately kept out of the 2019 Act.

**ISSUES** (1) Does the repeal of the 1986 Act by the 2019 Act and the absence of the words 'health care' in s.2(42) of the 2019 Act exclude doctors' services from the definition of 'service'? (2) Can parliamentary debates / a Minister's statement restrict the operation of the statute? (3) Does *IMA v. V.P. Shantha* survive the 2019 Act?

**ARGUMENTS** **Petitioner (Medicos Group):** Parliament's deliberate exclusion of 'health care' from the definition of 'service' in s.2(42) shows an intent to take medical services out of the consumer fora; the Minister's statement supports this; therefore complaints against doctors under the 2019 Act are illegal.

**Union of India:** The definition of 'service' in s.2(42) is wide and is essentially the same as s.2(1)(o) of the 1986 Act (except for the addition of 'telecom'); if Parliament had intended to exclude health care it would have said so expressly; a Minister's speech cannot restrict the ambit of a statute.

**DECISION** The **Bombay High Court** (Datta CJ & Kulkarni J.) dismissed the PIL as a **"thoroughly misconceived Public Interest Litigation,"** holding that **doctors'/health-care services are covered by the Consumer Protection Act, 2019**; it imposed costs of **Rs. 50,000** on the petitioner. The matter reached the Supreme Court, which **dismissed the special leave petition** (SLP (C) 19374 of 2021), affirming the High Court.

> *"We see no reason to hold that merely because of enactment of the 2019 Act upon repeal of the 1986 Act as well as the parliamentary debates referred to by the petitioning Trust, the efficacy of the law laid down in the decision in Indian Medical Association (supra) as a binding precedent would stand eroded."*

> *"The definition of 'service' in both the enactments (repealed and new) are more or less similar and what has been said of 'service' as defined in section 2(1)(o) of the 1986 Act would apply ex proprio vigore to the definition of the term 'service' in section 2(42) of the 2019 Act."*

> *"...if at all the Parliament while repealing and replacing the 1986 Act with the 2019 Act had intended to give a meaning to the term 'service' different from the one given by the Supreme Court, such intention ought to have been reflected in clear words by a specific exclusion of 'health care' from the purview of the 2019 Act."*

> *"We are of the clear opinion that the contention raised by the learned counsel for the petitioning Trust, of the Hon'ble Minister having made certain statements in course of parliamentary debates on the Bill that preceded the 2019 Act, is of little relevance."*

⚡ RATIO & PRINCIPLE EVOLVED: **Medical/health-care services rendered by doctors for a fee/charges are covered by the Consumer Protection Act, 2019.** There is no material difference between 'service' under s.2(1)(o) of the 1986 Act and s.2(42) of the 2019 Act (except the addition of 'telecom'); hence the law laid down in *IMA v. V.P. Shantha* continues to govern *ex proprio vigore*. **Parliamentary debates and a Minister's statement cannot restrict the plain, wide operation of the statute**; if Parliament had wanted to exclude health care it would have said so expressly ("what has not been said is equally important as what has been said"). This is the definitive post-2019 authority confirming that doctors remain amenable to consumer jurisdiction.

## 47. Laxmi Engineering Works v. P.S.G. Industrial Institute

(1995) 3 SCC 583 (Supreme Court)

FACTS The appellant, **Laxmi Engineering Works**, a proprietary concern established under the **Employment Promotion Programme**, registered as a **small-scale industry** with the Directorate of Industries, Maharashtra, and having obtained a term loan of **Rs. 22.10 lakh** from the Maharashtra State Finance Corporation, placed an order on **28 May 1990** with the respondent, **P.S.G. Industrial Institute**, for the supply of a **PSG 450 CNC Universal Turning Centre machine**. The appellant alleged the respondent supplied the machine **six months late** and **defective**: soon after installation several defects came to light; the respondent sent persons to rectify them but the machine could not be put in proper order. The appellant lodged a complaint before the Maharashtra State Commission claiming **Rs. 4,00,000**. The respondent pleaded that since the machine was bought for **commercial purposes**, the appellant was **not a 'consumer'**. The State Commission partly allowed the claim (Rs. 2.48 lakh); the National Commission set it aside solely on the ground that the appellant was not a 'consumer'.

ISSUES (1) What is the meaning and ambit of the expression **'any commercial purpose'** in the definition of 'consumer' in s.2(1)(d) of the Consumer Protection Act, 1986? (2) Is the **Explanation** added by the Consumer Protection (Amendment) Act 50 of 1993 (w.e.f. 18.6.1993) clarificatory/retrospective? (3) Does an individual who buys goods for use by himself **exclusively for earning his livelihood by self-employment** fall within 'consumer'? (4) Are the fora under the Act empowered to decide whether the complainant is a 'consumer'?

ARGUMENTS **Appellant:** A narrow construction of 'commercial purpose' is not warranted by the scheme and object of a social-welfare Act; a widow/an old or invalid person who buys a car or machine to be operated by another for a livelihood should not be excluded; and the Explanation (self-employment exemption) supports this.

**Respondent:** The machine (a CNC turning centre) was bought for commercial/production purposes, so the appellant falls within the exclusion clause and is **not** a 'consumer'; the object of the Act is to protect the ordinary consumer, not commercial entrepreneurs.

DECISION The **Supreme Court** (B.P. Jeevan Reddy J.) **dismissed the appeal** (without costs), upholding the National Commission — the appellant, having purchased a large CNC machine for commercial production, was **not a 'consumer'**; it could file a civil suit, but could claim the benefit of **s.14 of the Limitation Act** to exclude the period spent in the consumer proceedings. The Court laid down the following **conclusions**:

> *"The explanation added by The Consumer Protection (Amendment) Act 50 of 1993 ... is **clarificatory in nature and applies to all pending proceedings.**"*

> *"Whether the purpose for which a person has bought goods is a 'commercial purpose' within the meaning of the definition of 'consumer' in Section 2(d) of the Act is **always a question of fact** to be decided in the facts and circumstances of each case."*

> *"A person who buys goods and uses them himself, exclusively for the purpose of **earning his livelihood by means of self-employment**, is within the definition of 'consumer'."*

⚡ RATIO & PRINCIPLE EVOLVED: The **'commercial purpose' exclusion** in the definition of 'consumer' means a person who buys goods **for resale or for a commercial purpose** is not a consumer, **unless** the goods are bought and used by the buyer himself **exclusively for earning his livelihood by self-employment** (the 1993 Explanation). Whether a purchase is for a 'commercial purpose' is **always a question of fact**, to be determined in the circumstances of each case (there must be a close nexus between the purchase and a large-scale commercial/profit-making activity). The 1993 Explanation is **clarificatory** and applies retrospectively to pending proceedings. The **consumer fora have the jurisdiction** to decide whether the complainant is a 'consumer', and their orders (subject to the statutory appeal) cannot be questioned in a civil court. An individual buying a small machine for self-employment (e.g., a copier, a small machine) is a consumer; a firm buying a large CNC machine for commercial production is not.

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### 48. Lucknow Development Authority v. M.K. Gupta

(1994) 1 SCC 243 (Supreme Court)

**FACTS** The respondent, **M.K. Gupta**, had applied to / was allotted a house/flat or a plot by the **Lucknow Development Authority** (a statutory authority under the Lucknow Development Act). The Authority failed to deliver possession within the stipulated time and the case involved **harassment and mental agony** caused by the Authority's officers. The question arose whether a **statutory/public authority** like a Development Authority, or a **builder/contractor**, renders a 'service' under the Consumer Protection Act, 1986 (s.2(1)(o)) and whether the Commission can award compensation for **harassment and agony**. The matter reached the Supreme Court in a batch of appeals.

**ISSUES** (1) Do **Development Authorities and housing** (and statutory public authorities in general) come within the ambit of the Consumer Protection Act, 1986 (and its pre-1993 amendments) as 'service'? (2) Does the Commission have power to award **compensation** for deficiency in service, and can such compensation be for **mental harassment/ agony**? (3) Whether any **vested right** was affected by the 1993 amendments (which added 'housing construction' and 'avails of' — were they retrospective/clarificatory)? (4) Whether the delay in disposal of cases or the presence of complicated questions warrants directing the consumer to a civil court?

**ARGUMENTS** **Development / public authority:** Powers exercised under a statute are not 'service'; 'service' is confined to commercial activities; the 1993 amendment (adding 'housing construction' to clause (o) and 'avails of' to clause (d)) was **prospective**; and the authority being a public functionary is not liable in the same way as a private trader.

**Consumer:** 'Service' is of any description and is to be construed widely to include statutory functions that serve the public; developing land, allotting sites and constructing houses for citizens is 'service'; the wide definitions were deliberately expanded; and the authority is liable for harassment and delay.

**DECISION** The **Supreme Court dismissed** the appeals and held that **housing and development activity by statutory/ public authorities is 'service'**, and that the Commission can award **compensation for harassment and mental agony** — and should recover the amount from the responsible public officers. On the 1993 amendment, the Court held it was added by way of **abundant caution** (housing construction was already 'service') and was **clarificatory**, not a source of new law.

> *"The entire purpose of widening the definitions is to include in it not only day-to-day buying of goods by a common man but even such activities which are otherwise not commercial but **professional or service-oriented in nature**."*

> *"When a statutory authority develops land or allots a site or constructs a house for the benefit of common man it is as much service as by a builder or contractor. The one is contractual service and other statutory service."*

> *"When possession of property is not delivered within stipulated period the delay so caused is **denial of service**. Such disputes or claims are not in respect of immoveable property as argued but **deficiency in rendering of service** of particular standard, quality or grade."*

> *"In a modern society no authority can arrogate to itself the power to act in a manner which is arbitrary. ... When a citizen seeks to recover compensation from a public authority in respect of injuries suffered by him for capricious exercise of power and the National Commission finds it duly proved then it has a **statutory obligation to award the same**."*

⚡ **RATIO & PRINCIPLE EVOLVED:** A statutory/public authority (such as a Development Authority) that develops land, allots sites or constructs houses for citizens renders **'service'** under the Consumer Protection Act; a person who applies for an allotment or enters into an agreement with such an authority (or with a builder) is a **potential user / consumer**. A failure to deliver possession in time is a **deficiency in service**. The consumer fora may award **compensation not only for the loss caused but also for the harassment, mental agony and oppression** suffered, and should fix the responsibility on and recover the amount from the officers responsible. The 1993 amendments were **clarificatory**. The Court also rejected the plea that a summary trial or a delay in disposal is a ground to drive the consumer to a civil court. (This is the authority for the **consumer protection of housing/allotment** and for **compensation for mental agony** under the Act.)

### 49. Dr. J.J. Merchant & Ors. v. Shrinath Chaturvedi

AIR 2002 SC 2931 (Supreme Court)

**FACTS** The complainant's **son (aged 21)** was admitted to a **hospital in Mumbai** (Branch Candy Hospital) on **4 August 1992** for an operation for a **slip disc** as he was suffering from a backache. He **died on 29 August 1992** in the hospital. The father attributed this to **medical negligence** and filed a complaint before the **National Commission** (Original Petition No. 252 of 1993) against the doctors. Before the complaint was decided, the doctors (the appellants) filed an application (Misc. Petition No. 53 of 2000) seeking dismissal of the complaint, or a stay, on the ground that (a) there was an **inordinate delay** (of ~9 years) in disposal of the complaint, and (b) the case involved **complicated questions of law and fact** requiring the examination and cross-examination of expert witnesses, which a summary proceeding

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could not properly decide — hence the complainant should be directed to approach the **civil court**. The National Commission rejected this application; the doctors appealed to the Supreme Court.

ISSUES (1) Is a **delay in disposal** by the consumer forum a ground for directing the complainant to approach the civil court? (2) Where a complaint involves **complicated questions of fact** requiring expert evidence, should the consumer forum decline jurisdiction and direct the complainant to a civil court? (3) What are the guidelines for **speedy disposal** of consumer complaints?

ARGUMENTS **Doctors/appellants:** The complaint raises complicated questions of medical negligence and will consume considerable time in recording expert evidence; the summary procedure under the Act is unsuitable; the delay has been inordinate; therefore the complainant must be directed to the civil court.

**Complainant:** The consumer forum is an **alternative forum** discharging the function of a civil court, and should not be denied jurisdiction; the Act provides an adequate, expeditious procedure (affidavits, commissions to examine witnesses, etc.); the object of the Act (simple, inexpensive, speedy remedy) would be defeated if consumers are non-suited for these reasons.

DECISION The **Supreme Court** (M.B. Shah, B.P. Singh & H.K. Sema JJ.) **allowed the complaint and rejected the doctors' plea**, holding that neither delay in disposal nor the presence of complicated questions of fact is a ground to direct the consumer to the civil court. It laid down guidelines for expeditious disposal.

> *"The consumer forum is an **alternative forum** established under the Act to discharge the functions of a Civil Court. Therefore, **delay in disposal of the complaint would not be a ground for rejecting it and directing the complainant to approach the civil court.**"*

> *"...the object and purpose of enacting the Act is to render **simple, inexpensive and speedy remedy** to the consumers with complaints against defective goods and deficient services and the benevolent piece of legislation intended to protect a large body of consumers from exploitation would be defeated [if consumers are non-suited]."*

> *"It would also be totally wrong assumption that because summary trial is provided, justice cannot be done when some questions of facts are required to be dealt with or decided. The Act provides sufficient safeguards."*

> *"The Consumer Forums must take **expeditious steps** to deal with the complaints filed before them and not keep them pending for years. ... Steps in this direction are required to be taken in right earnest."*

⚡ RATIO & PRINCIPLE EVOLVED: The consumer fora are **alternative forums** discharging the functions of a civil court. **A complaint cannot be rejected, nor the complainant driven to a civil court, merely because there has been a delay in disposal, or because the complaint involves complicated questions of fact requiring expert evidence.** The Act lays down an adequate, though summary, procedure (evidence on affidavit under s.13(4)(iii); commissions to examine witnesses under s.13(4)(v)), and the Commissions are headed by retired Judges competent to decide complicated issues. The Act mandates **expeditious disposal** — the opposite party must file its version within 30 days (extendable by at most 15 days) and the complaint is to be decided as far as possible within **3 months** (5 months if analysis/ testing required). The guidelines emphasise strict adherence to the prescribed time-lines, filing of documents/ affidavits along with the complaint and defence, and the Bar & parties not seeking unnecessary adjournments.

### 50. Neena Aneja & Anr. v. Jai Prakash Associates Ltd. (2022) 2 SCC 161 (Supreme Court)

FACTS The appellants, **Neena Aneja and another**, had **booked an apartment** in the respondents' (**Jai Prakash Associates Ltd.**) housing project. The **total consideration was fixed at Rs. 56.45 lakh** and possession was to be conveyed within **42 months** from the execution of the agreement/provisional allotment letter (with a grace period of about 90 days). Between December 2011 and thereafter, the purchasers paid **Rs. 53.84 lakh** out of the total consideration. The builder **failed to deliver possession** within the stipulated or reasonable time. The purchasers filed consumer complaints; the **NCDRC by its order dated 30 July 2020 dismissed the consumer case** on the ground that after the enforcement of the Consumer Protection Act, **2019**, its **pecuniary jurisdiction had been enhanced** (from Rs. 1 crore to Rs. 10 crore) and the complaint should be re-filed before the appropriate forum. The purchasers appealed to the Supreme Court.

ISSUES (1) Whether a consumer complaint **pending** at the commencement of the Consumer Protection Act, 2019 continues to be governed by the **1986 Act** (i.e., is the change in pecuniary jurisdiction **retrospective**)? (2) Whether the rights of consumers who had filed under the old law are protected on the repeal (s.6 of the General Clauses Act)? (3) Whether the builder's delay in giving possession amounts to **deficiency in service**.

ARGUMENTS **Purchasers/appellants:** The 2019 Act is not retrospective; the complaint was filed before the 2019 Act came into force and must be decided under the 1986 Act; the change in pecuniary jurisdiction cannot take away the right of the consumer; the delay is a deficiency in service.

**Builder/respondent:** After the 2019 Act came into force, the pecuniary jurisdiction of the National Commission was enhanced; since the claim (Rs. 56.45 lakh) was below the new threshold, the NCDRC could not retain the complaint. (The builder also relied on the Statement of Objects & Reasons of the 2019 Act — that it was enacted to strengthen remedies and was conscious of delays.)

DECISION The **Supreme Court** (D.Y. Chandrachud, M.R. Shah & Sanjiv Khanna JJ.) **allowed the appeal**, holding that **proceedings instituted before the commencement of the 2019 Act continue to be governed by the 1986 Act**; the enhanced pecuniary jurisdiction under the 2019 Act is **not retrospective**; and the rights accrued under the old law are protected under **s.6 of the General Clauses Act, 1897**. The matter was remitted for disposal under the 1986 Act, and the builder's delay was treated as a **deficiency in service**.

> *"The Statement of Objects and Reasons underlying the enactment of the Act of 2019 indicates that the new legislation has been enacted to **strengthen the remedies available to consumers** and that the legislature was conscious of the delays in the disposal of cases under the erstwhile legislation."*

> *"A consumer who has instituted proceedings under the 1986 Act before the commencement of the 2019 Act cannot be deprived of the benefit of the provisions of the 1986 Act; the change in pecuniary jurisdiction is **not retrospective**, and the protection of **s.6 of the General Clauses Act, 1897** applies."*

> *"The failure of the developer to comply with the contractual obligation to provide the flat within the contractually stipulated period would amount to a **deficiency of service**."*

⚡ RATIO & PRINCIPLE EVOLVED: The Consumer Protection Act, 2019 **does not have retrospective effect**. **Proceedings instituted before its commencement are to be decided under the Consumer Protection Act, 1986** — the enhanced pecuniary jurisdiction under the 2019 Act cannot be applied to pending complaints, and the rights/obligations accrued under the repealed law are protected under **s.6 of the General Clauses Act, 1897**. The case also reaffirms (for real-estate/consumer disputes) that a builder's **failure to deliver possession within the stipulated or reasonable period is a deficiency in service**, the buyer cannot be made to wait indefinitely, and **one-sided clauses that disproportionately favour the builder / give a nominal compensation for delay are unfair**, so the consumer fora may award **just and reasonable compensation** (interest at a fair rate) regardless of such clauses.

## PYQ BANK // MODULE 09 Previous Year Examination Questions

**Q.01** [CLASSIC DU LONG QUESTION · 20 MARKS] Discuss the aims and objectives of the Consumer Protection Act, 1986. What were the reasons for enacting the Consumer Protection Act, 2019?

◈ Refer website for detailed notes — makelaweasy.in

**Q.02** [CLASSIC DU LONG QUESTION · 20 MARKS] Define "consumer," "service," "defect" and "deficiency" under the Consumer Protection Act, 2019. Is a medical practitioner rendering "service" within the Act?

**Q.03** [CLASSIC DU LONG QUESTION · 20 MARKS] Explain the three-tier Consumer Dispute Redressal mechanism and the enhanced pecuniary jurisdiction under the Consumer Protection Act, 2019. Can a consumer be directed to a civil court on the ground of complicated questions of fact?

**Q.04** [CLASSIC DU QUESTION · 20 MARKS] Discuss the concept of product liability and the establishment, powers and functions of the Central Consumer Protection Authority (CCPA) under the Consumer Protection Act, 2019.

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